

Headnote Digest — Every Judgment, Categorised

The headnote of each decision in the 263-case corpus, verbatim, sorted into 14 thematic categories

Each judgment appears once, filed under the category of its lead holding; other categories it touches are flagged as “also relevant to.” Chronological within each category.

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A. Statutory Architecture, Vires & Interpretation

2 JUDGMENTS

SCJ-222 **Daya Nand Sharma v. State of U.P. & Others** All HC

2022 SCC OnLine All 598

Allahabad High Court & Manoj Misra, J. & Mohd. Azhar Husain Idrisi, J. & 3 September 2022

Also relevant to: K — Fora, Jurisdiction & Appeals

Interim order in an intra-court appeal. A writ court had disposed of a tenant's petition by directing the licensee to grant him a connection on furnishing an indemnity bond under Clause 4.4 of the U.P. Electricity Supply Code, 2005 'ignoring the objection of the landlord' — but without deciding whether the tenant was in occupation, and without directing that supply be made even if the owner resisted. When the owner resisted installation, the contempt court directed the department and police to provide the connection within 72 hours and that the owner not object. Prima facie holding that the contempt court's direction travelled beyond the writ court's order (which neither adjudicated occupation nor directed supply against the owner's resistance), and noting that where an owner objects to supply over his premises the licensee must obtain the District Magistrate's/Commissioner's permission under the proviso to Rule 3(b) of the Works of Licensees Rules, 2006 (framed under s.176(2)(e) read with s.67(2) of the Electricity Act, 2003), the Court stayed both the contempt direction and the contempt proceedings. It also held (following Midnapore People's Co-op. Bank v. Chunilal Nanda) that a special appeal is maintainable where a contempt court issues a direction in the nature of writ-court powers beyond the writ court's order.

DISPOSITION Interim order — contempt-court direction and contempt proceedings stayed

SCJ-100 Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Private Limited & Ors. SC

2023 INSC 625

Supreme Court of India &middot; Dipankar Datta & S. Ravindra Bhat, JJ. (delivered by Bhat, J.) &middot; 17 July 2023

This is the authoritative Supreme Court ruling underlying the NCLT/NCLAT decision cited (as persuasive authority) in SCJ-090 (Narendra Singh Panwar v. PVVNL) and directly refines this corpus's IBC/electricity-arrears doctrinal cluster. Section 238 of the Insolvency and Bankruptcy Code, 2016 overrides ss.173 and 174 of the Electricity Act, 2003 (both non-obstante provisions) — the special-law-prevails maxim does not save the 2003 Act's recovery mechanism from the later, equally special IBC once liquidation has commenced; a distribution licensee (even one with government shareholding) cannot bypass the IBC's collective liquidation process and independently attach/auction a corporate debtor's property for electricity dues under ss.173/174 or the U.P. Electricity Supply Code's Clause 4.3/6.15 recovery mechanism. Electricity dues do not automatically fall within the 'government dues' category (Section 53(1)(e)/(f) IBC) merely because the licensee has government shareholding, since the licensee remains a distinct juristic entity carrying on a liberalised, privately-contestable activity — its dues, however, may still be a 'secured interest' (and hence rank as a secured creditor in the Section 53 waterfall) if such security was created by operation of law or contract, as concurrently found by the NCLT and NCLAT on the facts here (an agreement clause making outstanding dues 'a charge on the assets'). State Tax Officer v. Rainbow Papers (recognising a statutory first-charge provision as creating secured-creditor status) is confined to its facts — it did not consider the Section 53 waterfall mechanism and arose in a resolution-plan (not liquidation) context, and cannot be read to elevate government/quasi-government dues above the priorities Parliament deliberately fixed.

DISPOSITION Appeal dismissed, subject to a direction that the liquidator decide PVVNL's claim within 10 weeks

B. The Duty to Supply & Access to a Connection

17 JUDGMENTS

SCJ-016 Devendra Sharma v. State of U.P. & Others All HC

Allahabad High Court &middot; Sunil Ambwani & Pankaj Mithal, JJ. &middot; 14 July 2011

Clause 4.4 of the U.P. Electricity Supply Code, 2005 governs the processing of applications for a new connection, not the disconnection of an existing one; a dispute between landlord and tenant (or an allegedly incorrect tenancy declaration) is no ground to disconnect a validly sanctioned connection on which bills are regularly paid. A valid connection may be disconnected only on grounds authorised by the Electricity Act, 2003 and the Code (theft, unauthorised use, non-payment); disconnection for extraneous or malafide reasons is not merely a statutory breach but a violation of the right to life under Article 21.

DISPOSITION Writ petition allowed (reconnection ordered; Rs. 10,000 costs)

SCJ-030 Harihar Cold Storage v. P.V.V.N.L. & Another All HC

Allahabad High Court & Sunil Hali, J. & 22 December 2011

Also relevant to: F — Security, Load, Tariff & Regulatory Economics

Where a consumer has not committed to pay a fixed sum as minimum-guarantee charges, the licensee can recover such charges only if it ensures the minimum guaranteed supply; if the supply fails for a reason attributable to the licensee (here, a burnt transformer left unrepaired for about five months), no minimum-guarantee charges can be levied (Raymond Ltd. v. M.P. Electricity Board). Clause 4.37 of the U.P. Electricity Supply Code, 2005 (minimum-charge billing on temporary disconnection) applies only where the disconnection is due to the consumer's default, not the licensee's; and Clause 7.07 requires restoration within 24 hours / transformer replacement within 15 days. Supply given from a rural feeder cannot be billed at the urban-feeder rate; and a consumer who repairs the transformer himself, without authorisation, cannot set off the cost against his bills (remedy: civil suit).

DISPOSITION Writ petition disposed of (minimum-guarantee charges held not recoverable; rural-rate billing directed; set-off refused)

SCJ-115 Seema Mansoor v. U.P. Power Corporation Ltd. & 3 Others All HC

Allahabad High Court & Krishna Murari & Vijay Lakshmi, JJ. & 26 May 2014

A tenant/occupier's application for a new electricity connection cannot be refused solely for want of the landlord/owner's consent. Section 43 of the Electricity Act, 2003 casts a statutory duty on the distribution licensee to supply electricity to any owner or occupier applying for it, and Clause 2.2(oo) of the U.P. Electricity Supply Code, 2005 defines 'occupier' to include an authorised person in occupation (which includes a tenant). While Clause 4.4(a) (i) lists owner's consent (Annexure 4.3) among the documents ordinarily required, the Code itself provides an alternative route: Annexure 4.2, an indemnity bond that a tenant/lessee/occupier who cannot obtain the owner's consent may execute instead, indemnifying the licensee against any loss/claim arising from the owner's objection, recoverable from the occupier under the Revenue Recovery Act. Reading Clause 4.4 as providing either owner's consent OR an occupier's indemnity bond, a licensee cannot lawfully refuse connection to a tenant merely because a landlord (especially one embroiled in a rent dispute, using disconnection as leverage to evict) withholds consent — such an interpretation would nullify Rent Control Act protections and is against public policy. Two prior Division Bench decisions (Ravi Shankar Giri; Iftikhar Ahsan/Tanveer Azam) holding otherwise, having failed to notice ss.42/43 of the Act and Clause 4.4(a)(i)/Annexure 4.2 of the Code, do not lay down the correct law.

DISPOSITION Writ petition allowed; mandamus issued directing consideration and grant of connection

SCJ-210 Radhe Shyam Singh v. State of U.P. & 2 Ors. All HC

2014 SCC OnLine All 8036

Allahabad High Court & Krishna Murari, J. & Vijay Lakshmi, J. & 28 May 2014

Section 43 of the Electricity Act, 2003 casts a duty on every licensee to supply electricity to the owner OR occupier of any premises in its area. A landlord's refusal to give consent — here to pressure a tenant to vacate — cannot be a ground to refuse a new connection to the tenant in occupation, the licensee being under a legal duty under Section 43. The Court issued a mandamus directing the licensee to install a new connection in the tenant's name (subject to his completing the formalities under the U.P. Electricity Supply Code, 2005), following the Supreme Court in Chandu Khamaru v. Nayan Malik and Dr. Meena Chaudhary v. BSES Rajdhani Power Ltd.

DISPOSITION Writ petition disposed of; mandamus to provide the tenant a new connection

SCJ-220 Mohammad Rashid & Another v. State of U.P. & 3 Others All HC

2014 SCC OnLine All 11387

Allahabad High Court & Amreshwar Pratap Sahi, J. & Vivek Kumar Birla, J. & 16 July 2014

A licensee is under an obligation, under the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005, to maintain the requisite supply of electricity and not to create an imbalance. On a complaint that installing an excess transformer in the village caused over-loading and a drop in voltage that rendered the complainants' tubewell dysfunctional (allegedly to benefit a private individual), the matter requiring a technical audit, the Court directed the competent authority to assess the complaint and submit a technical report to the Managing Director, who is to examine it under the Act and the Code and pass orders within three months after putting the affected party to notice.

DISPOSITION Writ petition disposed of; technical audit of the over-loading complaint directed

SCJ-236 Iftakhar Ahsan v. State of U.P. and others All HC

2014 SCC OnLine All 81

Allahabad High Court & A.P. Sahi, J. & Anil Kumar Agarwal, J. & 3 January 2014

Under Clause 4.4(a)(vi) of the U.P. Electricity Supply Code, 2005, the owner's consent is mandatory for a new electricity connection to an occupier/tenant, and a mandamus to grant a connection cannot issue where that consent is absent. The occupier-petitioner sought a connection relying on a temporary injunction against his landlord and on a Division Bench precedent (Rajesh Kumar Gupta v. State of U.P.) which had directed grant of a connection. The Court held that precedent turned on the provisions then in force and did not aid the petitioner, since the 2005 Code (Clause 4.4(a)(vi)), unchallenged by the petitioner, now makes the owner's consent a mandatory pre-condition; the petitioner had also not impleaded the landlord. Mandamus was refused, with liberty to approach the appropriate authority or seek remedy in the pending suit.

DISPOSITION Mandamus refused; writ petition consigned to records

SCJ-190 Dr. Mamta Tripathi v. State of U.P. & 6 Ors. All HC

2015 SCC OnLine All 1878

Allahabad High Court (Lucknow Bench) & Dhananjaya Yeshwant Chandrachud, C.J. & Devendra Kumar Upadhyaya, J. & 22 January 2015

Clause 4.4 of the U.P. Electricity Supply Code, 2005 is in aid of the statutory duty to supply electricity cast by Section 43 of the Electricity Act, 2003. Where an occupier of premises applies for a connection but is unable to produce the owner's consent — particularly where there is a dispute between owner and occupier (here a tenant against her landlord) — the Code provides for the connection to be granted on furnishing an Indemnity Bond in the proforma of Annexure 4.2. Following the Division Bench in Sushama Chowdhary (itself based on the Supreme Court's Chandu Khamaru v. Nayan Malik), the Court directed the electricity authority (LESA) to process the tenant's application on that basis, inform her of any other requirements within two days, and take a final decision within a week of her compliance.

DISPOSITION Writ petition disposed of; application for connection to be processed on an indemnity bond

SCJ-249 Dakshinanchal Vidyut Vitran Nigam Ltd. v. Permanent Lok Adalat and Another All HC

2016 SCC OnLine All 1179

Allahabad High Court & V.K. Shukla, J. & Mahesh Chandra Tripathi, J. & 20 December 2016

A Permanent Lok Adalat has jurisdiction to entertain a consumer's grievance over refusal of an electricity connection (a public-utility service) - such jurisdiction being in addition to, not in derogation of, the fora under the Electricity Act, 2003 - but it cannot direct the licensee to act contrary to the Act and the U.P. Electricity Supply Code, 2005. Under Section 43 the licensee must supply an owner or occupier, and Clause 4.4 of the 2005 Code allows a non-owner occupier to apply on an indemnity bond (Annexure 4.2) in place of the owner's consent (Annexure 4.3), but only on producing proof of occupancy (valid power of attorney / latest rent receipt / registered lease deed). Here the applicant was neither owner (the property stood in his father's name, with a pending civil suit) nor able to furnish proof of occupancy; the Lok Adalat's award directing a connection merely on an indemnity bond was contrary to Clause 4.4 and was quashed.

DISPOSITION Writ petition allowed; the Permanent Lok Adalat's award directing a connection on an indemnity bond quashed, with liberty to apply afresh in compliance with the Code

SCJ-171 Vandana Srivastava v. Purvanchal Vidyut Vitran Nigam Ltd. All HC

2017 SCC OnLine All 3976

Allahabad High Court & Arun Tandon, J. & Rekha Dikshit, J. & 9 May 2017

A petitioner seeking a new electricity connection to a shop on the strength of a claimed tenancy — where the tenancy is disputed and the subject of civil litigation — must approach the writ court with clean hands. Here the trial court had, at the interim stage, recorded a categorical finding that the petitioner failed to establish even a prima facie case of tenancy and had rejected her temporary-injunction application; that order and finding, being material to the grievance (particularly to any interim relief on the connection), were suppressed in the writ petition. The writ court will not interfere for a petitioner who has not come with clean hands; the petition was dismissed.

DISPOSITION Writ petition dismissed for suppression of material facts

SCJ-027 Gaurav Sharma v. State of U.P. & 4 Others All HC

Allahabad High Court & Shashi Kant Gupta & Ajit Kumar, JJ. & 18 September 2018

Under Section 43(1) of the Electricity Act, 2003, an owner or occupier of any premises has a statutory right to a connection, and the licensee a corresponding duty to supply. Clause 4.4 of the U.P. Electricity Supply Code, 2005 and the Indemnity Bond (Annexure 4.2) enable a genuine occupier — including a family member in separate possession who cannot obtain the owner's NOC — to obtain a connection; the object of the bond is only to exclude a trespasser or house-grabber. A connection cannot be refused merely because of a family dispute or the absence of the owner's consent.

DISPOSITION Writ petition allowed (refusal quashed; connection to be reconsidered)

SCJ-033 Husna Bano v. State of U.P. & 9 Others All HC

Allahabad High Court & Ramesh Sinha & Ajit Kumar, JJ. (delivered by Ajit Kumar, J.) & 13 August 2019

A tenant/occupier who cannot obtain the landlord's NOC (here, amid a landlord-tenant and succession dispute) is entitled to a fresh electricity connection on furnishing an Indemnity Bond under Annexure 4.2 of the U.P. Electricity Supply Code, 2005; proof of possession may be shown by a Ration Card and Aadhaar (rent often being paid in cash, a rent receipt may not exist). The indemnity bond is not a document of title and the grant of a connection does not bar an eviction suit, so a landlord's refusal of NOC is no ground to deny supply. Section 43(1) casts a statutory duty to supply an owner or occupier.

DISPOSITION Writ petition allowed (refusal set aside; application to be reconsidered on the indemnity bond + ID proof)

SCJ-020 Divya Sahani v. State of U.P. & Another All HC

AIRONLINE 2021 ALL 373

Allahabad High Court & Pankaj Naqvi & Piyush Agrawal, JJ. & 17 March 2021

Clause 4.4 of the U.P. Electricity Supply Code, 2005 nowhere prohibits the grant of an electricity connection merely because the property is the subject of a pending civil dispute; Clause 4.4(a)(i) requires only that, where ownership is in litigation, a copy of the court's order be furnished. An electricity connection confers no title (Note-3 of Annexure 4.1). Disconnection or refusal solely on the ground of a pending suit is de hors the law and offends the right to live with dignity under Article 21.

DISPOSITION Writ petition allowed (mandamus to grant connection)

SCJ-212 Deepak Jain v. State of U.P. & Others All HC

2023 SCC OnLine All 890

Allahabad High Court & Mahesh Chandra Tripathi, J. & Prashant Kumar, J. & 4 September 2023

Electricity supply, monopolised by the U.P. Power Corporation, is essential for life. A tenant/occupier cannot be refused an electricity connection merely for want of the landlord's consent. Following the Division Bench in Seema Mansoor v. U.P. Power Corporation Ltd., the application of a tenant is to be considered under Clause 4.4 read with Annexures 4.2 and 4.3 of the U.P. Electricity Supply Code, 2005, which provide either for a consent letter of the owner or, in its absence, an Indemnity Bond furnished by the lessee/tenant/occupier. The Court directed the competent authority to decide the tenant's pending application within four weeks after hearing the parties with a stake.

DISPOSITION Writ petition disposed of; connection application to be decided in four weeks

SCJ-085 Mohd. Ashfaq Khan @ Ashfaq Khan v. State of U.P. thru. Addl. Chief Secy., Energy Deptt., Lucknow & 3 Others All HC

2025:AHC-LKO:10428-DB

Allahabad High Court (Lucknow Bench) & Rajan Roy & Om Prakash Shukla, JJ. & 18 February 2025

Where an electricity connection is disconnected on the application of a subsequent transferee-owner while an occupant/tenant claiming possession disputes the disconnection as harassment, the occupant may apply for restoration/fresh connection in his own name under Clause 4.4 of the U.P. Electricity Supply Code, 2005 by furnishing an indemnity bond and proof of possession; the licensee may conduct an inspection to verify possession before granting the connection, without prejudice to any civil dispute over title/possession between the parties.

DISPOSITION Writ petition disposed of; petitioner directed to apply for a fresh connection with indemnity bond/proof of possession under Clause 4.4, to be decided within one week after inspection

SCJ-105 Priya Prem v. Uttar Pradesh Power Corporation Ltd. & 4 Others All HC

2025:AHC:62434-DB

Allahabad High Court & Shekhar B. Saraf & Yogendra Kumar Srivastava, JJ. & 24 April 2025

A grievance seeking issuance of a new electricity connection under s.43 of the Electricity Act, 2003 read with Clauses 4.4 and 7.7.2 of the U.P. Electricity Supply Code, 2005 (including a claim for penalty under s.43(3) for delay), and a demand for constitution of a Consumer Grievance Redressal Forum under the UPERC (Consumer Grievance Redressal Forum) Regulations, 2022, is to be routed through the existing/designated Consumer Grievance Redressal Forum by way of a representation, to be decided expeditiously after a hearing, rather than adjudicated directly by the writ court.

DISPOSITION Writ petition disposed of; petitioner directed to approach the Consumer Grievance Redressal Forum

SCJ-199 Teena Sehgal v. State of U.P. & 2 Others All HC

2026 SCC OnLine All 5440

Allahabad High Court (Lucknow Bench) & Shekhar B. Saraf, J. & Abdhesh Kumar Chaudhary, J. & 10 April 2026

An occupier of a distinct portion of premises (here a daughter-in-law residing on the ground floor, in dispute with her mother-in-law who has shifted to solar power) is entitled to a new domestic electricity connection, but cannot obtain it without paying the electricity dues attributable to that portion. With about Rs. 2.41 lakh pending for the whole premises, the Court fixed the ground-floor liability at Rs. 1,20,000 and directed the petitioner to pay 50% within two weeks and the balance in four monthly instalments, to furnish an Indemnity Bond (Annexure 4.2 of the U.P. Electricity Supply Code, 2005) for her ground-floor residence, and to pay regular bills; on the 50% payment the authority must provide the new connection on completion of formalities.

DISPOSITION Writ petition disposed of; connection to be given on part-payment of dues and an indemnity bond

SCJ-259 Devanshu Bose v. Electricity Ombudsman, Lucknow and 4 Others All HC

2026 SCC OnLine All 9193

Allahabad High Court (Principal Bench, Allahabad) & Arindam Sinha, J. & Satya Veer Singh, J. & 28 April 2026

Interim order (no final adjudication). A resident of a gated housing colony complained that the difference between the electricity billed to the colony and the aggregate consumption recorded by the residents' prepaid house meters - alleged to represent theft, not the residents' own consumption - was being recovered from individual residents as 'common services' charges. The Court noted that under Clause 4.9 Part A, sub-clause (j) of the U.P. Electricity Supply Code, 2005 the developer/Residents' Welfare Association is mandated to apply for the connection in respect of common facilities, and directed the supply company to disclose, by affidavit, that application and the basis on which it can demand and recover common-facility charges from individual residents; the matter was adjourned. Recorded for corpus completeness; carries no final ratio.

DISPOSITION Interim/procedural order; affidavit disclosure directed and matter adjourned (listed 14.5.2026)

C. Arrears & Transferee Liability

24 JUDGMENTS

SCJ-099 Paschimanchal Vidyut Vitran Nigam Ltd. & Ors. v. M/s DVS Steels & Alloys Pvt. Ltd. & Ors. SC

(2009) 1 SCC 210

Supreme Court of India · Lokeshwar Singh Panta & R.V. Raveendran, JJ. (delivered by Raveendran, J.) · 7 November 2008

This is the foundational Supreme Court authority (cited throughout this corpus's arrears/transferee-liability cluster, e.g. SCJ-090, SCJ-098) on the interplay between the general law of contract and Clause 4.3(g)/(h) of the Electricity Supply Code. Electricity dues do not constitute a 'charge' on the premises; in the absence of a contract to the contrary, a purchaser/transferee cannot be sued or subjected to revenue recovery for a predecessor's electricity dues, since the supply contract binds only the distributor and the consumer with whom it has privity. However, this legal position affords no practical protection to a purchaser seeking a *fresh* connection: the distributor may lawfully stipulate, as a condition for supplying electricity to the premises (fresh connection or reconnection), that the predecessor's arrears be cleared first — such a stipulation (e.g. Clause 4.3(g)/(h), requiring pro-rata clearance of dues on a legally sub-divided property before a new connection is given) is not unreasonable or arbitrary and is a legitimate safeguard against consumers absconding via property transfer to evade dues. A consumer who voluntarily pays such pro-rata dues as a condition for a fresh connection, before any injunction restrains the demand, cannot later claim a refund merely because a regulatory Commission subsequently directs the distributor not to demand further such payments from future connection-seekers, absent an express refund direction; the amount is refundable only if the original consumer's disputed liability is ultimately negated or actually cleared.

DISPOSITION Appeal allowed; High Court order set aside, writ petition of the purchaser-consumer dismissed

SCJ-225 Raman Ispat (Pvt.) Ltd. & Anr. v. Pashchimanchal Vidyut Vitran Nigam Ltd. & Ors. All HC

2009 SCC OnLine All 1064

Allahabad High Court · Sunil Ambwani, J. & Ran Vijai Singh, J. · 4 September 2009

Where a purchaser of premises seeks a fresh electricity connection or enhancement of load to the same premises, the distributor may lawfully stipulate, as a condition of supply, the clearing of the arrears left by the previous consumer of those premises. Although past electricity dues are not a charge on the premises and a transferee/subsequent occupant with no privity cannot be saddled with a predecessor's dues (*Isha Marbles*; *Ahmedabad Electricity Co.*), the Supreme Court in *PVVNL v. DUS Steels* held that when the purchaser approaches the distributor for a fresh connection or enhanced load to the same premises, the distributor can stipulate payment of the arrears as a condition, and such a stipulation is neither unreasonable nor arbitrary; the amended Clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005 further makes seller and purchaser jointly and severally liable and the outstanding dues a first charge on the company's assets. On the facts, the Court, lifting the corporate veil, found R.P. Singh to be the person behind M/s Sai Steels, M/s Singh Alloys and the petitioner M/s Raman Ispat, and held that the recovery of Sai Steels' dues could be made a condition precedent to enhancement of Raman Ispat's load; the petitioners, having spun a web of acquisitions and name-changes and not come with clean hands, were denied relief and the petitions dismissed with costs.

DISPOSITION All three connected writ petitions dismissed with costs

SCJ-031 Haryana State Electricity Board v. M/s Hanuman Rice Mills, Dhanauri & Ors. SC

AIR 2010 SC 3835; (2010) 9 SCC 145

Supreme Court of India & R.V. Raveendran & H.L. Gokhale, JJ. (delivered by R.V. Raveendran, J.) & 20 August 2010

Also relevant to: K — Fora, Jurisdiction & Appeals

Electricity arrears do not constitute a charge over the premises; so, in general law, a transferee or auction-purchaser of premises cannot be made liable for the electricity dues of the previous owner/occupier. But where statutory rules, or terms and conditions of supply that are statutory in character, authorise the supplier to demand the previous owner's arrears from a purchaser seeking a fresh or re-connection, the supplier can recover them. Here, the Board pleaded no such statutory rule or condition (the enabling term was introduced in Haryana only in 2001, after the 1991 connection and 1995 demand), so the arrears of the previous owner could not be enforced against the auction-purchaser. Provisions such as Clause 4.3(g) and (h) of an Electricity Supply Code are what make such recovery permissible.

DISPOSITION Appeal dismissed (auction-purchaser not liable for the previous owner's arrears)**SCJ-063 M/S Rayana Paper Board Industries Ltd. v. U.P. Power Corporation Ltd. & Ors. All HC**

Allahabad High Court & Devi Prasad Singh & S.C. Chaurasia, JJ. & 8 January 2010

Clause 4.3(ii)-(iii) of the U.P. Electricity Supply Code, 2005 obliges a vendor to clear outstanding electricity dues before selling premises (or disclose them in the sale deed) and allows a purchaser who has not obtained a no-dues certificate to apply for one, with the licensee bound to disclose pending dues or issue the certificate within 30 working days. This creates a leverage for the licensee to withhold a new electricity connection to the premises (or refuse to transfer the existing one) until the outstanding dues are cleared, but does not by itself authorise coercive RECOVERY of the previous owner's dues from the purchaser as arrears of land revenue — such coercive recovery against a person who never consumed the electricity requires an express enabling statutory/Code provision, absent which the licensee's remedy is confined to withholding a fresh connection, and it must pursue recovery against the original defaulting consumer.

DISPOSITION Writ petition allowed; recovery citation against the purchaser quashed (liberty to proceed against the original owner)**SCJ-125 Smt. Pawan Jha @ Priya Jha v. State of U.P. And Others All HC**

Allahabad High Court & Amitava Lala & Ashok Srivastava, JJ. & 26 May 2011

Applying the DVS Steels/Hanuman Rice Mills doctrine (this corpus, SCJ-099) to a novel fact pattern, a subsequent allottee of premises under an Allahabad Development Authority (ADA) EWS-flat allotment stands in no materially different position than a private purchaser of premises: where the erstwhile occupier/owner left electricity dues unpaid, the licensee is entitled to insist on clearance of those arrears (or a portion thereof through equitable moulding) as a condition of releasing a fresh connection to the new allottee, since the liability attaches to the premises/connection rather than merely to the departed consumer personally. The new allottee is not without remedy — she may independently pursue recovery of any amount she is compelled to pay from the erstwhile occupier/owner through appropriate proceedings — but cannot resist the licensee's demand as a precondition to obtaining a fresh connection. Equitable relief moulding (permitting phased/installment payment and mandating a time-bound connection upon initial part-payment) is appropriate to balance the licensee's revenue-recovery interest against the hardship of an incoming allottee with no personal fault.

DISPOSITION Writ petition disposed of; recovery from petitioner upheld subject to moulded relief (installments and time-bound connection), with liberty to proceed against the erstwhile occupier separately

SCJ-127 Special Officer, Commerce, North Eastern Electricity Company of Orissa (NESCO) & Anr. v. M/s Raghunath Paper Mills Private Limited & Anr. SC

(2013) 2 SCC 373

Supreme Court of India &mdot; P. Sathasivam & Ranjan Gogoi, JJ. &mdot; 9 November 2012

Sub-clause 10(b) of Regulation 13 of the Orissa Electricity Regulatory Commission Distribution (Conditions of Supply) Code, 2004 — which bars transfer of a service connection from one consumer's name to another's until the previous occupier's arrears are cleared — applies only to a request for transfer of an existing service connection, not to an application for a fresh connection by a purchaser (here, an auction-purchaser from an Official Liquidator on an 'as is where is, whatever there is' basis) who has no privity of contract with the licensee. Since electricity dues do not constitute a charge on the premises, a purchaser cannot be compelled to clear a previous occupant's arrears as a precondition to a fresh connection unless a specific statutory rule or a validly stipulated term of supply so requires; the words 'other dues including the security as may be payable' in the relevant Regulations/Forms do not extend to arrears of the earlier consumer. Synthesising the Court's own precedents — *Isha Marbles* (arrears do not bind a bona fide third-party purchaser absent privity), *DVS Steels & Alloys* (a distributor may, however, lawfully stipulate arrears-clearance as a condition of a fresh connection where its rules/regulations permit), *Ahmedabad Electricity Co. v. Gujarat Inns* (auction-purchasers not liable for previous owners' arrears absent a specific statutory provision), and *Haryana State Electricity Board v. Hanuman Rice Mills* (summarising: arrears create no charge on the property in general law, but a supplier may recover them from a purchaser seeking reconnection/fresh connection where its statutory rules or supply conditions expressly so authorise) — the Court held that, absent such an express authorising provision (and Sub-clause 10(b) here being limited to transfers, not fresh connections), the demand for arrears as a precondition to a fresh connection was unsustainable.

DISPOSITION Civil appeal dismissed; High Court's quashing of the arrears-demand order affirmed

SCJ-129 Sri Piyush Kumar v. State of U.P. Thru' Secretary Lucknow And Others All HC

AIR 2012 Allahabad 97

Allahabad High Court &mdot; Sunil Ambwani & Pankaj Naqvi, JJ. &mdot; 27 March 2012

A company director who signs an electricity supply agreement 'on behalf of the Company' as its agent incurs no personal liability for the company's electricity dues, since a company is an artificial person that can only contract through agents, and the normal mode of signing does not itself impose personal liability on the signing director (Companies Act, 1956, s.46) absent an express personal guarantee, undertaking, or specific statutory provision. Because the demand notice and recovery citation here predated the U.P. Electricity Supply Code, 2005, Clause 4.3(f) of that Code (which for the first time makes outstanding company dues a first charge on the company's assets, permits recovery from directors only where the company's assets are insufficient, and requires the licensee to enter such a stipulation into new agreements) had no application; even applying Clause 4.3(f)(iv)-(v) prospectively, the licensee must first exhaust recovery against the company's assets before proceeding against directors personally, and the record here contained no averment that this had been done.

DISPOSITION Writ petition partly allowed; recovery citation against the petitioner-director quashed; licensee left free to proceed against the company

SCJ-007 Anubhav Jaiswal v. State of U.P. & 4 Others All HC

Allahabad High Court &mdot; Amreshwar Pratap Sahi, J. & Vivek Kumar Birla, J. &mdot; 27 August 2014

Under Clause 4.3 of the U.P. Electricity Supply Code, 2005 outstanding electricity dues are the first charge on the premises (Clause 4.3(f)(iv)); but where the property has been legally sub-divided, the dues are apportioned pro-rata (Clause 4.3(g)) and a new connection to a sub-divided portion is released on payment only of the share attributable to that portion (Clause 4.3(h)). A subsequent purchaser of part of a premises cannot be saddled with the dues of the entire premises; the licensee must determine the pro-rata share afresh, after notice to the original owner.

DISPOSITION Writ petition disposed of (remand for pro-rata determination after notice to the prior owner)

SCJ-012 Chandra Prakash Gupta v. State of U.P. & 3 Others All HC

Allahabad High Court & Amreshwar Pratap Sahi & Anil Kumar Agarwal, JJ. (delivered by Amreshwar Pratap Sahi, J.) & 23 January 2014

The pre-2005 rule that, absent any statutory provision, an auction-purchaser applying for a fresh connection cannot be fastened with the previous owner's electricity dues (Ahmedabad Electricity Co. v. Gujarat Inns, 2004) is displaced by Clause 4.1 of the U.P. Electricity Supply Code, 2005, promulgated after 2004, which now statutorily bars a new connection on premises with arrears unless a No-Dues Certificate is furnished. A SARFAESI auction-purchaser must therefore obtain a No-Dues Certificate before a fresh connection is released.

DISPOSITION Writ petition disposed of (auction-purchaser may apply on furnishing a No-Dues Certificate)

SCJ-174 Meva Ram v. State of U.P. & 2 Others All HC

2014 SCC OnLine All 11279

Allahabad High Court & Amreshwar Pratap Sahi, J. & Vivek Kumar Birla, J. & 15 July 2014

The transfer/mutation of a tubewell electricity connection under Clause 4.44 of the U.P. Electricity Supply Code, 2005 can be effected only on clearance of all dues, and the competent authority is the Executive Engineer of the Division. In a family dispute over a connection originally standing in the names of two co-holders (one since deceased), the parties agreed, and the Court directed, that the connection be transferred to the person willing to undertake all liabilities (the deceased co-holder's son), the Executive Engineer realising the entire dues before effecting the transfer and thereafter forthwith restoring supply (the matter being urgent given the drought and unsown paddy). A connected contempt application was discharged on the consent recorded.

DISPOSITION Writ petition disposed of by consent; connection to be transferred on clearing all dues

SCJ-196 Ganga Dayal v. State of U.P. & 2 Others All HC

2014 SCC OnLine All 6593

Allahabad High Court & Sanjay Misra, J. & Anant Kumar, J. & 9 May 2014

The transfer/mutation of an electricity connection into a new holder's name under Clause 4.44 of the U.P. Electricity Supply Code, 2005 can be done only on clearance of all arrears against the connection and on completion of the requisite formalities, the competent authority being the Executive Engineer of the Division. Where the applicant claimed the arrears had been cleared under a one-time settlement and that a co-holder had surrendered his rights, the Court directed the competent authority to consider his prescribed-form application under Clause 4.44 in accordance with law within three weeks, and, if not yet applied in proper form, permitted him to complete the formalities first.

DISPOSITION Writ petition disposed of; application for transfer/mutation to be considered under Clause 4.44

SCJ-223 Virendra Kumar Mittal v. U.P. Power Corporation Ltd. & 2 Others All HC

2014 SCC OnLine All 6594

Allahabad High Court & Sanjay Misra, J. & Anant Kumar, J. & 9 May 2014

The right to a new electricity connection on deposit of the estimate is independent of a consumer's liability to pay a theft assessment whose liability is still to be determined. Where a theft assessment (28.12.2010) was pending adjudication before the Special Judge (E.C. Act) at the licensee's own instance, the licensee could not, under Clause 4.3 of the U.P. Electricity Supply Code, treat the undetermined theft-assessment amount as an 'outstanding due' so as to refuse a new connection (the CGRF having already directed the connection). Following the Supreme Court in Dr. Meena Chaudhary v. BSES Rajdhani Power Ltd., the Court directed that, on the consumer depositing the estimate and furnishing security (other than cash or bank guarantee) for the disputed theft amount, the new connection be provided; whether the theft assessment is an 'outstanding due' under Clause 4.3 abides the Special Judge's decision.

DISPOSITION Writ petition disposed of; new connection to be given on securing the disputed theft-assessment amount

SCJ-194 Dhyanendra Singh v. State of U.P. & 5 Others All HC

2016 SCC OnLine All 1570

Allahabad High Court & V.K. Shukla, A.C.J. & Mahesh Chandra Tripathi, J. & 5 July 2016

Where there is a serious allegation, the subject of pending criminal proceedings, that an electricity connection was obtained on the basis of forged documents, the writ court will not, under Article 226, direct restoration of that connection. A co-sharer of the property having complained that the tubewell connection was obtained on a forged affidavit and lodged an FIR, and the competent authority having rejected restoration on that ground, the Court found no illegality warranting interference. It left the petitioner at liberty to make a fresh application for a connection under the U.P. Electricity Supply Code, 2005, to be considered in accordance with law.

DISPOSITION Writ petition disposed of; restoration refused; liberty to apply afresh

SCJ-229 Smt. Soni Dwivedi v. Madhyanchal Vidyut Vitran Nigam Ltd. thru. its Chairman & Ors. All HC

2016 SCC OnLine All 1675

Allahabad High Court & Narayan Shukla, J. & Anant Kumar, J. & 19 July 2016

A new electricity connection to a purchaser of premises may lawfully be refused until the arrears standing against the erstwhile owner/occupier of those premises are cleared. Clause 4.1 of the U.P. Electricity Supply Code, 2005 obliges the licensee to supply on application, but its third and further provisos provide that where arrears exist on premises whose ownership has changed, a new connection shall be released to the new owner only on a No-Dues Certificate under Clause 4.3(f), and that a new connection shall not be released to a new applicant on the same premises while arrears subsist. The purchaser's reliance on Isha Marbles was rejected: that decision arose under the Electricity Act, 1910 read with the Bihar and Orissa Public Demands Recovery Act, 1914 (auction-purchaser context), whereas here the 2005 Code governs the field and makes clearing the previous dues a condition precedent to a new connection. The petitioner's remedy is to enforce the sale deed against the seller; her liability to the department for a new connection is not absolved. Writ dismissed.

DISPOSITION Writ petition dismissed

SCJ-036 Jitendra Kumar Gupta & Anr. v. State of U.P. & Ors. All HC

Allahabad High Court (Lucknow Bench) & Amreshwar Pratap Sahi & Sanjay Harkauli, JJ. & 7 February 2017

Under Clause 4.3(f) of the U.P. Electricity Supply Code, 2005, the 'outstanding dues' on a premises include all electricity dues — whether arising from a valid connection or from a post-theft assessment — and are realizable from a subsequent purchaser, who must obtain a No-Dues Certificate; the fact that the theft was a personal criminal liability of the previous occupant does not exclude the assessed amount, which is a due on the premises. Recovery from the purchaser is, however, subject to adjustment against any amount recovered from the original defaulter, so there is no double recovery.

DISPOSITION Writ petition disposed of (subsequent purchaser liable for premises dues, subject to adjustment; 50% deposit for connection)

SCJ-124 Smt. Beena Dubey v. M.D. Kanpur Electricity Supply Co. Ltd. & 4 Others All HC

Allahabad High Court & Amreshwar Pratap Sahi & Rajiv Lochan Mehrotra, JJ. & 21 September 2017

Under Clause 4.3(f)(vi) of the U.P. Electricity Supply Code, 2005, where an electricity connection is given to a tenant with the landlord's consent, the landlord's liability for clearing all electricity arrears/dues becomes co-extensive with the tenant's before the tenant vacates the premises — even though the landlord never directly gave consent or an undertaking of liability to the Electricity Department, a tenancy agreement clause (permitting the tenant to obtain the connection and bear its charges) suffices as the owner's consent under Clause 4.4(a)(vi) for the connection to be given in the first place, and Clause 4.3(f)(vi) then independently imposes co-extensive liability on the landlord for clearing dues before the tenant's departure. Recovery from the landlord is accordingly lawful, without prejudice to the landlord's remedies (civil recovery, cheque-dishonour prosecution under s.138 Negotiable Instruments Act, or the licensee's own action) against the defaulting tenant, and without prejudice to the landlord seeking installment or other relief available under the Supply Code.

DISPOSITION Writ petition disposed of; recovery proceedings against the landlord-petitioner upheld, with liberty to seek redressal/pursue the tenant

SCJ-245 Mukesh Kumar and 3 Others v. State of U.P. and 4 Others All HC

2017 SCC OnLine All 6

Allahabad High Court & Dilip B. Bhosale, C.J. & Suneet Kumar, J. & 4 January 2017

Recovery of a company's electricity dues from its directors under Clause 4.3(f)(v) of the U.P. Electricity Supply Code, 2005 is to be attempted only after exhausting recovery against the company's assets, and any such step against directors abides the outcome of pending writ petitions in which the enforceability of the notices and the vires of Clause 4.3(f)(v) are under challenge. On the parties' agreed arrangement, the Court directed the Corporation first to take all steps to recover from the company (M/s Kumar Casting Pvt. Ltd.), and only if the dues remain unrecovered even after sale of the company's assets to proceed against the directors, after and subject to the disposal of Writ-C Nos. 39095 of 2015 and 8370 of 2016; the petitioners' contentions, including the challenge to Clause 4.3(f)(v) and the definition of 'consumer' in Section 2(15) of the Electricity Act, 2003, were kept open.

DISPOSITION Writ petition disposed of on a consent arrangement; recovery to proceed first against the company's assets, and against directors only after and subject to the outcome of pending writs; the vires challenge to Clause 4.3(f)(v) kept open

SCJ-248 Kalawati Rana v. U.P. Power Corporation Ltd. Thru its M.D./Chairman and Another All HC

2017 SCC OnLine All 4594 : (2017) 3 All LJ 267

Allahabad High Court & V.K. Shukla, J. & Ashok Kumar, J. & 6 March 2017

A new electricity connection to a purchaser of premises may lawfully be refused until the arrears standing against the erstwhile owner of those premises are cleared. Under the third proviso to Clause 4.1 of the U.P. Electricity Supply Code, 2005, where arrears exist on premises whose ownership has changed, a new connection is released to the new owner only on a No-Dues Certificate under Clause 4.3(f). Following the coordinate-bench decision in Pawan Jha and the Supreme Court in PVVNL v. DVS Steels and Haryana SEB v. Hanuman Rice Mills, the Court held that although past dues are not a charge on the premises and cannot be foisted on a transferee as such, the distributor may stipulate clearing the arrears as a condition of a fresh connection to the same premises; a sale-deed clause casting the dues on the seller does not bind the licensee. The refusal was upheld, with liberty to the purchaser to deposit the erstwhile owner's dues and obtain a No-Dues Certificate.

DISPOSITION Writ petition disposed of; refusal of the new connection upheld, with liberty to obtain a No-Dues Certificate on depositing the erstwhile owner's dues

SCJ-098 Palika Towns LLP v. State of U.P. & 2 Others All HC

Allahabad High Court & middot; Surya Prakash Kesarwani & Vikas Budhwar, JJ. & middot; 27 May 2022

Not itself a Supply Code case — a dispute over whether an IBC-liquidation auction purchaser of an industrial leasehold plot (from Greater Noida Industrial Development Authority) is liable for the corporate debtor-lessee's pre-existing arrears of lease rent and interest, where the purchaser had signed a Transfer Memorandum and accepted a Certificate of Sale incorporating the lease covenants. The Court held the purchaser liable, applying the lease deed's specific 'first charge' clause (excluding the general Transfer of Property Act s.55(1)(g) rule) and the doctrine against approbating and reprobating. In reasoning through whether such arrears run with the property to a purchaser, the Court surveyed — as persuasive analogy — the Supreme Court's electricity-dues-transferee-liability jurisprudence (Haryana SEB v. Hanuman Rice Mills; Paschimanchal Vidyut Vitran Nigam Ltd. v. DVS Steels & Alloys; Telangana State Southern Power Distribution Co. Ltd.), summarizing the settled position that electricity dues do not themselves constitute a charge on the property (so a transferee is not liable absent a specific statutory/regulatory or contractual stipulation), but that such a stipulation (e.g. Clause 4.3(g)/(h) equivalent conditions, or an auction notice/'AS IS WHERE IS' clause expressly flagging the dues) can validly bind the purchaser. This is directly relevant to, and reinforces, this corpus's electricity-arrears/transferee-liability doctrinal cluster (K.C. Ninan and its line), even though the arrears at issue here were lease rent, not electricity dues. Recorded for corpus completeness and its citation-ledger value.

DISPOSITION Writ petition dismissed; refund of lease-rent arrears/interest deposited under protest refused

SCJ-006 Anand Kumar v. State of U.P. & 2 Others All HC

Allahabad High Court & middot; Surya Prakash Kesarwani, J. & Anish Kumar Gupta, J. (delivered by Anish Kumar Gupta, J.) & middot; 17 February 2023

Also relevant to: B — The Duty to Supply & Access to a Connection

Under the U.P. Electricity Supply Code, 2005 a 'premises' (Clause 2(ss)) is the specific portion for which a connection is sought, and a tenant is an 'occupier' (Clause 2(oo)) with a statutory right to apply for supply. The arrears-bar in the third proviso to Clause 4.1 operates only against dues on the same premises; by Clause 4.3(h) a licensee cannot refuse a new connection to an occupier of a distinct sub-premises on the ground that dues on other portions of the building are unpaid, and must instead pursue the defaulters under Clause 4.3(f)(v). A tenant may obtain a connection on an indemnity bond (Annexure 4.2, Clause 4.4) where the owner's consent is absent.

DISPOSITION Writ petition disposed of (direction to process the tenant's connection application)

SCJ-037 K.C. Ninan v. Kerala State Electricity Board & Ors. SC

(2023) SCC OnLine SC 603; Civil Appeal Nos. 2109-2110 of 2004 (batch)

Supreme Court of India &mdot; Dr D.Y. Chandrachud, CJI, Hima Kohli & P.S. Narasimha, JJ. (judgment delivered by Chandrachud, CJI) &mdot; 19 May 2023

Also relevant to: B — The Duty to Supply & Access to a Connection H — Billing, Recovery, Limitation & Disconnection

The duty to supply electricity under Section 43 of the Electricity Act, 2003 is not absolute; it is subject to the charges and compliances stipulated by the utility, and is owed with respect to the owner or occupier of particular premises (a consumer-premises synergy) — one becomes a 'consumer' only for the premises for which supply is sought and provided, so an application for the same premises earlier supplied is a 'reconnection' while different premises make it a fresh connection even for the same consumer. A Condition of Supply requiring a new owner to clear the previous owner's electricity arrears as a precondition to supply has a statutory character (Section 49 of the 1948 Act); the regulatory power under Section 50, and the rule-making power under Section 181 read with Section 50, are wide enough to stipulate recovery of a previous owner's arrears from a new/subsequent owner and to create a statutory charge on the premises even absent a charge-creating provision in the plenary statute. The power to recover arrears by suit is independent of the power to disconnect under Section 56; and 'as is where is' puts every auction-bidder on notice of dues including electricity dues. Isha Marbles is substantially qualified. (Interest from the date of the supply applications was waived under Article 142.)

DISPOSITION Reference answered by ten conclusions (para 328); recovery of principal arrears from transferees/auction-purchasers upheld where a statutory Condition of Supply/Code so provides; interest accrued from the date of the purchasers' supply applications waived under Article 142

SCJ-090 Narendra Singh Panwar v. Pashchimanchal Vidyut Vitran Nigam Ltd. & 2 Others All HC

Allahabad High Court &mdot; Sunita Agarwal & Vipin Chandra Dixit, JJ. &mdot; 12 January 2023

Approval of a resolution plan under Section 31 of the Insolvency and Bankruptcy Code, 2016 and consequent discharge/liquidation of a defaulter consumer-company (the Corporate Debtor) does not ipso facto extinguish the personal liability of its Director who has furnished an independent personal guarantee/undertaking for the company's electricity dues — the moratorium under Section 14 IBC applies only to the Corporate Debtor's own assets and proceedings, not to a personal guarantor, whose liability is co-extensive with the principal debtor's under Section 128 of the Indian Contract Act, 1872 and survives the discharge of the principal debtor by operation of law. Clauses 4.3(f)(v) and 6.15 of the U.P. Electricity Supply Code, 2005 empower the licensee to proceed against a company's Directors for recovery of the company's electricity dues as arrears of land revenue under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958; a challenge to the vires of Clause 4.3(f)(v) (on the ground that a Director does not fall within the s.2(15) 'consumer' definition) cannot be entertained where no foundation for the vires challenge was laid in the writ petition itself.

DISPOSITION Writ petition dismissed; recovery notice against the Director not quashed

SCJ-005 Amir Ahmad v. State of U.P. & 4 Others All HC

2025:AHC:164765-DB

Allahabad High Court &mdot; Arindam Sinha, J. & Avnish Saxena, J. (delivered by Arindam Sinha, J.) &mdot; 16 September 2025

An auction-purchaser of premises sold on an 'as-is-where-is' basis under the SARFAESI Act is bound by Clause 4.3(f)(i) and (viii) of the U.P. Electricity Supply Code, 2005 to ascertain and clear outstanding electricity dues on the premises before a new connection is released; a recital in the sale certificate that the property is free from encumbrances, or that the vendor did not consume electricity, does not displace the statutory charge. Following K.C. Ninan v. Kerala State Electricity Board, a utility may, by subordinate legislation or supply code, create a charge for arrears recoverable from a subsequent transferee — the principle of 'buyer beware' applying to the auction-purchaser.

DISPOSITION Writ petition disposed of (auction-purchaser must clear dues under Clause 4.3(f))

SCJ-054 M/S Dharti Agro Industries Pvt. Ltd. v. The Managing Director, Pashchimanchal Vidyut Vitran Nigam Ltd. & 2 Others All HC

2025:AHC:166904-DB

Allahabad High Court & Arindam Sinha & Prashant Kumar, JJ. (delivered by Prashant Kumar, J.) & 18 September 2025

Where a corporate debtor's electricity dues arose before it went into liquidation under the Insolvency and Bankruptcy Code, 2016, and the electricity licensee has already participated in the liquidation proceedings and submitted its claim to the Liquidator, Section 238 of the IBC (a later, non-obstante special enactment) overrides Sections 173-174 of the Electricity Act, 2003 and Clause 4.3(f)(iv) of the U.P. Electricity Supply Code, 2005 (which makes outstanding dues a first charge on the premises); the licensee cannot simultaneously pursue its IBC claim before the Liquidator and also withhold or condition a fresh electricity connection to the auction-purchaser of the premises on payment of the former owner's arrears. *K.C. Ninan v. Kerala SEB*, which upholds a statutory Supply Code condition making a transferee liable for a previous owner's arrears, is confined to ordinary transfers outside the IBC framework and does not apply once liquidation proceedings under the IBC have been triggered and the utility has submitted its claim; the licensee's recourse is confined to the IBC Section 53 waterfall/distribution mechanism through the Liquidator, not recovery/refusal-to-connect under the Electricity Act.

DISPOSITION Writ petition allowed; demand order set aside; licensee directed to install the connection and recover its dues only from the Liquidator

D. Insolvency Interface (IBC & winding-up)

2 JUDGMENTS

SCJ-157 South East U.P. Power Transmission Company Ltd. v. Prescribed Authority & Ors. (with Tata Steel Ltd. v. State of U.P.) All HC

2026 SCC OnLine All 3329

Allahabad High Court & Ajit Kumar, J. & Swarupama Chaturvedi, J. (delivered by Swarupama Chaturvedi, J.) & 24 April 2026 (reserved 11 February 2026)

Where a corporate debtor has emerged from insolvency under an NCLT-approved resolution plan, electricity dues relating to the period prior to approval of the plan that were neither filed as claims during the CIRP nor incorporated in the resolution plan stand extinguished under Section 31 of the Insolvency and Bankruptcy Code, 2016: the successful resolution applicant takes over on a 'clean slate'. Section 238 IBC, a later non-obstante provision, prevails over the Electricity Act, 2003 — including the Act's own overriding clauses in Sections 173 and 174 — so electricity dues enjoy no immunity from extinguishment; *State Tax Officer v. Rainbow Papers* and the Telangana DISCOM case are distinguished, and *Paschimanchal Vidyut Vitran Nigam Ltd.*, *Ghanashyam Mishra*, *Essar Steel* and *Ruchi Soya* are followed. Publication of the CIRP announcement is sufficient notice to statutory authorities, who cannot demand separate notice, and continuity of the company's name does not revive pre-CIRP dues. Pre-CIRP demand notices are quashed; the authorities remain free to raise fresh demands for the post-resolution period in accordance with law, which must themselves meet standards of fairness, transparent computation and disclosure.

DISPOSITION Writ petitions allowed; pre-CIRP electricity demand notices quashed

SCJ-160 Reliance Projects and Property Management Services Ltd. v. State of U.P. & Others All HC

2026 SCC OnLine All 3330

Allahabad High Court & Ajit Kumar, J. & Swarupama Chaturvedi, J. & 24 April 2026 (reserved 12 February 2026)

Companion to SCJ-157 (same Bench). The successful resolution applicant that took over the corporate debtor (RITL) under an NCLT-approved and implemented resolution plan cannot be saddled with dues for the period before the plan's 'effective date' (here 22-12-2022, the date of actual takeover on deposit of the resolution amount). Under Section 31 IBC the approved plan binds all stakeholders including statutory authorities and, on the clean-slate principle, extinguishes every claim not filed during the CIRP or not provided for in the plan — across all pre-effective-date phases (pre-CIRP dues, CIRP-period operational costs, and the monitoring-committee/transition phase up to the effective date). Liability crystallises only from the effective date, determined by the plan's implementation structure and the actual transition of control (particularly where implementation was delayed by litigation), and the exclusion-of-time principle enures to the resolved debtor, not to the tardy statutory creditors. Because the IBC has overriding effect (s.238), even electricity arrears that would otherwise run with the premises under the Electricity Act cannot be demanded for the pre-effective-date period. The impugned recovery certificates and Kruki (attachment) proceedings for the pre-effective-date period are quashed; the authorities may raise fresh demands only for dues arising after 22-12-2022.

DISPOSITION Writ petition allowed; pre-effective-date demand notices, recovery certificates and coercive proceedings quashed

E. Premises, Site, Estimates & Feeders

14 JUDGMENTS

SCJ-094 Northern Coalfield Ltd. v. Chairman and Managing Director, U.P. Power Corporation Ltd. & Ors. All HC

2006 (2) AWC 1642

Allahabad High Court & Yatindra Singh & R.K. Rastogi, JJ. & 18 October 2005

Also relevant to: F — Security, Load, Tariff & Regulatory Economics

Under the Tariff Order 2000-01 (HV-2 category), a consumer's liability to pay a 15% surcharge for taking power during 'restricted/peak hours' is independent of, and cumulative with, its liability to pay a separate 15% surcharge for being on an 'independent feeder' emanating from a 400/220/132 KV sub-station — a consumer availing both benefits pays a total 30% surcharge. An 'independent feeder' does not cease to be independent merely because other consumers are supplied from other feeders emanating from the same sub-station; it ceases to be independent only where another consumer is tapped onto the same feeder. The definition of 'Independent Feeder' first appeared in the Electricity Supply Code 2002 and was worded differently in the Electricity Supply Code 2005 (feeder for a single consumer or group of consumers with a similar process on the same/contiguous premises); since the Tariff Order 2000-01 predates both Codes and does not itself define the term, its ordinary meaning governs for that tariff period. A licensee cannot alter or vary a Commission-approved tariff order by its own circular/notification (following LML Ltd., Kanpur v. State of U.P.); where the two conflict, the tariff order prevails.

DISPOSITION Appeal partly allowed

SCJ-101 Pawan Kumar Agarwal s/o M.P. Agarwal v. State of U.P. thru. Secretary & Ors. All HC

2008 (1) AWC 158

Allahabad High Court & R.K. Agrawal & Sabhajeet Yadav, JJ. & 12 October 2007

Under Clause 3.4(a) of the U.P. Electricity Supply Code, supply through an independent feeder is mandatory only for the specifically enumerated industries (Arc/Induction furnaces, Rolling Mills, Re-rolling Mills, Mini steel plants) with a load of 1000 KVA and above — this list is not illustrative but specific and restrictive. Clause 3.4(b), by contrast, gives *other* consumers (including those enumerated in 3.4(a) but with a load below 1000 KVA, and townships/institutions/etc. with load above 500 KVA) an *option*, not an obligation, to take supply via an independent feeder; a licensee cannot compel such a consumer to bear independent-feeder costs where supply via a shared/dependent feeder is found technically feasible. A generalized concern about electricity theft does not justify insisting on an independent feeder outside Clause 3.4(a)'s mandatory scope, since the Code separately provides ample anti-theft mechanisms; the Code being statutory, its provisions must be adhered to as written.

DISPOSITION Writ petition allowed; condition requiring an independent feeder connection quashed

SCJ-258 Executive Engineer, Electricity Urban Distribution Division IInd v. Electricity Ombudsman, Lucknow & Ors. All HC

2010 SCC OnLine All 2611 : (2010) 6 All LJ 446

Allahabad High Court & Sunil Ambwani, J. & Kashi Nath Pandey, J. & 23 August 2010

Also relevant to: [K — Fora, Jurisdiction & Appeals](#)

Two holdings. (i) Under Clause 4.6(a) of the U.P. Electricity Supply Code, 2005 a sanctioned estimate is valid for three months and, the applicant having completed all formalities and deposited the estimate, the connection must be drawn/metered within the stipulated period; the department's own delay and a consequent re-demarcation of the area cannot justify shifting the consumer to a different (costlier) feeder or demanding a fresh estimate (proviso 4.6(g): estimates sanctioned before a revision of charges are not to be charged in excess). The Ombudsman rightly directed connection to the tube well on the old estimate from the urban feeder, billed under rate schedule LMV-5.3(b). (ii) The scope of interference with an Electricity Ombudsman's award is limited: the award has the flavour of an arbitral award and is challengeable only on grounds akin to Section 34 of the Arbitration and Conciliation Act, 1996 (jurisdictional error, breach of natural justice, violation of the Act/Code/Rules/rate schedule, fraud, or conflict with public policy) - reiterating *Purvanchal Vidyut Vitran Nigam Ltd. v. Vidyut Lokpal*. No such ground being made out, the writ was dismissed.

DISPOSITION Writ petition dismissed; the Electricity Ombudsman's award (upholding the CGRF's directions) sustained

SCJ-052 M/S Birla Aircon v. District Magistrate, Meerut & Ors. All HC

Allahabad High Court & Ashok Bhushan & Sunita Agarwal, JJ. & 23 August 2012

Under Clause 2.2(ss) of the U.P. Electricity Supply Code, 2005 (materially identical to Clause 2.2(an) of the 2002 Code), 'premises' means the area/portion of the building/shed/field etc. for which the electric connection has been applied for or sanctioned to a single consumer. Recovery of a defaulting consumer's dues as arrears of land revenue, and sealing under that process, can extend only to the premises (as so defined) actually covered by the sanctioned connection; where a third firm at the same or an adjoining municipal address (sharing a common history/registration lineage with the defaulter but holding no electricity connection of its own) disputes that its distinct premises were swept into the sealing, and there is insufficient material to determine the precise scope of the sanctioned premises as of the date of sanction, the matter is remitted to the Collector for a fact-specific inquiry (including spot inspection) rather than decided on the writ record.

DISPOSITION Writ petition disposed of (liberty to object before the Collector against sealing of the non-defaulting firm's premises)

SCJ-067 M/S Shri Parasnath Alloys (Pvt.) Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd. &**Ors.** All HC

Allahabad High Court & Ashok Bhushan & Abhinava Upadhyaya, JJ. (delivered by Abhinava Upadhyaya, J.) & 17 April 2013

Under Clause 3.4(d)(ii) of the U.P. Electricity Supply Code, 2005, the consent required before the licensee permits another consumer to tap an independent feeder (for Arc/Induction Furnaces, Rolling Mills, Re-rolling Mills and Mini Steel Plants) is the consent of the 'original consumer' — i.e. the consumer at whose instance and cost the independent feeder itself was constructed — not of every subsequent consumer who was merely permitted to tap the already-constructed feeder on paying only the cost of the connecting line from the tapping (T-off) point to its own premises. A consumer who bore only the connection-line cost (not the feeder's own construction cost) does not thereby become a co-original-consumer whose consent is required for further downstream tapping to other similar-process consumers; that status, and the corresponding consent right, is confined to the party that actually funded the independent feeder's construction (distinguishing Kesarwani Sheetalaya, where the objecting consumer had itself obtained the original consumer's consent and shared the feeder's construction cost).

DISPOSITION Writ petition dismissed**SCJ-123 Sigma Castings Ltd. & Another v. Purvanchal Vidyut Vitran Nigam Ltd. & Others (with Kundan Castings (P) Ltd.; PVVNL v. Vidyut Lokpal; M/s Shyam Ferrous Ltd.)** All HC

Allahabad High Court & Ashok Bhushan & Manoj Kumar Gupta, JJ. & 12 September 2013

Also relevant to: F — Security, Load, Tariff & Regulatory Economics

Clause 3.4(a) of the U.P. Electricity Supply Code, 2005's mandatory independent-feeder requirement for load of 1000 KVA and above to Arc/Induction furnaces, Rolling Mills, Re-rolling Mills and Mini steel plants applies to BOTH new connections AND applications for enhancement of load — whether or not the enhancement results in a change of system or voltage of supply under Clause 4.43(b)/(c) — since Clause 3.4 is a substantive provision using the word 'only', which cannot be rendered otiose by a narrower reading of Clause 4.43 (a purely procedural/time-frame provision); harmonious construction requires reading Clause 4.43 together with, not in isolation from, Clause 3.4. A licensee's mixed feeder (serving multiple unrelated consumers/processes) is not an 'independent feeder' within Clause 2.2(ff), so Clause 3.4(d)'s tapping-permission provision (for independent feeders where separate-feeder construction is infeasible) cannot be invoked to justify tapping a mixed feeder for Clause 3.4(a)-covered industries. An Electricity Ombudsman's award must be consistent with the Act and the Supply Code (Regulation 11, UPERC Consumer Grievance Redressal Forum & Ombudsman Regulations, 2007); an award directing supply via a mixed feeder in derogation of Clause 3.4(a) exceeds the Ombudsman's jurisdiction and is quashed, following Punjab SEB v. Vishwa Calibere Builders (Ombudsman cannot direct regularisation/relief absent statutory/regulatory basis). A prior instance of a licensee mistakenly or inadvertently supplying another Clause 3.4(a) consumer via a mixed feeder cannot found a claim of discriminatory treatment under Article 14, since Article 14 does not guarantee negative equality (following Chandigarh Administration v. Jagjit Singh; State of Orissa v. Mamata Mohanty).

DISPOSITION Writ petitions disposed of variously — bank-guarantee conditions quashed; independent-feeder requirement upheld; Electricity Ombudsman's award quashed

SCJ-244 Raj Narayan Singh v. State of U.P. and Others All HC

2013 SCC OnLine All 1445

Allahabad High Court & Sunil Ambwani, J. & Bharat Bhushan, J. & 5 March 2013

Clause 3.4 of the U.P. Electricity Supply Code, 2005 (supply through independent feeders, and the conditions for tapping such feeders, including the original consumer's consent) applies only where supply is released through an independent feeder - for Arc/Induction furnaces, Rolling/Re-rolling Mills and mini steel plants of 1000 KVA and above, or (on request, bearing the charges) other loads above 500 KVA. A small consumer running a tube-well on a 2 HP / 2 KW connection, who merely deposited the cost of ordinary lines and a transformer, does not have an independent feeder and acquires no right under Clause 3.4 to object to the licensee tapping that transformer/line to supply another consumer. The Court held Clause 3.4 inapplicable, but observed that tapping should be permitted only if technically feasible and after the licensee records satisfaction that the petitioner's own supply will not be affected.

DISPOSITION Writ petition disposed of; no right to object to tapping, but licensee may allow tapping only after recording feasibility that the petitioner's supply is unaffected

SCJ-201 Smt. Madhu Rani Agrawal v. State of U.P. & 5 Others All HC

2014 SCC OnLine All 229

Allahabad High Court & Amreshwar Pratap Sahi, J. & Anil Kumar Agarwal, J. & 7 January 2014

A consumer cannot insist on supplying and installing the equipment (transformer, poles, etc.) for a new electricity connection herself. Under the regulations and the Cost Data Book, where installation is to be made up to 500 metres from the pole/connection the entire installation work is done by the Electricity Department itself (beyond that, charges are levied or the consumer may be allowed to install at her own expense). Clause 4.6 of the U.P. Electricity Supply Code, 2005 provides that the estimate for release of a new connection includes the charges of laying the line, distribution mains, material and system-loading charges — which covers the installation of poles and transformer. The Department is therefore obliged to carry out the installation and the consumer is obliged to pay for it; the plea to self-install (installation being within 500 metres) had no merit.

DISPOSITION Writ petition dismissed

SCJ-072 M/S. Kamla Cold Storage And Ice Factory v. M.V.V.N.L. & Anr. All HC

Allahabad High Court & Ramesh Sinha & Ajit Kumar, JJ. & 18 February 2020

Section 62(6) of the Electricity Act, 2003 entitles a consumer to interest at the bank rate only where the licensee has recovered a price or charge EXCEEDING the tariff determined under Section 62 — i.e. genuine overcharging above the prescribed tariff. A rebate under the tariff order (as defined in Clause 2.2(yy)/(zz) of the U.P. Electricity Supply Code, 2005, read with the 'energy charge'/'fixed charge'/'demand charge' definitions in Clause 2.2) is a concession applied to the bill generated from the tariff-calculated charges, not itself part of the chargeable tariff; delay in crediting a rebate (as opposed to charging a higher-than-prescribed tariff) does not attract Section 62(6) interest, since it is not a case of the licensee having recovered an amount exceeding the tariff.

DISPOSITION Writ petition dismissed

SCJ-230 KPB Metals Private Limited v. State of U.P. and Others All HC

2022 SCC OnLine All 940

Allahabad High Court & Manoj Misra, J. & Vikas Budhwar, J. & 2 November 2022

Extending an existing sanctioned-load connection to newly-acquired adjoining plots is a 'change in site of the sanctioned load', barred by Clause 4.8(d)(i) of the U.P. Electricity Supply Code, 2005, and is not an internal 'change in wiring/apparatus/service line' within the same premises under Clause 4.45(c). Read with the definition of 'premises' in Clause 2.2(ss) - the area for which the connection has been applied for or sanctioned for a single consumer - the premises here was the single khasra (267M) for which the connection was sanctioned; the plots (265, 266) acquired later, after the sanction, did not become part of those premises merely by being contiguous. The Executive Engineer was justified in invoking Clause 4.8(d) to reject the request; the consumer's remedy is to apply for a fresh connection for the new premises or to seek disconnection and a fresh connection for the entire premises. Petition dismissed.

DISPOSITION Writ petition dismissed**SCJ-021 Dr. Ashok Kumar Sharma & Another v. State of U.P. & 4 Others** All HC

2024:AHC:31947-DB

Allahabad High Court & Saumitra Dayal Singh & Manjive Shukla, JJ. (delivered by Saumitra Dayal Singh, J.) & 23 February 2024

A tenant is an 'occupier' under Clause 2(oo) of the U.P. Electricity Supply Code, 2005, with a statutory right to apply for a connection (on an indemnity bond, Clause 4.4) and cannot be denied supply merely for want of the landlord's NOC (Dilip v. Satish; Anand Kumar). But 'occupier' means a person authorised to occupy the premises; a tenant against whom an unstayed decree of eviction operates cannot be recognised as authorised to occupy, and a connection may be refused at that stage — with liberty to apply if the decree is later set aside, recalled or stayed.

DISPOSITION Writ petition disposed of (connection refused at this stage; liberty if the eviction decree is set aside/stayed)**SCJ-104 Priy Shankar Pandey v. State of U.P. & 4 Others** All HC

2024:AHC:167473-DB

Allahabad High Court & Shekhar B. Saraf & Manish Kumar Nigam, JJ. & 21 October 2024

Under Clause 4.5(d) of the U.P. Electricity Supply Code, 2005, a person over whose land an electricity supply line is being laid has a right to object to the laying of that line. Clause 3 of the Works of Licensees Rules, 2006 empowers the District Magistrate, Commissioner of Police, or other authorised officer to resolve such an objection, balancing the landowner's rights against the public interest in the work (e.g. rural electrification) not being unduly stalled.

DISPOSITION Writ petition disposed of; petitioner directed to apply under Clause 3, Works of Licensees Rules, 2006, with status quo pending decision**SCJ-120 Shivmahraj v. State of U.P. & 6 Others** All HC

2024:AHC:105830-DB

Allahabad High Court & Shekhar B. Saraf & Manjive Shukla, JJ. & 1 July 2024

Companion ruling to SCJ-104 (Priy Shankar Pandey v. State of U.P.), decided by an overlapping Bench roughly contemporaneously, on materially identical facts: a landowner's objection to a new electric pole/line being erected on his private property to supply village residents is to be resolved under Clause 3 of the Works of Licensees Rules, 2006 by the District Magistrate (or Commissioner of Police/authorised officer), balancing the landowner's Clause 4.5(d) Supply Code right to object against the public interest in the electrification work not being unduly stalled.

DISPOSITION Writ petition disposed of; petitioner directed to appear before District Magistrate with status quo pending decision

SCJ-169 Abhimanyu Singh v. State of U.P. & 7 Others All HC

2026 SCC OnLine All 5411

Allahabad High Court & Arindam Sinha, J. & Satya Veer Singh, J. & 9 April 2026

On the cost of extending a new connection under the U.P. Electricity Supply Code, 2005, direct transmission from the distribution main to the point of supply is at the licensee's cost; but where a third party's objection (here neighbours asserting the applicant's property is landlocked) requires the licensee to adopt an alternate/longer route, the cost differential is to be borne by the applicant (Clause 4.5(d)). Where the applicant first opted to do the work himself (attracting only supervision charges under Clause 4.6(e)) and then asked the licensee to give the supply, a revised estimate follows. The licensee was directed to furnish particulars of the cost of the direct route and of the longer route necessitated by the objection, demand only the differential, adjust any excess already deposited against future bills (or collect any shortfall), and give the supply within two weeks.

DISPOSITION Writ petition disposed of with directions on the fresh estimate and supply

F. Security, Load, Tariff & Regulatory Economics

17 JUDGMENTS

SCJ-156 Noida Power Company Ltd. v. State of U.P. & Anr. All HC

2005 SCC OnLine All 1117

Allahabad High Court (Lucknow Bench) & Pradeep Kant, J. & G.K. Gupta, J. & 10 November 2005

A long-running dispute over the power-purchase price payable by Noida Power Company Ltd. (a joint-venture licensee for Greater Noida, licensed under the Indian Electricity Act, 1910 and a licensee under s.2(6) of the Electricity (Supply) Act, 1948) to the U.P. State Electricity Board under a 1993 agreement (tentative Rs. 1.66/unit, to be revised by an Independent Authority). Held: from the constitution of the U.P. Electricity Regulatory Commission on 25.4.1998, only the Commission is competent to determine the tariff/power-purchase price — under s.10(a) of the U.P. Electricity Reforms Act, 1999 (and s.22 of the 1998 Act) — irrespective of Clause 7(a) of the agreement and notwithstanding the agreement's protection under s.47 of the Electricity (Supply) Act, 1948; the Commission also has jurisdiction under s.10(q)/s.22(2)(n) to adjudicate disputes between licensees and utilities, s.52 having overriding effect. NPCL is entitled to a reasonable return, and the rate may appropriately be fixed by reverse application of the Sixth Schedule principles. The Commission's determination rested on settled norms and was affirmed; two mistaken observations by the Commission (that the agreement had 'broken down' and that no scheme existed) did not affect its jurisdiction or order.

DISPOSITION Writ petition allowed; Beg Committee (Third) Report set aside; the Commission's determination affirmed

SCJ-155 M/s Saini Alloys Pvt. Ltd. v. U.P. Power Corporation, Lucknow & Ors. All HC

2006 SCC OnLine All 1312

Allahabad High Court (Lucknow Bench) & S.R. Alam, J. & Bhanwar Singh, J. & 19 October 2006

IMPORTANT — this High Court judgment was **REVERSED** by the Supreme Court in *Badri Kedar Paper (P) Ltd. v. U.P. Electricity Regulatory Commission*, (2009) 3 SCC 754, and is no longer good law; it is digested for the record and to trace the doctrine's history. The High Court held that under the U.P. Electricity Reforms Act, 1999 the tariff is determined by the U.P. Electricity Regulatory Commission and a distribution licensee (UPPCL) has no power to alter it: the circulars of 8-9-2000 and 15-12-2000 offering an option out of the guaranteed 500-hours supply / affecting the 15% independent-feeder surcharge were issued without following the mandatory procedure of Section 24(5)-(8) and were void ab initio, with no 'deemed approval'; the later circular of 31-8-2001 withdrawing them was valid. There is no promissory estoppel against a statute, so the licensee could not be compelled to honour a surcharge-exemption promise contrary to Section 24. Whether the guaranteed supply was in fact provided is a question of fact for the prescribed authority hearing objections to the bills, not for the Commission (whose role is tariff determination) or the Court. The prior Division Bench in *L.M.L.'s* case was binding and followed.

DISPOSITION Appeals and writ petition dismissed with costs (subsequently **REVERSED** by the Supreme Court)

SCJ-246 M/s L.M.L. Ltd. v. State of U.P. & Ors. All HC

2009 SCC OnLine All 1157 : (2009) 6 All LJ 537 : (2009) 77 ALR (SUM 57) 26 : 2010 AIHC 480

Allahabad High Court & Ashok Bhushan, J. & R.A. Singh, J. & 18 September 2009

Also relevant to: A — Statutory Architecture, Vires & Interpretation

A licensee's decision to reduce a consumer's contracted load, once taken, leaves only ministerial steps, and cannot be undone by later insistence on requirements not demanded at the time. The petitioner (a loss-making two-wheeler manufacturer, notified a 'Relief Undertaking' under the U.P. Industrial Undertaking (Special Provisions for Prevention of Unemployment) Act, 1966, and later a sick unit) applied on 31.3.2006 to reduce load from 8 MVA to 1.25 MVA after a lock-out halted production; the licensee agreed in a signed meeting on 19.4.2006, subject only to ministerial conditions, and the UPERC (8.5.2006) raised no objection. The Court held: (i) the reduction stood approved on 19.4.2006, effective from the first day of the following month (1.5.2006) under Clause 4.41(e); (ii) the relief-undertaking notification under ss.3-4 of the 1966 Act operates as a statutory stay of recovery, satisfying the 'stay by Court/Forum' condition of Clause 4.49; (iii) the unamended Clause 4.49 (which then accepted a bond or any instrument, including an affidavit of undertaking, not only a bank guarantee) governed the 31.3.2006 application, so the later demand for a bank guarantee (based on the 14.9.2006 amendment) was irrelevant; and (iv) no UPERC approval was needed for a licensee's load-reduction decision. Continuing to bill at 8 MVA after a production halt was unjust. This judgment was **AFFIRMED** by the Supreme Court in *Kanpur Electricity Supply Co. Ltd. v. LML Ltd.*, (2010) 6 SCC 165.

DISPOSITION Writ petition allowed; the reduction of contracted load from 8 MVA to 1.25 MVA held to have stood approved on 19.4.2006, effective from 1.5.2006

SCJ-252 Tehri Girders Limited and another v. Paschimanchal Vidyut Vitran Nigam Limited and others (with R.A. Castings, Sikka Papers and connected petitions) All HC

2009 SCC OnLine All 1262 : (2009) 77 ALR 669 : (2010) 1 All LJ 59 : 2010 AIHC 663

Allahabad High Court & Ashok Bhushan, J. & R.A. Singh, J. & 2009 (2009 SCC OnLine All 1262)

Additional security demanded under Section 47 of the Electricity Act, 2003 on enhancement of load is not 'dues' recoverable by any process under the Act or the U.P. Electricity Supply Code, 2005, and therefore Clause 4.49 of the Code (which applies where recovery of 'dues' has been stayed by a court/forum) is not attracted; a licensee cannot demand a bank guarantee under Clause 4.49 for an additional-security amount stayed by the court. Security is in the nature of an advance payment (Ferro Alloys), the relationship being depositor-depositee not debtor-creditor, and 'dues' connotes an amount owed as an enforceable debt; the only consequence of non-payment of additional security is non-release of the additional load and discontinuance of supply, with no recovery process contemplated (Mirzapur Electric Supply). The Court distinguished withdrawal of a load-factor rebate, which does become a 'due' recoverable, and upheld a bank-guarantee demand to that extent.

DISPOSITION Petitions challenging bank-guarantee demands for additional security allowed; the connected petition on withdrawal of load-factor rebate dismissed (that amount being a due)

SCJ-255 M/s. Suvidha Engineers India Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd. & Ors. All HC

2009 SCC OnLine All 1773 : (2010) 1 All LJ 35

Allahabad High Court & Ashok Bhushan, J. & R.A. Singh, J. & 15 October 2009

Also relevant to: [A — Statutory Architecture, Vires & Interpretation](#)

Clause 4.49 of the U.P. Electricity Supply Code, 2005 - which requires a bank guarantee for a stayed dues/assessment amount as a condition of releasing enhanced load - is intra vires and constitutional. The Supply Code specified under Section 50 of the Electricity Act, 2003 is not confined to the subjects enumerated in Section 50; it is a compilation of regulations traceable to Section 181(2)(p)-(x) and the general power in Section 181(1), and 'supply' in Section 86(1) is read liberally to include ancillary measures for protecting/preserving revenue. Clause 4.49 is a protective provision (not a recovery mechanism), and the petitioner's grounds fail: it does not offend Section 127(2) (which concerns the pre-deposit for an appeal), nor Section 56(2) (the two-year bar does not apply since the amount is under stay, which presupposes it is recoverable), nor the power of judicial review (the bank guarantee arises only because the consumer sought load enhancement, and does not override the court's stay - Cauvery, S.S. Bola and Indian Aluminium distinguished). The petitions were dismissed, with liberty to represent on the bank-guarantee quantum. (Companion to Tehri Girders (SCJ-252), decided by the same Bench, which held additional security is not 'dues' under Clause 4.49.)

DISPOSITION Both writ petitions dismissed; the challenge to the vires of Clause 4.49 refused, with liberty to represent on the quantum of the bank guarantee

SCJ-038 Kanpur Electricity Supply Co. Ltd. & Anr. v. M/s L.M.L. Limited & Ors. SC

AIR 2010 SC 1946; (2010) 6 SCC 165

Supreme Court of India &mdash; Altamas Kabir, Cyriac Joseph & C.K. Prasad, JJ. (delivered by Altamas Kabir, J.) &mdash; 7 May 2010

Also relevant to: H — Billing, Recovery, Limitation & Disconnection

Under Clause 4.41 read with the unamended Clause 4.49 of the U.P. Electricity Supply Code, 2005 (as in force when the reduction was decided on 19.4.2006), a consumer with disputed/stayed arrears seeking reduction of contracted load could furnish 'either a Bank Guarantee, or Bonds, or any instruments to the satisfaction of the licensee' of the pending dues; the effective date of reduction is the first day of the month following sanction (Clause 4.41(e)). A licensee that agreed to the reduction and was fully aware of the consumer's status as a Relief Undertaking / Sick Industrial Company (and of the BIFR order to accept instalments and not disconnect) could not defeat the agreed reduction by insisting on a Bank Guarantee and rejecting a Bond, and could not continue billing on the higher load. Annexure 6.5 / Clause 6.16 / Clause 9.5 accord protective treatment to sick/relief undertakings.

DISPOSITION Special leave petition dismissed (load-reduction upheld; effective from 1.5.2006)**SCJ-261 Kanpur Electricity Supply Co. Ltd. and another v. Uttar Pradesh Electricity Regulatory Commission, Lucknow and others** All HC

2011 SCC OnLine All 1879 : (2012) 90 ALR 649

Allahabad High Court &mdash; Sudhir Agarwal, J. &mdash; 23 November 2011

A charitable institution that provides services free of cost, or at charges not exceeding those of similar Government-operated institutions, is governed by tariff schedule LMV-4(A) (not LMV-4(B)), and concurrent findings of fact of the CGRF and the Electricity Ombudsman to that effect will not be interfered with. A charitable eye-hospital (which performed thousands of free eye operations and charged less than Government hospitals) had been wrongly billed under LMV-4(B); the CGRF directed correction under LMV-4(A) with a penalty under para 7.7.2 of the Code, and the Ombudsman affirmed. The licensee (a State-owned company) itself conceded before the Court that LMV-4(A) applied; the Court dismissed the writ as wholly frivolous and vexatious, deprecating the filing of meritless litigation by State instrumentalities, and imposed costs of Rs. 10,000 with liberty to recover them from the officials responsible.

DISPOSITION Writ petition dismissed as frivolous/vexatious with costs of Rs. 10,000 (recoverable from the officials responsible for advising the filing)**SCJ-166 Hyundai Engineering and Construction Co. Ltd. v. State of U.P. & Others** All HC

2013 SCC OnLine All 8908

Allahabad High Court &mdash; Manoj Misra, J. &mdash; 10 October 2013

A power connection taken for construction/civil work is 'temporary supply' under Part C of Rate Schedule LMV-9 of the U.P. tariff, and the classification turns on the nature and purpose of the supply, not the load factor. Under Clause (3) of Part C, such a consumer pays the net rate of the appropriate schedule (here HV-2, Large & Heavy Power) plus 25%. A construction company that took an HV-2-load connection for the Naini Bridge works was therefore rightly charged HV-2 + 25%. 'Temporary' means lasting for a limited or defined time; where the agreement fixes the period (two years, extendable year to year) or the supply is for a specific purpose that by its nature will not last indefinitely, the supply is temporary even if it continues for two or three years. Under Clauses 7(a) and 7(d) of the supply agreement the consumer was liable to pay the applicable rates and any other charge; the 25% additional demand was neither arbitrary nor dehors the agreement, and the writ (against the appellate order affirming the demand) was dismissed.

DISPOSITION Writ petition dismissed; 25% additional (temporary-supply) charge upheld

SCJ-219 Shri Satguru Metalloys (Pvt.) Ltd. v. State of U.P. & 3 Others All HC

2013 SCC OnLine All 8379

Allahabad High Court & Vineet Saran, J. & Manoj Kumar Gupta, J. & 4 October 2013

Interim order. On an application for load enhancement, the consumer was required under Clause 4.49 of the U.P. Electricity Supply Code, 2005 to furnish a bank guarantee of about Rs. 1.79 crore. The consumer contended that the earlier final assessment of Rs. 3.58 crore had already been set aside on appeal (with no fresh assessment yet passed), so no demand could be raised, and separately challenged Clause 4.49 as arbitrary and violative of Article 14. Holding the matter to require consideration, the Court stayed the direction to furnish the bank guarantee unless a fresh assessment order is passed in terms of the appellate order.

DISPOSITION Interim order — bank-guarantee demand under Clause 4.49 stayed

SCJ-250 Barnala Steel Industries Ltd. v. Pashchimanchal Vidyut Vitran Nigam Ltd. and Anr. All HC

2013 SCC OnLine All 10200

Allahabad High Court & Ashok Bhushan, J. & Vipin Sinha, J. & 31 October 2013

Additional security demanded on enhancement of load is not 'dues' within Clause 4.49 of the U.P. Electricity Supply Code, 2005, and a bank guarantee for such additional security cannot be demanded - following the coordinate Division Bench in Tehri Girders Ltd. v. PVVNL, against which no SLP was filed. The petitioner's load enhancement was sanctioned (25.5.2013) subject to furnishing a bank guarantee of Rs. 2,66,70,160 for the additional-security amount. Applying Tehri Girders (para 30), which held that Clause 4.49 speaks of 'recovery of any dues' and additional security is not a recoverable due (its only consequence on non-payment being non-release of load / discontinuance of supply), the Court held the bank-guarantee demand unjustified and quashed it, while directing compliance with the sanction's other conditions.

DISPOSITION Writ petition disposed of; the demand of a bank guarantee for the additional-security amount quashed, the consumer to comply with the other conditions of the load-enhancement sanction

SCJ-066 M/S Shokumbhari Pulp & Paper Mills Ltd. v. U.P. Power Corporation Ltd. & 3 Others (with connected petitions) All HC

Allahabad High Court & Vineet Saran & Attau Rahman Masoodi, JJ. & 1 April 2014

A revised electricity tariff notified by the U.P. Electricity Regulatory Commission and published by the licensee cannot be given retrospective effect. Under Clause 3.8(a) of the U.P. Electricity Supply Code, 2005 (read with Section 24(7) of the U.P. Electricity Reforms Act, 1999 and Regulation 139(2) of the UPERC (Conduct of Business) Regulations, 2004), a tariff takes effect only seven days after the date of its publication in at least two widely-circulating daily newspapers; there is no statutory power to notify a tariff revision applicable from a date preceding its publication. A licensee's notification purporting to apply a revised tariff from a date before the seven-day publication window is quashed, and any amount realised on that retrospective basis must be adjusted in the consumers' future bills.

DISPOSITION Writ petitions allowed; retrospective application of the tariff notification quashed

SCJ-175 M/s Forntier Alloy Steels Ltd. v. Dakshinanchal Vidyut Vitran Nigam Ltd. & 2 Others All HC

2014 SCC OnLine All 2727

Allahabad High Court & Vineet Saran, J. & Attau Rahman Masoodi, J. & 20 February 2014

Interim order only. A demand for additional security under Clause 4.20 of the U.P. Electricity Supply Code, 2005 was challenged; following an earlier interim order granted in a similar matter (Supreme Ceramics Limited v. Paschimanchal Vidyut Vitran Nigam Ltd.), and identical questions being involved in several matters, the Court, without prejudice to the parties' rights and contentions, restrained the respondents from demanding additional security from the petitioner until further orders, and directed the petition be connected and listed with the lead matter. No final view on the validity of the additional-security demand was expressed.

DISPOSITION Interim order — licensee restrained from demanding additional security pending the petition

SCJ-053 M/S Dev Prayag Paper Mill (Pvt.) & Ors. v. State of U.P. & Ors. (batch of ~90 connected writ petitions) All HC

Allahabad High Court & Dilip B. Bhosale, Chief Justice & Yashwant Varma, J. (delivered by Bhosale, CJ) & 21 March 2017

Clause 4.20(l) of the U.P. Electricity Supply Code, 2005 (barring a distribution licensee from requiring security under Section 47(1) if the consumer is prepared to take supply through a prepayment meter, 'as and when' the licensee offers that choice) is not ultra vires Section 47(5) of the Electricity Act, 2003. Section 47(5) is not a free-standing override of Section 47(1)-(4); the words 'subject to the provisions of this section' in Section 47(1) mean the security determination is governed by Section 47 read as a whole, not subservient only to sub-section (5). The exemption from security in sub-section (5) is conditioned on the actual availability of a prepayment meter — the consumer's mere 'preparedness' to take supply through such a meter does not, by itself, denude the licensee of the power to demand security where prepayment meters for the relevant consumer category (here, High Tension consumers) are not manufactured or available in the market; a demand for additional security on account of increased consumption remains valid until such meters become available. Read with Section 55 (which only mandates a 'correct meter', not a prepayment meter), Clause 4.20(l) tracks and does not exceed Section 47(5).

DISPOSITION Writ petitions dismissed; all interim orders discharged

SCJ-010 BSES Rajdhani Power Ltd. v. Delhi Electricity Regulatory Commission SC

Supreme Court of India & S. Abdul Nazeer & Krishna Murari, JJ. (delivered by S. Abdul Nazeer, J.) & 18 October 2022

Also relevant to: [I — Unauthorised Use of Electricity \(s.126\)](#)

A tariff order made under Section 64 of the Electricity Act, 2003 is quasi-judicial and binding until amended or revoked under Section 64(6); at the 'truing up' stage the Regulator cannot 'change the rules of the game after it has begun' by altering the methodology/principles of the initial determination, which would be an impermissible retrospective revision of tariff. Separately, on enforcement (theft/unauthorised-use) sales: where the Supply Code Regulations and Section 126 create a legal fiction that assessed energy is 'deemed' consumed/sold, that fiction must be carried to its logical end — the assessed units must be treated as 'sales', notwithstanding a Lok Adalat settlement reducing only the rupee amount.

DISPOSITION Appeals allowed in part (DERC/APTEL findings on Issues 1-6 set aside to the stated extent)

SCJ-002 Suman Engineering and Chemicals Pvt. Ltd. v. U.P.P.C.L. & 4 Others All HC

2023:AHC:219951-DB

Allahabad High Court & Manoj Kumar Gupta, J. & Manish Kumar Nigam, J. (delivered by Manoj Kumar Gupta, J.) & 21 November 2023

System-loading charges recovered as part of a connection estimate under the U.P. Electricity Supply Code, 2005 are a normative exaction towards extension and upgradation of the distribution system, and fall due only on a person who enjoys the benefit of that system by actually taking supply. Where a sanctioned load is cancelled before any electricity is supplied — here for want of a pollution NOC, for which the applicant was not responsible — the applicant remains a mere prospective consumer and cannot be saddled with system-loading charges; they are refundable with interest. Clause 4.21(a)'s bar on refund “for reduction of load” applies only to a continuing beneficiary of the system, not to one who never took supply. Charges for a service line or electric plant, by contrast, may be retained under Section 46 of the Electricity Act, 2003 to the extent the licensee proves actual expenditure reasonably incurred; extension of distribution mains and new sub-stations, being the licensee's own statutory obligation under the first proviso to Section 43(1), cannot be loaded onto the consumer.

DISPOSITION Writ petition allowed in part**SCJ-133 Tehsil Bar Association, Sadar Tehsil Parisar, Gandhi Nagar, Ghaziabad v. U.P. Power Corporation Limited And 3 Others** All HC

2023:AHC:155009-DB

Allahabad High Court & Surya Prakash Kesarwani & Anish Kumar Gupta, JJ. & 3 August 2023

The legal profession is not a 'commercial activity' for electricity tariff purposes — following a long line of authority (Dr. D.M. Surti v. State of Gujarat; V. Sasidharan v. M/s Peter and Karunakar; M.P. Electricity Board v. Shiv Narayan) holding that a professional activity carried on through personal skill, intelligence and individual characteristics is fundamentally distinct from a commercial activity, an advocate's chamber cannot be billed under a non-domestic/commercial rate schedule (LMV-2) merely because the residuary Clause 13 of the tariff schedule assigns unclassified consumers to LMV-2. Since Clause 3.3(e) of the U.P. Electricity Supply Code, 2005 already recognises that professionals (including lawyers) using up to 50 sq. m. of residential space for professional/consultancy work do not attract non-domestic tariff, and long-standing licensee circulars (1983, 1985) classified lawyers' offices as LMV-1, an advocate's chamber — even one located within a court compound rather than a residential building — must be billed under rate schedule LMV-1 (domestic), not LMV-2, and licensees within the same State (governed by the same Electricity Regulatory Commission-approved rate schedule) cannot discriminate between similarly situated advocates' chambers in different court compounds.

DISPOSITION Writ petition allowed; respondents directed to bill electricity consumption in advocates' court-premises chambers under rate schedule LMV-1 (domestic)

SCJ-136 Torrent Power Limited v. U.P. Electricity Regulatory Commission & Ors. SC

2025 INSC 838

Supreme Court of India & J.B. Pardiwala & R. Mahadevan, JJ. & 14 July 2025

A distribution franchisee appointed under the seventh proviso to Section 14 of the Electricity Act, 2003 is the agent of the distribution licensee, which alone is accountable to consumers and to the Electricity Regulatory Commission (ERC) for the franchisee's conduct; the Act does not envisage direct regulatory oversight of a franchisee by an ERC, and an investigation under Section 128 (which requires the ERC's 'satisfaction' that a licensee has failed to comply with its licence or the Act) cannot be ordered to micromanage or review a franchisee's performance metrics (loss reduction, collection efficiency) absent a concrete showing that the distribution licensee itself has violated its licence conditions or the Act/Regulations. An ERC's jurisdiction to entertain a 'public interest' petition under Section 128/129 is confined to matters where the Act itself mandates public-interest consideration (tariff determination, power procurement, licensee/utility management safeguarding consumer interest) — bare allegations without documentation or a demonstrated tariff-order violation do not meet the threshold. Cross-subsidisation of a franchisee's below-bulk-supply input rate by consumers in a licensee's other areas is not, standing alone, an impermissible or unlawful practice, since input-rate franchisee models in high-loss areas inherently require rates below the average bulk supply cost to attract viable bids; courts will not second-guess the wisdom of such a commercial/regulatory arrangement absent evidence of illegality.

DISPOSITION Appeal allowed; APTEL's order (affirming UPERC's order constituting an Expert Committee to review a distribution franchisee's performance) set aside

G. Metering

15 JUDGMENTS

SCJ-162 Smt. Amrawati Devi v. Purvanchal Vidyut Vitran Nigam Ltd. & Anr. All HC

2009 SCC OnLine All 26

Allahabad High Court & V.M. Sahai, J. & Ran Vijai Singh, J. & 15 January 2009

The leading Division Bench statement on Clause 5.6(c)(iii) of the U.P. Electricity Supply Code, 2005: where a defective/allegedly-tampered meter is sealed and sent for testing, it must be tested 'at licensee's lab/independent lab/electrical inspector, as agreed by the consumer', and the consumer's agreement is essential. Because the clause operates harshly against the consumer it is construed strictly, and the licensee has a corresponding DUTY to apprise the consumer of the right to choose the testing venue (including an independent agency); failure to do so renders the sealing and testing proceedings irregular and illegal. A notice merely stating that the meter will be tested at the licensee's lab, without intimating the right to independent testing, is contrary to law. No waiver of the option can be inferred against a consumer who was never informed of it, since waiver requires full knowledge of the right and there is no presumption that everyone knows the law. The Court prescribed that after sealing, the Nigam must serve a notice — printed in bold capitals — inviting the consumer to exercise the option (electrical inspector / Nigam lab / an approved outside agency, with the list supplied), fix a testing date in the consumer's presence, and treat the resulting report as final.

DISPOSITION Writ petition allowed; provisional assessment notice quashed; meter to be tested by an independent agency

SCJ-003 Abhinav Seva Sansthan Mahavidyalaya v. U.P. Power Corporation Nigam Ltd. &**Ors.** All HC

Allahabad High Court & Sunil Ambwani, J. & Kashi Nath Pandey, J. & 24 March 2011

Also relevant to: J — Theft (s.135) & Chapter VIII of the Code

Where a consumer has paid compounding charges for meter tampering / theft of electricity under Section 152 of the Electricity Act, 2003, the tampering stands compounded and the licensee need not follow the meter sealing/testing procedure of para 5.6(d) of the U.P. Electricity Supply Code, 2005 before the assessment can stand. Section 152 operates at two stages: under sub-section (2), where no prosecution has yet been instituted, payment of the compounding sum sets the person at liberty and bars proceedings; sub-section (3) (acceptance deemed an acquittal) applies only where a prosecution is already pending. Compounding therefore does not require a pending prosecution. A compounding amount paid without protest or contemporaneous objection cannot later be assailed as realised under coercion.

DISPOSITION Writ petition dismissed (liberty to appeal the final assessment)**SCJ-059 M/S Modern Rice Mill v. MVVNL & Anr.** All HC

Allahabad High Court & Sudhir Agarwal, J. & 19 October 2011

Also relevant to: I — Unauthorised Use of Electricity (s.126)

Clause 5.6 of the U.P. Electricity Supply Code, 2005 gives the licensee the right to test 'any meter' on reasonable doubt of accuracy — its marginal heading 'Defective Meters' does not restrict its scope only to meters already known to be defective, since a marginal note/heading is not a legitimate aid to statutory construction. Where the licensee itself invokes Clause 5.6 to test a meter, it must test it at its own laboratory or an independent laboratory (or by consumer-option check-meter) and follow the Clause 5.6(d) procedural safeguards (advance notice of the testing date, opportunity to be present, signature on the test result sheet); testing by the meter's own manufacturer (e.g. 'Secure Meters Ltd.') is not testing by an 'independent laboratory', since a commercial manufacturer with an interest in defending its product's tamper-proof reputation cannot be judge in its own cause. Where the Electricity Act (as it stood on the date of checking) prescribes an assessment rate of one-and-a-half times the tariff, that statutory rate prevails over any discrepant multiple in the Supply Code or in the orders of the assessing/appellate authorities. Assessment under Section 126 is a penal exercise and cannot be enlarged to include dues (e.g. electricity duty) not contemplated by the statute/Code. Minimum consumption/guarantee charges for a period of disconnection are chargeable only where the disconnection is attributable to the consumer's own fault (e.g. established theft); a consumer cannot be penalised for a disconnection attributable to the licensee.

DISPOSITION Writ petition allowed; assessment and appellate orders quashed (liberty to reassess afresh)

SCJ-071 M/S Venus Stone Crushing Co. & Anr. v. U.P. Power Corporation Ltd. & Ors. All HC

AIR 2013 All 47; (2012) 8 ADJ 221

Allahabad High Court & Sudhir Agarwal, J. & 15 May 2012

Under paras 5.17, 5.18 and 5.20 of the U.P. Electricity Supply Code, 2002 (materially identical to Clause 5.6 of the 2005 Code), a licensee testing a meter in its laboratory must inform the consumer of the proposed testing date at least seven days in advance so the consumer may be present; this procedure is mandatory (Amrawati Devi v. PVVNL, whose SLP was dismissed by the Supreme Court, rendering the ruling final), and a test report obtained without it cannot be relied upon. Where no tampering or defect was noted in the meter or its seals at the time of its removal (only a burnt meter and unrelated CT/PT phase errors, which are also explicable on purely technical grounds and self-corrected without external intervention), a subsequent 'tampering' finding by the meter manufacturer's own lab — obtained ex parte and after the meter had passed into the licensee's custody — cannot be relied upon; the licensee bears the burden of proving, with cogent evidence, that the consumer (and not some intervening cause after the meter left his possession) caused the irregularity found. A meter manufacturer's own laboratory is not an 'independent laboratory'. Where the very basis of an assessment (the test report) is legally vitiated, the entire assessment must fall.

DISPOSITION Writ petition allowed; appellate assessment order quashed; refund with 6% interest and costs

SCJ-058 M/S Krown Bakers India Pvt. Ltd. v. Paschimanchal Vidyut Vitran Nigam & Anr. All HC

Allahabad High Court & Amreshwar Pratap Sahi & Vivek Kumar Birla, JJ. & 12 February 2014

Under Clause 5.6 of the U.P. Electricity Supply Code, 2005, the obligation to install a check meter (or otherwise test a meter under the prescribed procedure) arises only on a consumer's request; where the sealing certificate on inspection recorded that the main meter was running slow (with the difference from a double-pole meter chargeable per rule) and the consumer, with knowledge of that finding, never questioned the meter's operational status or requested a check-meter test — challenging only the resulting bill and seeking installments — the consumer cannot later contend that the bill is vitiated for want of a Clause 5.6 check-meter procedure.

DISPOSITION Writ petition dismissed

SCJ-151 Western Electricity Supply Co. of Orissa Ltd. & Ors. v. M/s Baba Baijanath Roller and Flour Mill Pvt. Ltd. SC

Supreme Court of India & Gyan Sudha Misra & Pinaki Chandra Ghose, JJ. & 26 March 2014

Section 26(6) of the Indian Electricity Act, 1910 — which confines a 'difference or dispute' as to a meter's correctness to determination by an Electrical Inspector — has no application where the licensee's case is one of fraud/tampering with the meter or metering equipment (deliberate interference with seals, cut potential-transformer wires, etc.), as distinct from a case of an inherently defective or faulty meter; a consumer alleging tampering-based penal charges are unwarranted must, if genuinely disputing the meter's correctness, apply to the Electrical Inspector under s.26(6) — the mere assertion, without such application, that the meter was 'defective' does not entitle the consumer to have the tampering allegation set aside. Where a distribution licensee's own statutory Supply Code (here, the Orissa Electricity Regulatory Commission Distribution (Conditions of Supply) Code, 1998, Clauses 56, 64, 105) specifically governs detection and penal-charge consequences of meter-tampering (independently of s.26 of the 1910 Act), that Code — not s.26(6) — supplies the governing framework, and a writ court errs in analysing a tampering-based penal bill solely through the s.26(6) 'defective meter' lens while ignoring the Code's own tampering provisions. Findings that an inspection occurred in the consumer's authorised representative's presence, undisputedly evidenced by a signed inspection report, cannot be displaced by unsubstantiated, unproven allegations of duress/coercion raised for the first time before the writ court without any complaint to an appropriate authority.

DISPOSITION Civil appeals allowed; High Court's quashing of the penal bill and disconnection notice set aside; writ petitions filed by the consumer dismissed

SCJ-153 Mohd. Sagir v. Dakshinanchal Vidyut Vitran Nigam Ltd. & Ors. All HC

2014 SCC OnLine All 8462

Allahabad High Court & Ashok Bhushan, J. & Ranjana Pandya, J. (delivered by Ashok Bhushan, J.) & 30 May 2014

Also relevant to: I — Unauthorised Use of Electricity (s.126) K — Fora, Jurisdiction & Appeals

A tampered meter is a 'defective meter' within Clause 5.6 of the U.P. Electricity Supply Code, 2005: the marginal heading 'Defective Meters' cannot cut down the substantive right in Clause 5.6(a) to test 'any meter', and Clause 5.6 read with Clause 5.9 (which speaks of a meter 'rendered defective due to tampering') shows tampering falls within the same testing machinery. Consequently the mandatory procedure of Clause 5.6(c)(iii) applies even in a theft/tampering case: once the meter is removed and sealed, the licensee must apprise the consumer of, and let him exercise, his option to have it tested at the licensee's lab, an independent lab or by the Electrical Inspector 'as agreed by consumer'; failure to offer that option renders the testing and the assessment built on it illegal, and no waiver can be inferred against a consumer who was never told of the right. Independently, a final assessment under Section 126(3) of the Electricity Act, 2003 passed without a reasonable opportunity of hearing — refusing the consumer any time to object and never deciding his pending objection, before the statutory one-month period had even run — violates natural justice and is void; and the availability of a Section 127 appeal is no bar to writ relief in such a case.

DISPOSITION Writ petition disposed of; final assessment order set aside; matter remitted

SCJ-189 Shri Krishna Kumar Bhargava v. State of U.P. & 4 Others All HC

2014 SCC OnLine All 7692

Allahabad High Court & Sudhir Agarwal, J. & Suneet Kumar, J. & 30 June 2014

Interim order. On the contentions that (i) the checking report found the meter merely 'defective' without any finding that the consumer made it defective, so it could not be a case of theft/unauthorised use under Section 126, a defective meter being governed by the distinct defective-meter regime (Clauses 5.6 and 5.8 of the U.P. Electricity Supply Code, 2005) rather than Section 126; (ii) a demand notice was issued on 18.11.2011 while the purported final assessment order was passed only on 04.07.2013, showing the show-cause notice was treated as the final assessment and recovery pursued before assessment, contrary to Ashok Kumar; and (iii) the assessment did not show how the amount of Rs. 90,326 was computed — the Court, finding a prima facie case, stayed recovery under the citation dated 01.03.2014 pending exchange of affidavits.

DISPOSITION Interim order — recovery stayed pending counter affidavit

SCJ-167 U.P. Rajya Vidyut Parishad v. Panjab Corbohydrate All HC

2015 SCC OnLine All 7156

Allahabad High Court & Sudhir Agarwal, J. & Ram Surat Ram (Maurya), J. & 23 November 2015

Where a licensee alleges only that a meter is not correctly recording consumption — with no allegation of theft or tampering — the dispute about the correctness of the meter must be referred to the Electrical Inspector under Section 26(6) of the Indian Electricity Act, 1910, whose opinion is final; the licensee cannot itself raise a supplementary or assessment bill on the footing of under-recording. Only the Electrical Inspector may estimate the energy consumed (for a period not exceeding six months) and fix the amount payable. Following M.P. Electricity Board v. Basantibai, the Court affirmed a permanent injunction against an assessment of about Rs. 17.25 lakh raised for 'less recording' where neither a check meter was installed nor the matter referred to the Electrical Inspector, and the licensee could point to no provision authorising the assessment. The Court noted the analogous scheme under the 2003 regime — Clauses 5 and 6 of the U.P. Electricity Supply Code, 2005 (Amrawati Devi) — under which the consumer likewise has a right to have the meter tested by the Electrical Inspector, the Nigam's lab or an independent agency on notice.

DISPOSITION First appeal dismissed; trial court's permanent injunction affirmed

SCJ-202 Shri Gautam Motors Pvt. Ltd. v. U.P. Power Corporation Ltd. & Others All HC

2016 SCC OnLine All 4727

Allahabad High Court & Sudhir Agarwal, J. & Dr. Kaushal Jayendra Thaker, J. & 14 December 2016

There is no provision under the U.P. Electricity Supply Code, 2005 or the Electricity Act, 2003 by which an electricity bill can be raised on the basis of a check meter. The only question in the petition being whether a bill could be raised on the basis of a check meter, and the licensee's counsel having fairly admitted that there is no such provision, the demand raised on the strength of the inspection report / check meter was set aside.

DISPOSITION Writ petition allowed; check-meter-based demand set aside

SCJ-203 M/s Madhuvan Properties (P) Ltd. v. Pashchimanchal Vidyut Vitran Nigam Ltd. &**Another** All HC

2016 SCC OnLine All 1150

Allahabad High Court & Tarun Agarwala, J. & Siddhartha Varma, J. & 22 December 2016

Interim order. A slow/defective-meter demand is governed by Clause 5.6 of the U.P. Electricity Supply Code, 2005: the meter must be tested in the consumer's presence (which prima facie was not done here), the consumer must be given an opportunity to object, and under Clause 5.6(c)(ii) the difference of energy consumed can be charged only for the previous three months (with an option to pay in instalments). Where the department, on an MRI test finding the meter running slow (recording only 50%), demanded about Rs. 1.03 crore for nearly four years (3.11.2012 to 15.09.2016), the Court found prima facie that recovery for more than two-and-a-half years could not be done, and, as interim relief, directed restoration of supply on a Rs. 15 lakh deposit with the balance not to be recovered pending the petition.

DISPOSITION Interim order — partial deposit, restoration of supply, balance recovery stayed

SCJ-262 I.G. Shoes Pvt. Ltd. v. Kanpur Electricity Supply Co. Ltd. and Others All HC

2016 SCC OnLine All 4269 : (2017) 122 ALR 297

Allahabad High Court & Sudhir Agarwal, J. & Kaushal Jayendra Thaker, J. & 29 November 2016

Section 26(6) of the Indian Electricity Act, 1910 confers jurisdiction on the Electrical Inspector only to decide a dispute as to the correctness of a meter (and, if the meter is found incorrect, to estimate consumption for a period not exceeding six months); it does not extend to disputes over the correctness of bills, nor to assessments for theft/fraud/tampering. Where a consumer raises no dispute about meter correctness while the meter is installed, allows it to be removed and replaced without objection, and only later disputes past bills, Section 26(6) has no application and the material evidence (the meter) is lost by the consumer's own inaction. The Chief Electrical Inspector's order (25.11.2004) revising the consumer's 1995-2001 bills was therefore wholly without jurisdiction and a nullity, and no mandamus could issue to enforce it; the writ was dismissed.

DISPOSITION Writ petition dismissed; the Chief Electrical Inspector's order revising bills held wholly without jurisdiction and a nullity, so no mandamus to enforce it

SCJ-114 Saurabh Agrawal & Another v. State of U.P. & Others All HC

Allahabad High Court &mdot; Amar Singh Chauhan, J. &mdot; 19 May 2017

Where the consumer inspection report underlying an FIR under Section 135 of the Electricity Act, 2003 does not itself record theft (the 'theft' column being struck through), and instead the licensee's own subsequent action treats the matter as one of slow metering under Clause 5.6(c)(ii) of the U.P. Electricity Supply Code, 2005 (billed and paid as such), and the appellate authority under Section 127 has already conclusively found — in proceedings that attained finality — that the case was not one of theft, continued criminal prosecution under Section 135 is an abuse of the process of law liable to be quashed under Section 482 Cr.P.C. Clause 5.6(d) of the Supply Code mandates a specific procedure for testing a disputed/defective meter (notice to the consumer of the testing date, an opportunity to be present, and a right to dispute the testing per Clause 5.6(c)); non-compliance (including failure to obtain an MRI report or send the meter to a proper testing laboratory) undermines the evidentiary basis for any theft finding. Once a consumer has paid the full slow-metering assessment under Clause 5.6(c)(ii), and the appellate authority has held Section 135 inapplicable, no separate theft prosecution can be sustained on the same consumer inspection report.

DISPOSITION Application allowed; charge-sheet/cognizance order and criminal proceedings under s.135 quashed

SCJ-161 Rituraj v. State of U.P. & Others All HC

2017 SCC OnLine All 3786

Allahabad High Court &mdot; Sudhir Agarwal, J. & Ajit Kumar, J. &mdot; 14 December 2017

A demand raised on the strength of meter testing is illegal where the consumer was given no intimation/notice of the testing as required by Clause 5.6(d) of the U.P. Electricity Supply Code, 2005, and where the consumer was never apprised of the right under Clause 5.6(c)(iii) to have the sealed meter tested at an independent lab. Following the Division Bench in Amrawati Devi and Mohd. Sagir, the licensee has a duty to apprise the consumer of the testing-venue option; failure renders the sealing and testing illegal. Following Modern Rice Mill, a report of a laboratory that is not an independent test laboratory — in particular the meter manufacturer's own lab (Secure Meters Ltd.) — cannot be relied upon: no one can be a judge in his own cause, the manufacturer has a commercial interest and bias, and its lab is not an 'independent laboratory' under Clause 5.6(b)(iii). Here no intimation was given for testing of the meter seals; the assessment order, demand notice and test-lab report are quashed, with liberty to proceed afresh in accordance with law.

DISPOSITION Writ petition allowed with costs; assessment, demand and test report quashed

SCJ-064 M/S Santosh Preservation Pvt. Ltd. & Anr. v. Dakshinanchal Vidyut Vitran Nigam Ltd. & Anr. All HC

2023:AHC:146861-DB

Allahabad High Court &mdot; Manoj Kumar Gupta & Prashant Kumar, JJ. (delivered by Manoj Kumar Gupta, J.) &mdot; 24 July 2023

The consumer's right under Clause 5.6(c)(iii) of the U.P. Electricity Supply Code, 2005 to have a meter tested at an independent laboratory of choice applies only where the conclusion of tampering or a fast/slow-running meter is arrived at ON THE BASIS OF a test report — i.e. where the defect/tampering is not obvious on inspection and requires laboratory analysis to establish. Where tampering is patent and visible to the naked eye at the time of inspection itself (e.g. cut phase wires, broken seals, a meter recording nil consumption despite live current on the transformer), the conclusion of theft does not depend on any test report, and Clause 5.6(c)(iii) is simply not attracted; sending the meter for testing thereafter (for record purposes) does not create a new right to independent testing that never existed. Mohd. Sagir and Smt. Amrawati Devi are distinguished as cases where tampering was not obvious on inspection and was established only by subsequent test reports.

DISPOSITION Writ petition dismissed

H. Billing, Recovery, Limitation & Disconnection

44 JUDGMENTS

SCJ-083 Mohamdabad Cold Storage Private Ltd. (& Anr.) v. Dakshinanchal Vidyut Vitran Nigam Ltd. & Ors. All HC

Allahabad High Court & Amitava Lala & Shishir Kumar, JJ. & 18 July 2007

A supplementary bill raised on account of an allegedly defective transformer is a 'disputed bill' within Clause 6.5(b) of the U.P. Electricity Supply Code, 2005 despite the clause's heading referring only to 'Disputed Bills and Arrears'; a marginal/clause heading does not confine its substantive scope. Since the bill's correctness turns on the accuracy of the meter/instrument, the consumer must first invoke the Clause 5.6 meter-testing procedure (and, if unresolved, the Electrical Inspector under s.162 of the Electricity Act, 2003 — the statutory successor to the Electrical Inspector's adjudicatory role recognised under the Indian Electricity Act, 1910 in *Bombay Electric Supply and Transport Undertaking v. Laffans (India) Pvt. Ltd.*) before invoking writ jurisdiction; a challenge to a supplementary bill grounded in a disputed meter/transformer reading is premature if brought directly to the writ court without first exhausting that statutory testing/adjudication route.

DISPOSITION Writ petition dismissed as premature; petitioner relegated to Clause 5.6 meter-testing procedure / Electrical Inspector, without prejudice

SCJ-086 Mother India Refrigeration Industries (& Anr.) v. Dakshinanchal Vidyut Vitran Nigam Ltd. & Ors. All HC

Allahabad High Court & Amitava Lala & Shishir Kumar, JJ. & 18 July 2007

Near-verbatim companion order to SCJ-083 (*Mohamdabad Cold Storage Private Ltd. v. Dakshinanchal Vidyut Vitran Nigam Ltd.*), decided the same day by the same Bench: a supplementary bill grounded in an admittedly defective transformer is a 'disputed bill' under Clause 6.5(b) of the U.P. Electricity Supply Code, 2005 (the clause's heading does not confine its scope), and the consumer must first invoke the Clause 5.6 meter-testing procedure (and thereafter the Electrical Inspector under s.162 of the Electricity Act, 2003, per *Bombay Electric Supply and Transport Undertaking v. Laffans (India) Pvt. Ltd.*) before approaching the writ court.

DISPOSITION Writ petition dismissed as premature; petitioner relegated to Clause 5.6 meter-testing procedure / Electrical Inspector, without prejudice

SCJ-152 U.P. State Cement Corporation Ltd. (In Liquidation), In re All HC

2007 SCC OnLine All 2528

Allahabad High Court (Company Court) & Sunil Ambwani, J. & 27 April 2007

Also relevant to: D — Insolvency Interface (IBC & winding-up)

In the winding up of U.P. State Cement Corporation Ltd., electricity supplied by the U.P. Power Corporation to the company's residential colonies AFTER the winding-up order, under the Company Court's directions for the welfare of unpaid workmen and to preserve the assets, is a 'liquidation expense' under Section 457 of the Companies Act, 1956, to be borne by the Official Liquidator ahead of distribution — it is neither a secured debt ranking *pari passu* with workmen and secured creditors under Sections 529/529-A, nor an ordinary preferential claim under Section 530, and the proviso to Section 529(2) is not attracted. Only the actual bills are admitted: late payment surcharge (a statutory tariff levy under Clause 6.7 of the U.P. Electricity Supply Code, 2005 and Rate Schedule LMV-2) is disallowed because the Official Liquidator, having no funds until the assets were realised, could not be treated as a defaulter. Pre-winding-up dues are not liquidation expenses and abide the Section 529-A *pari passu* rule (and the State's waiver scheme). Following *Textile Labour Association*, a writ of mandamus or Article 142 direction to supply cannot override the substantive priority scheme of Sections 529 and 529-A.

DISPOSITION Objections/appeals to the Official Liquidator's report partly allowed; electricity dues re-fixed

SCJ-011 Chairman, West Bengal State Electricity Board & Ors. v. Syed Mukbul Hossain & Ors. SC

(2009) 2 SCC 727; AIRONLINE 2008 SC 50

Supreme Court of India &mdot; Arijit Pasayat & Mukundakam Sharma, JJ. (delivered by Arijit Pasayat, J.) &mdot; 8 December 2008

Where, after a provisional assessment for theft/meter-tampering, supply is disconnected under the West Bengal Electricity Supply Code Regulation 5.2 and a final assessment is made under Section 126, the consumer's remedy is the statutory appeal under Section 127 against the final order, to be decided on merits by the appellate authority — including any objection as to the maintainability/limitation of that appeal. The Supreme Court set aside the High Court's imposition of costs and directed the appeal to be decided in accordance with law without being influenced by the observations below, expressing no opinion on merits.

DISPOSITION Appeal disposed of (costs set aside; statutory appeal to be decided on merits)**SCJ-213 Awadhesh Kumar Yadav v. State of U.P. & Others** All HC

2008 SCC OnLine All 2573

Allahabad High Court &mdot; Janardan Sahai, J. & S.P. Mehrotra, J. &mdot; 15 April 2008

A disputed factual controversy about a bill — here whether the consumer continued to receive supply after the transformer through which his tubewell was connected was removed/shifted, or whether supply ran until disconnection for non-payment — is not fit for interference under Article 226. The consumer has an alternative remedy under Clause 6.5 of the U.P. Electricity Supply Code, 2005 (a representation to the Executive Engineer) and was, in any event, already pursuing the District Consumer Forum. He was left to avail either remedy, the Executive Engineer to dispose of any objection expeditiously.

DISPOSITION Writ petition disposed of; consumer relegated to the Clause 6.5 / Consumer Forum remedy**SCJ-170 Heera Lal v. State of U.P. & Others** All HC

2009 SCC OnLine All 83

Allahabad High Court &mdot; Amitava Lala, J. & Rajes Kumar, J. &mdot; 28 January 2009

In the recovery of electricity dues, the recovery proceeding is in the nature of execution and the executing authority (the Tehsildar acting on a citation) is confined to execution, discharge or satisfaction of the 'decree' — here the electricity authority's demand/assessment — and cannot vary or override it. A consumer who objects to the underlying demand must approach the authority that raised it (the electricity authority under the Electricity Act) or prefer an appeal, not raise the objection before the executing Tehsildar; variation of the 'decree' and its execution cannot run simultaneously. The petitioner, who filed his objection only before the Tehsildar and refused to approach the electricity authority despite the Court's endeavour, and who annexed the demand notice he claimed never to have received without explaining how he obtained it, had not come with clean hands; the writ was dismissed.

DISPOSITION Writ petition dismissed

SCJ-218 M/s Paliwal Alloys (Pvt.) Ltd. v. U.P. Power Corporation Ltd. & Ors. All HC

2009 SCC OnLine All 829

Allahabad High Court & Ashok Bhushan, J. & R.A. Singh, J. & 31 July 2009

Also relevant to: K — Fora, Jurisdiction & Appeals

Recovery of electricity arrears is subject to the two-year limitation in Section 56(2) of the Electricity Act, 2003 and Clause 6.15 of the U.P. Electricity Supply Code, 2005: no sum is recoverable after two years from the date it first became due unless it has been continuously shown as recoverable. A peak-hour penalty imposed on 27.11.2006 for the period 24.11.2002-8.2.2003 could not be recovered years later without the Corporation advertizing to s.56(2)/Clause 6.15 and passing a reasoned order explaining recovery after two years; the bald notice of 10.6.2009 gave no such reason and the recovery was unjustified. Separately, recovery of a theft assessment could not proceed while the consumer's Section 127 appeal (permitted by an earlier Division Bench on a part-deposit, with recovery restrained pending the appeal) was pending and the Corporation's SLP had obtained no stay. The demand notice under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958, however, was not invalid (registered notice, recovery certificate after 30 days). The recovery notice and citation were quashed and the Divisional Commissioner directed to decide the s.127 appeal within three months.

DISPOSITION Writ petition disposed of; recovery notice and citation quashed; s.127 appeal to be decided in three months

SCJ-039 Kanpur Electricity Supply Co. Ltd. & Anr. v. U.P. Electricity Regulatory Commission & Ors. All HC

Allahabad High Court & Sudhir Agarwal, J. & 22 November 2011

The installation of an air conditioner (or use within the contracted load) is not 'unauthorised use' of electricity assessable under Section 126 of the Electricity Act, 2003; para 6.9 of the U.P. Electricity Supply Code, 2005 makes clear that excess load is not covered by Section 126. The proper charge is the additional Fixed Charge prescribed in the tariff (here, for air conditioners for the April-September period), not a twelve-month theft/unauthorised-use assessment. The Consumer Grievance Redressal Forum and the Ombudsman rightly held Section 126 inapplicable and permitted only supplementary Fixed-Charge bills; the licensee's writ challenging that was frivolous.

DISPOSITION Writ petition dismissed with Rs. 5,000 costs (frivolous)

SCJ-137 U.P. Avas Evam Vikas Parishad & Anr. v. U.P. Power Corp'n. Ltd. SC

(2011) 14 SCC 235

Supreme Court of India & Jagdish Singh Khehar & R.M. Lodha, JJ. & 18 October 2011

Where a statutory development authority is permitted, by government relaxation-order, to itself execute electrification works (transmission lines, sub-stations, L.T. distribution mains) in its own colonies/complexes that would otherwise fall exclusively to the electricity licensee as 'designated licensee,' supervision charges payable to the licensee for overseeing such delegated works are governed by whichever instrument has statutory force at the relevant time: a mere administrative office memorandum (here, prescribing 5%) is superseded, from the date of its coming into force, by a subsequently-enacted statutory Electricity Supply Code (here, prescribing 15%) framed under the State Electricity Regulatory Commission's statutory mandate, since the Code's statutory character overrides the administrative memorandum's non-statutory character. A statutory relaxation-order permitting self-execution of electrification works (without itself prescribing any supervision-charge rate) is not amended or superseded by a later Supply Code that prescribes such charges, since the relaxation-order and the charge-rate instrument address distinct subject matters. A party's later, unilateral acceptance of a supervision-charge rate under a successor Supply Code estops it from disputing an analogous rate under the code's statutory predecessor for the same reasons it now advances.

DISPOSITION Civil appeal dismissed; supervision charges of 15% (under the Electricity Supply Code, 2002) upheld from 7.6.2002 onward

SCJ-015 Dakshinanchal Vidyut Vitran Nigam Ltd. & Others v. M/s Prakancha Metal Works Pvt.**Ltd.** All HC

AIR 2012 Allahabad 176

Allahabad High Court & Sudhir Agarwal, J. & 21 May 2012

Also relevant to: A — Statutory Architecture, Vires & Interpretation

The Consumer Grievance Redressal Forum under the U.P. Electricity Supply Code, 2005 (Para 7.10, Clauses 7.7.1-7.7.5) covers supply-related matters, not a claim of tortious damages for wrongful disconnection; and Section 174 of the Electricity Act, 2003 gives the Act overriding effect only for matters provided under it (Section 50 not empowering the Code to ascertain such damages), so it does not oust the jurisdiction of a Lok Adalat / the Consumer Protection Act to award damages. On merits, Clause 6.1(g) of the Code requires the bill to be dispatched at least 15 days before the due date (plus a further disconnection-notice period); a bill giving only three days and a disconnection before the statutory window is illegal, sustaining the compensation awarded.

DISPOSITION Writ petition dismissed (Lok Adalat compensation for illegal disconnection upheld; inquiry into ante-dating directed)

SCJ-046 Lala Ram Batham v. U.P. Power Corporation Nigam & Ors. All HC

Allahabad High Court & Satya Poot Mehrotra & Het Singh Yadav, JJ. & 12 December 2012

A consumer's grievance about an incorrectly recorded meter reading (leading to an inflated arrears bill) is to be raised by representation before the licensee under Clause 6.5 of the U.P. Electricity Supply Code, 2005, rather than adjudicated in the writ; the licensee must decide the representation by a speaking order after personally inspecting the old meter to verify the disputed reading.

DISPOSITION Writ petition disposed of with directions (grievance relegated to Clause 6.5 representation; claim not adjudicated on merits)

SCJ-182 Mohammad Waseem v. State of U.P. & Another All HC

2012 SCC OnLine All 3806

Allahabad High Court & Satya Poot Mehrotra, J. & Het Singh Yadav, J. & 11 October 2012

Clause 6.14 of the U.P. Electricity Supply Code, 2005 empowers the licensee to extend the facility of instalments — but only to consumers in financial distress, with no waiver of surcharge. No officer below the rank of Executive Engineer may grant instalments; the Executive Engineer, DGM and General Manager may grant up to two, three and four monthly instalments respectively, the first instalment being not less than 40% of the total, and where the amount exceeds Rs. 10,000 the consumer must deposit post-dated cheques. On the consumer's representation to pay his dues in instalments, the Court directed the Executive Engineer to consider and decide the representation under Clause 6.14, granting interim protection from coercive recovery on the consumer depositing Rs. 15,000.

DISPOSITION Writ petition disposed of with directions; representation for instalments to be decided

SCJ-013 Chandrika v. State of U.P. & Others All HC

Allahabad High Court & Satya Poot Mehrotra & Zaki Ullah Khan, JJ. & 8 January 2013

A consumer disputing the correctness of an electricity bill has an alternative statutory remedy of a complaint before the Competent Authority (here, the Executive Engineer) under Clause 6.5 of the U.P. Electricity Supply Code, 2005. The writ court relegated the consumer to that remedy, directing the authority to decide by a speaking order after hearing, and granting interim protection against coercive recovery on the consumer depositing a part of the disputed amount, without adjudicating the claim on merits.

DISPOSITION Writ petition disposed of (relegated to the Clause 6.5 remedy, with interim protection on deposit)

SCJ-113 Satya Narayan v. U.P. Power Corporation Ltd. thru. its Managing Director & Others All HC

Allahabad High Court (Lucknow Bench) & Dev Prasad Singh & Satish Chandra, JJ. & 22 May 2013

Clause 6.15(1)(b) of the U.P. Electricity Supply Code, 2005 (mirroring s.56(2), Electricity Act, 2003) bars recovery of electricity dues after two years from when the sum first became due, unless continuously shown as recoverable arrears — this bar is not merely directory but casts a positive, ongoing obligation on the licensee: upon non-payment, it is mandatory (not optional) for the licensee to issue notice and proceed to temporary disconnection under Clause 4.36 within the two-year window; a licensee that remains silent for over a decade without sending any demand notice or taking disconnection action cannot thereafter invoke Clause 4.38(c) (permanent disconnection requiring an affidavit clearing all dues) in isolation to justify recovering a stale, undemanded debt — Supply Code provisions must be read as a whole, not piecemeal, and Clause 4.38(c) operates subject to the licensee's own Clause 4.36/6.15 obligations. Where a consumer's electricity connection is dormant and undemanded for years, the burden shifts to the licensee to justify continued recoverability; failure to explain a prolonged silence (here, ~12 years without a single notice) warrants relief moulded in the consumer's favour, including potential refund of amounts paid in excess of a properly-limited two-year recovery.

DISPOSITION Writ petition allowed; relief moulded — refund directed if overpaid, Corporation directed to sensitise staff on Supply Code duties

SCJ-168 Mohd. Daud v. State of U.P. & 2 Others All HC

2013 SCC OnLine All 11738

Allahabad High Court & V.K. Shukla, J. & Suneet Kumar, J. & 6 December 2013

A dispute about the correctness of a bill — here whether a bill could be raised, and recovery effected, after an alleged past permanent disconnection — is in pith and substance a billing dispute that must first be raised before the competent authority under Clause 6.5 of the U.P. Electricity Supply Code, 2005. The writ against the demand notice was not entertained; the petitioner was left to raise the dispute before the competent authority, who will look into and redress it in accordance with law.

DISPOSITION Writ petition dismissed on the ground of alternative remedy

SCJ-178 Smt. Asma Begam v. State of U.P. & Others All HC

2013 SCC OnLine All 512

Allahabad High Court & Satya Poot Mehrotra, J. & Zaki Ullah Khan, J. & 23 January 2013

Interim order. After a consumer's representation under Clause 6.5 of the U.P. Electricity Supply Code, 2005 had been decided by the competent authority and the amount found due had been deposited, the authority issued a fresh notice reopening the matter on the ground that the Executive Engineer (Test) could not produce evidence. The petitioner contended the authority has no power to review its own Clause 6.5 order. Holding the matter to require consideration, the Court issued notice and, as interim relief, stayed proceedings pursuant to the reopening notice, subject to the petitioner continuing to deposit future electricity charges. No final view was expressed on the power to review.

DISPOSITION Interim order — reopening notice stayed pending admission

SCJ-204 M/s Shri Radhey Iron (Pvt.) Ltd. v. State of U.P. & 2 Others All HC

2013 SCC OnLine All 12387

Allahabad High Court & Ashok Bhushan, J. & Vipin Sinha, J. & 17 December 2013

A new industrial unit entitled to a ten-year exemption from electricity duty (under a notification dated 21.1.2010 issued under Section 3(4) of the U.P. Electricity Duty Act, 1952) had electricity duty realised from it for October 2011 to May 2013 (Rs. 66,81,010) despite the exemption operating from the date supply was released (9.10.2011). That realisation was an excess/unauthorised recovery for which the unit had no liability, and it had to be adjusted against the current bill (dated 2.11.2013, Rs. 52,93,258); the licensee could not defer the adjustment to future bills against the consumer's wishes or disconnect for non-payment of a bill fully covered by the amount already lying with it. Clause 6.12 of the U.P. Electricity Supply Code, 2005 (order of application of amounts received) governs the appropriation of a consumer's bill payment and did not apply to adjusting duty already realised. Writ allowed; the licensee directed to adjust the bill against the duty realised and restore supply.

DISPOSITION Writ petition allowed; electricity duty already realised to be adjusted; supply restored

SCJ-241 Gul Mohammad v. U.P. Power Corporation and 2 Others All HC

2013 SCC OnLine All 9135

Allahabad High Court & Sunil Ambwani, J. & Surya Prakash Kesarwani, J. & 21 October 2013

A consumer disputing the accuracy of a bill must invoke the self-contained mechanism of Clause 6.5(b) of the U.P. Electricity Supply Code, 2005 - paying under protest either the sum claimed or the charges computed on the average of the preceding six months' bills (whichever is less) and filing a complaint with the competent authority, to be decided within seven days. Where a running bill of Rs. 2,761 was allegedly inflated to a demand of Rs. 74,424 under Section 3 of the U.P. Electricity (Undertaking) Dues Recovery Act, 1957, the Court disposed of the writ directing that, if the consumer files a representation and deposits the six-month-average charges, it be decided within seven days, and stayed recovery under the demand notice until then.

DISPOSITION Writ petition disposed of relegating the consumer to the Clause 6.5(b) mechanism, with recovery under the 1957 Dues Recovery Act stayed pending the representation

SCJ-187 Mukesh Singh Chaturvedi v. State of U.P. & 2 Others All HC

2014 SCC OnLine All 9290

Allahabad High Court & Krishna Murari, J. & Ashwani Kumar Mishra, J. & 3 July 2014

A billing grievance must be raised as a proper objection under Clause 6.5 of the U.P. Electricity Supply Code, 2005. Where the Court's earlier order had relegated the consumer to his Clause 6.5 remedy, but the 'objection' he filed did not conform to Clause 6.5 — it mentioned no details of any amount deposited and no specific objection to the bill — it could not be treated as a Clause 6.5 objection, and the authority could not be blamed for not deciding it. The consumer then, without disputing the correctness of the bill, agreed to pay in instalments; the Court disposed of the petition directing deposit of half the arrears within a month (with restoration of supply within 24 hours of the first instalment) and the balance within a further month, subject to payment of regular bills.

DISPOSITION Writ petition disposed of by consent with instalment directions

SCJ-188 Ramveer Singh v. U.P. Power Corporation Ltd. & Another All HC

2014 SCC OnLine All 9211

Allahabad High Court & Sudhir Agarwal, J. & 2 July 2014

An unauthorised-use assessment under Section 126 of the Electricity Act, 2003 must be made at the rate fixed by the U.P. Electricity Supply Code, 2005. Clause 2 of Annexure 6.3 of the Code requires the assessed consumption to be charged at one-and-a-half times the tariff rate per unit applicable to the consumer category; where the assessing officer instead assessed at thrice the tariff rate, the assessment is erroneous to that extent and illegal. The assessment order and the (wholly unreasoned) appellate order were set aside and the matter remanded for a fresh assessment in accordance with law and at the correct 1.5-times rate.

DISPOSITION Writ petition allowed in part; assessment and appellate orders set aside; matter remanded

SCJ-198 Smt. Mamta Devi Srivastava v. State of U.P. & 2 Others All HC

2014 SCC OnLine All 3942

Allahabad High Court & Vineet Saran, J. & Attau Rahman Masoodi, J. & 13 March 2014

The two-year limitation bar in Section 56(2) of the Electricity Act, 2003 does not apply to the regular current bills of a continuing consumer who is being supplied electricity. Where the consumer's line had been reconnected/re-energised and she thereafter paid nothing for years while continuing to receive supply, a demand for those accrued charges is not a belated demand of the kind barred by s.56(2) (which addresses sums first shown as due after long delay, on pain of disconnection) but non-payment of ongoing bills. Whether bills were in fact sent is a disputed question of fact not decidable in writ jurisdiction, and the consumer has an alternative remedy under Clause 6.5 of the U.P. Electricity Supply Code, 2005; the Court declined to exercise Article 226 jurisdiction in favour of a gross defaulter and dismissed the petition.

DISPOSITION Writ petition dismissed

SCJ-231 Vineet Plastics Ltd. v. Purvanchal Vidyut Vitran Nigam Ltd. and Another All HC

2014 SCC OnLine All 1387

Allahabad High Court & Vineet Saran, J. & Ramesh Sinha, J. & 27 January 2014

A licensee cannot issue a series of provisional (assessment) monthly bills to a consumer for the period after an inspection without any statutory or Code provision authorising it. A provisional assessment bill under Section 126 of the Electricity Act, 2003 can be issued only after an inspection and with an opportunity to object; the only Code provision for a provisional bill is Clause 6.2(b), which applies where the meter reading cannot be taken; and disputes about a regular bill lie under Clause 6.5. Here, following an inspection and provisional assessment, the licensee kept issuing undated 'provisional' monthly bills for October-December 2013 without deciding the consumer's objections (which alleged a major variance between the premises meter and the pole meter). Since no provision permitted such serial provisional billing, the three provisional monthly bills were quashed, with liberty to the licensee to rectify them per law (any excess to be paid/any shortfall to be adjusted with interest), and any check-meter to be installed at the licensee's own expense.

DISPOSITION Writ petition allowed to the extent indicated; the provisional monthly bills for October, November and December 2013 quashed, with liberty to the licensee to issue rectified bills as per law

SCJ-251 Usha Devi v. State of U.P. & 2 Others All HC

2014 SCC OnLine All 10821

Allahabad High Court & Krishna Murari, J. & Ashwani Kumar Mishra, J. & 10 July 2014

Clause 6.14 of the U.P. Electricity Supply Code, 2005 itself provides for payment of outstanding dues in easy instalments to consumers in financial distress (the Executive Engineer / DGM / General Manager granting up to two/three/four monthly instalments, the first not below 40% of the total). A residential consumer unable, due to financial distress, to pay dues of Rs. 1,37,472 was relegated to this remedy: the Court directed her to apply under Clause 6.14 within three weeks, the appropriate authority to decide sympathetically by a speaking order within a further three weeks, and stayed coercive recovery for two months or until disposal.

DISPOSITION Writ petition disposed of with liberty to apply for instalments under Clause 6.14, the authority to decide sympathetically within three weeks; no coercive steps for two months

SCJ-253 Mohammad Khalid v. Pashchimanchal Vidyut Vitran Nigam Ltd. & Another All HC

2014 SCC OnLine All 11652

Allahabad High Court & Sunil Ambwani, J. & Dinesh Maheshwari, J. & 21 July 2014

A billing grievance is to be pursued through a representation before the competent authority under Clause 6.5 of the U.P. Electricity Supply Code, 2005, which must be decided within seven days, and Clause 6.5(b) requires a deposit under protest for the representation to be entertained. The consumer (44 KVA export-office connection), having earlier been relegated to Clause 6.5 by an order of 8.5.2014 but taking over one and a half months to approach the authority, could not blame the licensee for the disconnection that followed, which was attributable to his own delay. The Court directed the competent authority to decide the pending representation in accordance with law within seven days, the under-protest deposit to be adjusted in the payment due on that decision.

DISPOSITION Writ petition disposed of directing the licensee to decide the pending Clause 6.5 representation within seven days; the under-protest deposit to be adjusted per the decision

SCJ-254 Chandrapal v. Dakshinanchal Vidyut Vitran Nigam Ltd. & 4 Others All HC

2014 SCC OnLine All 6769

Allahabad High Court & Sanjay Misra, J. & Anant Kumar, J. & 14 May 2014

Where a consumer's representation under Clause 6.5 of the U.P. Electricity Supply Code, 2005 has remained undecided for years, issuing a fresh demand and a recovery notice for the arrears under Section 3 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958 is arbitrary. The petitioner had been relegated to Clause 6.5 by an earlier order (28.4.2010) and filed a representation on 17.5.2010, which the Corporation never decided; yet it issued a demand notice (18.2.2014) under the 1958 Act. Finding the fresh demand arbitrary while the representation lay pending, the Court directed decision of the representation within one month and kept the Section 3 demand in abeyance, to abide that decision.

DISPOSITION Writ petition disposed of directing decision of the long-pending Clause 6.5 representation within one month; recovery under the 1958 Dues Recovery Act kept in abeyance

SCJ-122 Shyam Ferrous Ltd. Gopal Nagar v. State of U.P. & 6 Others All HC

Allahabad High Court & V.K. Shukla & Mahesh Chandra Tripathi, JJ. & 23 December 2015

Section 56(2) of the Electricity Act, 2003 (and the corresponding Clause 6.15/Clause 6.31.2 two-year recovery bar under the Supply Codes of 2005/2002) applies only to liabilities incurred after the Electricity Act, 2003 came into force (10 June 2003); for liabilities incurred under the earlier regime (Indian Electricity Act, 1910, s.24; Electricity Supply Act, 1948; Electricity Supply Code, 2002), no such two-year limitation bar exists on the licensee's power to demand and recover charges via supplementary bill or as arrears of land revenue under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958 — following the Supreme Court in *Kusumam Hotels v. Kerala SEB*, s.6 of the General Clauses Act, 1897 preserves such pre-2003-Act liabilities notwithstanding the repeal, and s.24 of the 1910 Act (as construed in *Isha Marbles and Swastic Industries*) confers an unlimited-in-time power to demand/recover (subject only to the separate limitation period for filing a civil suit, which is not the exclusive recovery route). Electricity charges/penalties 'first become due' — for limitation purposes — only when a bill/demand is actually raised and remains unpaid, not from the date of the underlying default/violation itself; a licensee's delay of years in raising a bill (here, due to an erroneous, later-corrected waiver by an unauthorised officer) does not extinguish its right to recover once the bill is properly raised. Service of a demand notice by registered post to the address on the licensee's records is deemed sufficient service under Explanation 1 to Section 3 of the 1958 Dues Recovery Act, regardless of the consumer's claim of non-receipt, particularly where the consumer's own conduct (e.g., seeking temporary reconnection, prior partial payment under protest) shows awareness of the liability.

DISPOSITION Writ petition dismissed; recovery upheld, six months' time granted for deposit with recovery held in abeyance meanwhile

SCJ-221 Smt. Shanti Devi v. Managing Director, Pashchimanchal Vidyut Vitran & Anr. All HC

2016 SCC OnLine All 2320

Allahabad High Court & V.K. Shukla, A.C.J. & Mahesh Chandra Tripathi, J. & 18 July 2016

A consumer who has admittedly consumed electricity cannot be permitted to continue using it without clearing the bills; where payment has not been made, disconnection is inevitable, and the plea that no bill was ever raised does not entitle the consumer to free consumption. The writ court declined to interfere, leaving the consumer to have her dispute resolved under the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005.

DISPOSITION Writ petition dismissed

SCJ-200 Ram Padarath Gupta v. U.P. Power Corporation Ltd. & 4 Others All HC

2017 SCC OnLine All 1979

Allahabad High Court & Amreshwar Pratap Sahi, J. & Rajiv Lochan Mehrotra, J. & 5 September 2017

A grievance about the rate category on which electricity dues are charged — here a consumer with a 2KW domestic connection allegedly billed at commercial rates — and the consumer's objections filed after a recovery citation, must be examined by the Executive Engineer under Clause 6.5 of the U.P. Electricity Supply Code, 2005 read with Section 126 of the Electricity Act, 2003. Where the consumer alleged there was no consideration of his objections and no final order of assessment served on him, the Court directed the Executive Engineer to examine the matter and pass an order on the objections (if not already passed) within three weeks, the recovery proceedings being subject to the outcome.

DISPOSITION Writ petition disposed of; objections to be decided under Clause 6.5 r/w s.126; recovery subject to outcome

SCJ-216 Sultan Khan v. State of U.P. & 2 Others All HC

2017 SCC OnLine All 2246

Allahabad High Court & Amreshwar Pratap Sahi, J. & Rajiv Lochan Mehrotra, J. & 1 August 2017

Where the consumer does not dispute the electricity dues and only seeks to pay them in instalments, the matter is one for the Executive Engineer under Clause 6.14 of the U.P. Electricity Supply Code, 2005. The Court disposed of the petition directing the Executive Engineer to pass an appropriate order on the consumer's instalment application under Clause 6.14 within four weeks.

DISPOSITION Writ petition disposed of; Executive Engineer to decide the instalment application under Clause 6.14

SCJ-238 Smt. Mamata Verma v. State of U.P. & 3 Others All HC

2017 SCC OnLine All 776

Allahabad High Court & V.K. Shukla, J. & Ashok Kumar, J. & 10 March 2017

Clause 6.5(b) of the U.P. Electricity Supply Code, 2005 provides a self-contained, full-fledged statutory mechanism for a consumer disputing the accuracy of a bill, and a writ petition will not be entertained where that remedy is available. Under Clause 6.5(b) the consumer may pay under protest either the sum claimed or the charges computed on the average of the preceding six months' bills (whichever is less) and file a complaint with the competent authority before the due date; the complaint must be decided within seven days, with a revised bill within seven days (and no late-payment surcharge / eligibility for timely-payment rebate) if found correct, or payment of the original bill with surcharge if found incorrect. The petitioner, disputing bills for some eight years and having had objections entertained and bills corrected earlier without paying, was relegated to the Clause 6.5(b) mechanism and the writ dismissed.

DISPOSITION Writ petition dismissed on the ground of alternative remedy

SCJ-214 Muneshwar Prasad Baranwal v. U.P. Power Corporation Ltd. & Another All HC

2018 SCC OnLine All 4521

Allahabad High Court & Shashi Kant Gupta, J. & Rajiv Gupta, J. & 10 July 2018

Interim order. A recovery notice for electricity dues issued nearly nineteen years after the connection was permanently disconnected — here a Nalkoop connection disconnected on 27.5.1999, with a demand of about Rs. 4.32 lakh raised on 26.5.2018 — is met with the plea that, under Clause 6.15(b) of the U.P. Electricity Supply Code, 2005, such an amount cannot be recovered after so long a period, and that the consumer cannot be liable for a period during which supply had ceased. Finding the submissions to have prima facie substance, the Court stayed the operation of the recovery notice pending affidavits and consideration.

DISPOSITION Interim order — recovery notice stayed pending consideration

SCJ-226 M/s Shree Radhey Ice Factory v. State of U.P. & 4 Others All HC

2018 SCC OnLine All 357

Allahabad High Court & Amreshwar Pratap Sahi, J. & Shashi Kant, J. & 16 April 2018

A consumer's grievance about incorrect electricity bills must be raised, in terms of Clause 6.5 of the U.P. Electricity Supply Code, 2005, before the Executive Engineer, and not before the Permanent Lok Adalat or the Managing Director. The petitioner had first (erroneously) approached the Permanent Lok Adalat and then made a representation to the Managing Director. The Court held that the representation ought to have been moved before, or redirected to, the Executive Engineer under Clause 6.5, and disposed of the petition directing the Executive Engineer to pass an appropriate reasoned order on the objections (Annexure-4) within three weeks if not already done under Clause 6.5.

DISPOSITION Writ petition disposed of with a direction to the Executive Engineer to decide the billing objections under Clause 6.5 within three weeks

SCJ-232 Udayveer Singh v. State of U.P. and 3 Others All HC

2018 SCC OnLine All 2014

Allahabad High Court &mdot; Mahesh Chandra Tripathi, J. & Neeraj Tiwari, J. &mdot; 18 June 2018

A consumer in financial distress who is willing to clear outstanding electricity dues may be extended the facility of easy instalments; Clause 6.15 of the U.P. Electricity Supply Code, 2005 obliges the licensee to extend such a facility to consumers in financial distress, and Clause 6.14 provides the mechanism for fixing the instalments. The petitioner, running a floor-mill (8.5 HP), challenged a recovery citation and sought instalments after adjusting amounts already deposited. Without adjudicating the merits, the Court disposed of the petition directing a deposit of Rs. 50,000 within three weeks, on which the Sub Divisional Officer would proceed strictly in accordance with law under Clause 6.14 and fix easy instalments.

DISPOSITION Writ petition disposed of (without deciding merits) directing the petitioner to deposit Rs. 50,000 within three weeks, whereupon the Sub Divisional Officer is to fix easy instalments under Clause 6.14 of the Code

SCJ-237 Buddhesh Patel v. State of U.P. and Another All HC

2018 SCC OnLine All 855

Allahabad High Court &mdot; Mahesh Chandra Tripathi, J. & Neeraj Tiwari, J. &mdot; 22 June 2018

A consumer disputing a recovery raised on a direct-connection/theft finding (including the compounding fee, 'Shaman Shulka') must raise his objection before the Executive Engineer under Clause 6.5 of the U.P. Electricity Supply Code, 2005, rather than have the writ court decide the disputed facts. On inspection a direct connection from the pole was found to run the petitioner's mill; the fine had been reduced from Rs. 2,43,308 to Rs. 36,217 plus Rs. 40,000 compounding fee. As the petitioner was disputing the recovery, the Court relegated him to a Clause 6.5 objection before the Executive Engineer, to be decided within three weeks, and directed that no coercive action be taken until then.

DISPOSITION Writ petition disposed of with liberty to file an objection under Clause 6.5 before the Executive Engineer within a week (to be decided within three weeks), no coercive action meanwhile

SCJ-009 Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Ltd. & Anr. v. Rahamatullah Khan alias Rahamjulla SC

AIRONLINE 2020 SC 208; (2020) 4 SCALE 36

Supreme Court of India &mdot; Uday Umesh Lalit, Indu Malhotra & Hemant Gupta, JJ. (delivered by Indu Malhotra, J.) &mdot; 18 February 2020

Electricity charges become 'first due' under Section 56(2) of the Electricity Act, 2003 only after the bill is issued to the consumer — not on consumption — the charges being ascertained per the tariff and the State Electricity Supply Code framed under Section 50. The two-year limitation in Section 56(2) bars only the coercive remedy of disconnection; it does not preclude the licensee from raising a supplementary or additional demand, or from pursuing other modes of recovery. Where a bona fide billing mistake (e.g. a wrong tariff code) is detected, limitation for the additional demand runs from the date of discovery under Section 17(1)(c) of the Limitation Act, 1963 — but even then the licensee cannot disconnect supply; it may only pursue other recovery.

DISPOSITION Civil appeals disposed of (questions of law answered; demand against the respondent not enforced)

SCJ-103 Prem Singh v. State of U.P. & 2 Others All HC

Allahabad High Court &mdot; Sunita Agarwal & Sadhna Rani (Thakur), JJ. &mdot; 26 March 2021

A dispute regarding the assessment of an electricity bill is to be examined by the Executive Engineer (or equivalent authority) under Clause 6.5 of the U.P. Electricity Supply Code, 2005, rather than being adjudicated by the writ court in the first instance.

DISPOSITION Writ petition disposed of; petitioner relegated to Clause 6.5 authority

SCJ-132 Sunil Todi & Ors. v. State of Gujarat & Anr. SC

(2022) 8 SCC 187

Supreme Court of India & Dr. Dhananjaya Y. Chandrachud & A.S. Bopanna, JJ. & 3 December 2021

Where a cheque is issued by a power-consuming company at the commencement of a Power Supply Agreement, endorsed 'security', but the underlying commercial transaction (uninterrupted power supply) is thereafter fully performed by the generator/supplier and monthly electricity dues fall due and remain unpaid, dishonour of that cheque on presentation attracts Section 138 of the Negotiable Instruments Act, 1881 notwithstanding its 'security' label. The Explanation to s.138 defines 'debt or other liability' as a legally enforceable debt or other liability; 'other liability' has content broader than 'debt' and is not confined to a sum owed at the moment the cheque is drawn. A cheque issued in anticipation of, or in close proximity to, the commencement of a commercial relationship — here, immediately before power supply began — matures into an instrument securing a legally enforceable liability once that liability actually accrues (i.e., once electricity is supplied and billed), distinguishing Indus Airways (where the underlying purchase order was cancelled before any liability arose) and aligning with Sampelly and Sripati Singh (loan-installment security cheques maturing on due-date non-payment). Whether a cheque was truly given 'only' as security and never intended for presentation, or whether an enforceable liability in fact existed and matured, are questions of fact for trial and cannot be resolved in a quashing petition under s.482 Cr.P.C. (HMT Watches; Womb Laboratories). Directors/Managing Directors of a company are prosecutable under s.141 NI Act if in charge of and responsible for the company's business at the relevant time; whether the statutory conditions are met is ordinarily a matter for trial, not for quashing at the summoning stage.

DISPOSITION Appeals dismissed; quashing petitions against the s.138 NI Act complaint rejected, matter to proceed to trial

SCJ-075 Madarsa Dargah Aaliya Islamiya Shareef Nagar & Anr. v. State of U.P. & 3 Others All HC

2023:AHC:165372-DB

Allahabad High Court & Ashwani Kumar Mishra & Syed Aftab Husain Rizvi, JJ. & 17 August 2023

A dispute over the quantification of an electricity demand raised by the licensee is to be examined by the authority concerned under Clause 6.5B of the U.P. Electricity Supply Code, which the writ petitioner may be permitted to approach for a reasoned determination of the objection, rather than the writ court adjudicating the correctness of the demand in the first instance.

DISPOSITION Writ petition disposed of (relegated to the authority under Clause 6.5B, U.P. Electricity Supply Code)

SCJ-234 Shashi Bhushan Singh v. State of U.P. and Others All HC

2023 SCC OnLine All 340

Allahabad High Court & Manjive Shukla, J. & 28 June 2023

A consumer disputing the accuracy of a current/revised bill must pursue the statutory remedy of a representation before the Executive Engineer under Clause 6.5 of the U.P. Electricity Supply Code, 2005, rather than have the writ court adjudicate the bill. The petitioner's poultry-unit meter was installed on 29.3.2016 but supply began only on 25.11.2018; the Grievance Redressal Forum had directed billing from the date of supply at the agricultural tariff, and the Ombudsman passed a final order after the petitioner did not object to the revised bill. Faced with a further dispute that the revised bill (Rs. 9,09,686) still did not reflect the agricultural tariff, the Court relegated the petitioner to a Clause 6.5 representation, directing a deposit of Rs. 4,00,000 (with restoration of supply) and decision of the representation within one month.

DISPOSITION Writ petition disposed of; petitioner to deposit Rs. 4,00,000 within 30 days and then file a representation under Clause 6.5 (to be decided within one month); disconnected supply to be restored on the deposit

SCJ-263 M/s. Zaz Leather Complex Pvt. Ltd. v. Kanpur Electricity Supply Co. Ltd. and**Another** All HC

2023 SCC OnLine All 4072

Allahabad High Court & Siddhartha Varma, J. & Shekhar B. Saraf, J. & 13 December 2023

Under Section 56(2) of the Electricity Act, 2003 and Clause 6.15 of the U.P. Electricity Supply Code, 2005, no sum due from a consumer is recoverable after two years from the date it first became due unless shown continuously as recoverable as arrears; a fresh bill covering more than two years for a licensee's own metering error cannot stand. On a routine check the licensee found that the multiplying factor (MF) had been applied at 6 instead of 10 after a load enhancement, and raised a fresh bill of Rs. 1,46,48,514 for four years (2008-2011). The Court held that, the error being the licensee's own and the consumer having bona fide paid all bills, the demand could reach back only two years before 6.6.2011. The Supreme Court's decision in Assistant Engineer (D1), Ajmer Vidyut v. Rahamatullah Khan was distinguished: it concerned a supplementary bill and dealt only with Section 56(2), not Clause 6.15, whereas here a fresh (not supplementary) bill was issued for over two years. The bill was quashed and re-billing limited to the two-year period.

DISPOSITION Writ petition partly allowed; the demand (6.6.2011) quashed and the licensee directed to re-bill only for the two years preceding 6.6.2011

SCJ-001 Indian Oil Corporation Ltd. v. State of U.P. & 3 Others All HC

2024:AHC:8729-DB

Allahabad High Court & Mahesh Chandra Tripathi, J. & Prashant Kumar, J. (delivered by Prashant Kumar, J.) & 18 January 2024

A distribution licensee cannot invoke Clause 4.26(e) of the U.P. Electricity Supply Code, 2005 (which continues parallel-operating charges “till the termination of the agreement”) to keep billing indefinitely for a facility it has itself physically disconnected, where the delay in terminating or amending the agreement is attributable to the licensee. No one may take advantage of his own wrong (*commodum ex injuria sua nemo habere debet*); once the parallel-operating service was disconnected in September 2007, no charge could be levied for it thereafter, notwithstanding the un-amended agreement. Acquiescence, however, cuts both ways: it bars the consumer's claim to refund charges it paid up to 2007 without demur.

DISPOSITION Writ petition allowed

SCJ-089 Nadeem v. State of U.P. & 4 Others All HC

2024:AHC:116653-DB

Allahabad High Court & Manoj Kumar Gupta & Manish Kumar Nigam, JJ. & 23 July 2024

A consumer challenging a recovery citation issued for non-payment of dues confirmed by an unchallenged final assessment order under Section 126 of the Electricity Act, 2003 (theft of electricity) may, by consent, be permitted to pay the assessed amount in installments; restoration of a permanently disconnected electricity connection remains subject to the consumer separately applying for restoration under the procedure prescribed by the U.P. Electricity Supply Code, 2005, to be considered once a specified installment is paid — non-disclosure of a pending challenge to the underlying assessment before the Permanent Lok Adalat is a relevant but not independently fatal circumstance where the parties reach a consent disposal.

DISPOSITION Writ petition disposed of by consent; installment payment permitted, restoration to follow the Supply Code procedure upon second installment

SCJ-108 Raju v. Dakshinanchal Vidyut Vitran Nigam Ltd. & Another All HC

2024:AHC:163571-DB

Allahabad High Court & Shekhar B. Saraf & Vipin Chandra Dixit, JJ. & 15 October 2024

The U.P. Electricity Supply Code, 2005 does not permit permanent disconnection of electricity supply — even on a ground such as alleged unauthorized use of electricity at another premises — without any prior notice or show-cause opportunity to the consumer. Where such a disconnection is carried out without notice, it is arbitrary and without authority of law, and the connection must be reinstated, without prejudice to the licensee's liberty to thereafter issue a show-cause notice and act in accordance with law.

DISPOSITION Writ petition disposed of; permanent disconnection quashed, reinstallation directed within 7 days, without prejudice to a fresh show-cause notice

SCJ-045 Kripa Shanker v. State of U.P. Thru. Distt. Collector, Unnao & Ors. All HC

2025:AHC-LKO:36177-DB

Allahabad High Court (Lucknow Bench) & Arun Kumar Singh Deshwal & Alok Mathur, JJ. & 24 June 2025

Clause 6.14 of the U.P. Electricity Supply Code, 2005 provides for payment of an outstanding electricity bill in installments; a consumer (here, a marginal farmer facing recovery proceedings on an agricultural connection bill) may move an application under Clause 6.14 before the Executive Engineer, who must consider and decide it expeditiously and may permit deposit of the outstanding amount in installments.

DISPOSITION Writ petition disposed of by consent (installment facility directed on partial deposit)

I. Unauthorised Use of Electricity (s.126)

34 JUDGMENTS

SCJ-158 Ashok Kumar & Ors. v. State of U.P. & Ors. All HC

2008 SCC OnLine All 696

Allahabad High Court & Anjani Kumar, J. & Sudhir Agarwal, J. (delivered by Sudhir Agarwal, J.) & 18 July 2008

Also relevant to: H — Billing, Recovery, Limitation & Disconnection D — Insolvency Interface (IBC & winding-up)

A provisional assessment for unauthorised use of electricity under Section 126 of the Electricity Act, 2003 is valid only if the mandatory procedure of Clause 6.8 of the U.P. Electricity Supply Code, 2005 is followed and the consumer is given a real opportunity of hearing at TWO distinct stages. The condition precedent to the s.126(1) power is that the assessing officer records a conclusion of unauthorised use; because such a finding overlaps with the s.135 offence and stigmatises the consumer, the officer must, before making the provisional assessment, disclose the specific manner of the alleged unauthorised use and hear the consumer's defence, then record the conclusion (the 'guilt' stage), and separately afford a hearing on quantum before final assessment. Clause 6.8 requires the evidence substantiating unauthorised use to be recorded in the inspection report and stated in the assessment notice/order, 15 working days to reply, and a fixed date of personal hearing, with a final order before any recovery. A demand notice under Section 3 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958 could not issue: the Executive Engineer of DVVNL is not a 'prescribed authority' under Section 2(b) of the 1958 Act unless so notified (and a notice describing him as an officer of 'UPPCL' was defective). Although DVVNL is a 'Government company' (a subsidiary of UPPCL under Section 617 of the Companies Act, 1956), the assessment and demand notices, issued in breach of Clause 6.8 and s.126, were quashed with liberty to proceed afresh.

DISPOSITION Writ petitions partly allowed; s.126 assessment notices and s.3 (1958 Act) demand notices quashed

SCJ-032 Hazi Mohd. Yaseen v. P.V.V.N.L. & Another All HC

Allahabad High Court & Amitava Lala & Ashok Srivastava, JJ. (delivered by Amitava Lala, J.) & 20 August 2011

The 'reasonable opportunity of hearing' required by Section 126(3) of the Electricity Act, 2003 (read with the U.P. Electricity Supply Code, 2005) before a final assessment of electricity theft includes a personal hearing — because an essential service has been disconnected and a theft charge carries penal consequences. An ex parte final assessment, passed without personal hearing, is quashed and remitted for a fresh reasoned order after a personal hearing, on a precondition that the consumer deposit 50% of the claim (mirroring Section 127(2)). While natural justice is not a straitjacket and personal hearing is not required in every case, where the statute contemplates a reasonable opportunity of hearing in the consumer/theft context, personal hearing is essential.

DISPOSITION Writ petition disposed of (final assessment quashed; remitted for fresh order after personal hearing, on a 50% deposit)

SCJ-041 Executive Engineer, Southern Electricity Supply Co. of Orissa Ltd. (SOUTHCO) v. Sri Seetaram Rice Mill SC

(2012) 2 SCC 108

Supreme Court of India & S.H. Kapadia, CJI, K.S. Radhakrishnan & Swatanter Kumar, JJ. & 20 October 2011

Also relevant to: K — Fora, Jurisdiction & Appeals

Sections 126 and 135 of the Electricity Act, 2003 operate in different and distinct fields with no commonality in law. Section 135 (theft) falls within criminal jurisprudence and requires mens rea; Section 126 (unauthorised use) is primarily a civil remedy, not premised on any criminal intent, and applies even in the absence of intention. 'Unauthorised use of electricity' is an expression of wider connotation to be construed purposively (not restrictively by the Explanation's clauses); consumption in excess of the contracted/sanctioned load falls within Explanation (b) (iv) to Section 126. Sections 126 and 127 together constitute a complete code: only a final order of assessment under Section 126(3) is appealable under Section 127; a notice-cum-provisional assessment under Section 126(2) is not. The High Court should normally decline to interfere under Article 226 with a final Section 126(3) assessment, confining itself to jurisdictional review rather than re-assessment.

DISPOSITION Appeal allowed; High Court judgment set aside and remanded to the assessing officer to pass a final Section 126(3) assessment after affording the consumer an opportunity to file objections

SCJ-047 Lalit Kumar Kapoor v. Kanpur Electricity Supply Company & Anr. All HC

Allahabad High Court & Amitava Lala & V.K. Mathur, JJ. & 22 September 2011

Also relevant to: K — Fora, Jurisdiction & Appeals

For a theft-based Section 126 final assessment, the law applicable to the appeal's deposit condition (and to the assessment rate under Section 126(6)) is the law prevailing on the date of the FINAL assessment, not the date the provisional assessment/inspection was made or the date the cause of action (the theft) arose; a provisional assessment is not a final assessment and carries no independent right of appeal. Reasonable opportunity of hearing in a theft assessment is governed by Clauses 6.8(b)(i), 6.8(c)(iii) and 8.1(b) of the U.P. Electricity Supply Code, 2005; where an opportunity to represent was in substance afforded (even pursuant to an earlier writ court's direction to consider a representation), any procedural defect in the provisional stage is condoned — procedural law cannot override the substantive law. In a theft matter, the High Court will not relax the statutory pre-deposit for the alternative appellate remedy under Section 127, given the public interest in the essential service of electricity supply.

DISPOSITION Writ petition disposed of (relegated to the statutory appeal under Section 127, subject to the amended deposit condition)

SCJ-119 Shiv Shankar Giri v. Purvanchal Vidyut Vitran Nigam Ltd. & Others All HC

Allahabad High Court & Satya Poot Mehrotra & Ashok Srivastava, JJ. & 30 May 2011

Where a licensee cannot establish that a provisional assessment order was served on the consumer in the manner prescribed by Clause 9.3 of the U.P. Electricity Supply Code, 2005 (and the consumer denies receipt), the consumer is deprived of the statutory right to file objections under Section 126(3) of the Electricity Act, 2003 read with Clause 8.1(b)(iii) of the Code; treating an unserved provisional assessment as final (by issuing a demand notice by ordinary post, again with no proof of service) and proceeding to a recovery certificate is accordingly premature. The remedy is to afford the consumer a fresh, defined opportunity to file objections to the provisional assessment (upon supply of a certified copy), with recovery stayed pending a reasoned decision on those objections after a hearing.

DISPOSITION Writ petition disposed of; fresh opportunity to object to provisional assessment directed, recovery stayed pending decision

SCJ-172 Suresh Kumar v. U.P. Power Corporation, Shakti Bhawan, Lucknow & Others All HC

2011 SCC OnLine All 817

Allahabad High Court & Satya Poot Mehrotra, J. & Rajesh Chandra, J. & 12 May 2011

A document styled a 'provisional assessment' that contains no calculation of the assessment and does not even state the amount assessed on account of the alleged theft cannot be treated as a provisional assessment under Section 126 of the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005. Where such a defective provisional assessment was followed by a 'final assessment', the Court directed that the final assessment order be treated as the provisional assessment, that the consumer's objections be considered and disposed of by a speaking order after a reasonable opportunity of hearing, and that recovery under the citation remain stayed until the objections are decided and thereafter abide that decision.

DISPOSITION Writ petition disposed of with directions; recovery stayed pending decision on objections

SCJ-257 Bhajan Lal and Anr. v. Executive Engineer, Electricity Distribution Khand-1, U.P. and Ors. All HC

2011 SCC OnLine All 2381 : (2012) 3 All LJ 471

Allahabad High Court (Lucknow Bench) & Devi Prasad Singh, J. & Dr. Satish Chandra, J. & 17 October 2011

The provisional-assessment bill and show-cause notice served under Clause 6.8(b) of the U.P. Electricity Supply Code, 2005 must be served 'under proper receipt' by an authentic mode; service by ordinary post raises no presumption of service and does not suffice. Clause 6.8(b) requires the assessing officer, on concluding that unauthorised use has occurred, to serve the provisional-assessment bill with a show-cause notice giving 15 clear working days for reply, fixing a date of hearing. Service must be ensured by registered post and personal service simultaneously, and, if both fail, by newspaper publication (whereafter the authority may proceed ex parte); non-service violates natural justice (Article 14) and vitiates the proceedings. Though the petitioners had by then paid a fresh assessment (leaving nothing to adjudicate), the Court laid down the service requirement and directed the Chairman, U.P. Power Corporation to issue a circular ensuring compliance.

DISPOSITION Writ petition disposed of (the fresh assessment having been paid) with directions on the manner of service of the provisional-assessment notice

SCJ-049 M.D., Pakshimanchal Vidyut Vitran Nigam Ltd. v. Electricity Ombudsman & Anr. All HC

Allahabad High Court (Lucknow Bench) &middot; Sudhir Agarwal, J. &middot; 19 July 2012

Also relevant to: L — Writ & Public-Law Doctrines K — Fora, Jurisdiction & Appeals

Where an assessment is made on the ground of 'unauthorised use of electricity' referable to Section 126 of the Electricity Act, 2003, the Assessing Officer is a statutory authority whose order is appealable only under Section 127; when the statute itself creates its own adjudicatory forum (the Assessing Officer) and appellate forum (Section 127), a parallel forum created by subordinate legislation — the Consumer Grievance Redressal Forum (CGRF) and Electricity Ombudsman under the U.P. Electricity Regulatory Commission (CGRF & Ombudsman) Regulations, 2007 — has no jurisdiction to review a Section 126 assessment or a Section 127 appellate order. Jurisdiction cannot be conferred by consent, acquiescence, or an earlier court order that merely assumed jurisdiction without the point being raised, argued and decided (which does not constitute a binding precedent on the jurisdictional question). Further, a licensee has no remedy of representation under Clause 8 of the 2007 Regulations read with Section 42(6) of the Act before the Ombudsman against a CGRF order.

DISPOSITION Writ petition allowed; CGRF and Ombudsman proceedings quashed as without jurisdiction (liberty to pursue the Section 126/127 remedy)

SCJ-051 M/S Beeco Electrical India & Anr. v. Pashchimanchal Vidyut Vitran Nigam Ltd. &**Ors.** All HC

2012 AIR CC 3143 (All); (2012) 6 ADJ 622

Allahabad High Court &middot; Sudhir Agarwal & Pradeep Kumar Singh Baghel, JJ. &middot; 14 June 2012

Also relevant to: J — Theft (s.135) & Chapter VIII of the Code L — Writ & Public-Law Doctrines

Where a writ petitioner invokes the 'without jurisdiction' exception to the alternative-remedy rule by contending that theft itself is not proved (so the Assessing Officer's jurisdiction under Section 126/135 read with paras 8.1-8.2 of the U.P. Electricity Supply Code, 2005 never arose), and full arguments on the underlying merits have already been advanced, the Court may examine the record to see whether the assessment is patently without jurisdiction or illegal, instead of relegating the petitioner afresh to the Section 127 appeal. On the facts, physical indicators (a naked conductor at the LT mains bracket, broken seal continuity, an inexplicable reverse phase sequence in the MRI report) sufficiently support an inference of direct extraction/theft; Ashok Kumar's requirement that the consumer be told the manner of the alleged theft is satisfied where the checking report itself discloses the facts from which theft is inferred, even without a red-handed catch. Mens rea is not required for a Section 126 civil assessment (unlike Section 135 prosecution). A plea of mala fide cannot be entertained unless the individual official against whom it is alleged is impleaded eo nomine.

DISPOSITION Writ petition dismissed (assessment upheld on merits despite the availability of the s.127 alternative remedy)

SCJ-112 Sanjay Rizvi v. M.D. Kanpur Electricity Supply Co. & Others All HC

AIR 2012 Allahabad 163; 2012 (8) ADJ 335

Allahabad High Court & R.K. Agrawal & Vinay Kumar Mathur, JJ. & 20 April 2012

Clause 6.8 of the U.P. Electricity Supply Code, 2005 lays down a detailed, mandatory procedure for assessment of unauthorised use of electricity (UUE): a site inspection report communicated to the consumer, a provisional assessment/show-cause notice inviting objections, a personal hearing, and a speaking final order — before an assessing officer can record even a prima facie conclusion of unauthorised use, some opportunity consistent with natural justice must be afforded, since the allegation can be serious and offence-adjacent. Where the licensee's own procedure contemplates verification of a disputed meter through Meter Reading Instrument (MRI) technology and such verification is neither carried out despite repeated requests and a court direction, nor its unavailability adequately explained before the provisional assessment is finalised, the assessment is impugnable as lacking an authentic evidentiary basis. Availability of the statutory appeal under s.127 read with Clause 6.8(d) is ordinarily a bar to writ entertainment, but the Whirlpool Corporation exceptions (violation of natural justice, want of jurisdiction, enforcement of fundamental rights) may still permit the writ court to examine the process (though the ultimate technical/factual determination is better left to the departmental process).

DISPOSITION Writ petition disposed of; petitioner relegated to file a representation, with directions for a reasoned decision and appeal rights preserved

SCJ-126 Smt. Vimla Tiwari v. State of U.P. And Others All HC

AIR 2012 Allahabad 142

Allahabad High Court & Sudhir Agarwal, J. & 20 April 2012

Also relevant to: [G — Metering](#) [K — Fora, Jurisdiction & Appeals](#)

Where a theft-of-electricity 'missing meter' checking report and the resultant s.126 assessment order are shown, on the Assessing and Appellate Authorities' own personal affidavits filed under the Court's directions, to be internally contradictory, inconsistent as to dates, and effectively fabricated or backdated, the entire proceeding is vitiated by 'malice in law' — i.e., action taken without just cause or excuse, or founded on non-existent/misrepresented facts, irrespective of any actual personal ill-will towards the consumer. Given the overlap between s.126 (assessment for unauthorised use) and s.135 (theft) — the same 'missing meter' facts routinely underlie both — an assessment under s.126 carries reputational and character consequences comparable to a theft charge, requiring the same rigour of procedural fairness, natural justice, and honest, reasoned recording of facts by the Assessing Officer as would be demanded in a quasi-criminal proceeding. Before finalising an assessment premised on an allegedly missing or non-functional meter, Clause 5.6 of the U.P. Electricity Supply Code, 2005 requires that the meter be sent for testing (to verify the checking report's claims) rather than the Assessing Officer relying solely on a field report riddled with internal contradiction. Structurally, the statutory s.127 Appellate Authority — a Commissioner assisted by a Superintending Engineer 'technical member' — must exercise independent, non-mechanical appellate judgment; an appellate order that reflects the Commissioner having abdicated all technical assessment to the Superintending Engineer, without independent application of mind, fails the requirements of a genuine appeal.

DISPOSITION Writ petition allowed; s.126 assessment order and s.127 appellate order quashed; Rs. 10,000 costs awarded against respondents, recoverable from responsible officials personally, with direction for entry of censure in their Annual Character Roll

SCJ-145 Vinod Kumar Agarwal v. State of U.P. And Others All HC

Allahabad High Court & Sunil Ambwani & Aditya Nath Mittal, JJ. & 10 July 2012

No recovery citation under the U.P. Government Electricity Undertaking (Recovery of Dues) Act, 1958 may be issued for alleged theft/unauthorised use of electricity unless and until a final assessment order has first been passed under Section 126(3) of the Electricity Act, 2003 (following the mandatory procedure of Clause 6.8 of the U.P. Electricity Supply Code, 2005) after affording the consumer a reasonable opportunity of hearing on the provisional assessment, whether or not the consumer files objections — a systemic direction issued directly to the Chairman & Managing Director of U.P. Power Corporation Ltd. given the repeated, widespread pattern of premature recovery citations reaching the High Court from across Uttar Pradesh without any final assessment having been made, and the Corporation's counsel's repeated inability to obtain instructions in such matters.

DISPOSITION Writ petition disposed of as infructuous following withdrawal of the recovery and issuance of a final assessment order; systemic compliance directions issued to and accepted by U.P. Power Corporation Ltd.

SCJ-034 Islam v. State of U.P. & 4 Others All HC

Allahabad High Court & Sunil Ambwani & Surya Prakash Kesarwani, JJ. & 24 June 2013

A farmer's ancillary use of a sanctioned agricultural tube-well connection to run a 'kolhu' (crusher) or 'kutti machine' for crushing his own produce, within the sanctioned load, is authorised agricultural use and not 'unauthorised use' of electricity — as clarified by the licensee's own policy (the PVVNL Managing Director's order dated 11.11.2005) — unless he uses a load higher than sanctioned or installs a second meter. In a theft/unauthorised-use assessment the burden lies on the department to prove commercial use; absent any allegation of crushing for others or for hire, and any excess load or second meter, the FIR and the assessment are illegal.

DISPOSITION Writ petition allowed (theft assessment quashed)

SCJ-139 U.P. Power Corporation Ltd. & Ors. v. Anis Ahmad (with connected appeals) SC

(2013) 8 SCC 491

Supreme Court of India & G.S. Singhvi & Sudhansu Jyoti Mukhopadhaya, JJ. & 1 July 2013

A 'complaint' against a final assessment order passed by an assessing officer under Section 126 of the Electricity Act, 2003 (unauthorised use of electricity), or against action/prosecution for offences under Sections 135 to 140 (theft of electricity and related offences), is not maintainable before a Consumer Forum constituted under the Consumer Protection Act, 1986. Though Sections 173-175 of the Electricity Act, 2003 save the Consumer Protection Act's application generally and the two statutes run in parallel, this only means a genuine 'consumer' under s.2(1)(d) CP Act may pursue a 'complaint' as narrowly defined under s.2(1)(c) CP Act — confined to unfair/restrictive trade practice, defective goods, deficiency in service, hazardous goods/services, or overcharging beyond the legally fixed price. The quasi-judicial, penal assessment of 'unauthorised use of electricity' under s.126 (assessed at twice the tariff) and the offences of theft/interference with meters under ss.135-140 (triable only by Special Courts under s.153) bear no relationship to any of these categories, and so fall outside the Consumer Protection Act's 'complaint' definition altogether — this is not a case of 'inconsistency' between the two statutes resolved in the Consumer Protection Act's favour, but simply a matter the CP Act's complaint jurisdiction never reached in the first place. Separately, a person availing an electricity connection for 'commercial purpose' does not qualify as a 'consumer' under s.2(1)(d) CP Act and cannot file a complaint at all. Section 42 of the Electricity Act, 2003 (establishing the Ombudsman/Forum grievance mechanism, on which the National Commission had relied) applies only to distribution licensees under Part VI, and does not confer Consumer Forum jurisdiction over assessment/theft matters; nor does the Electricity Supply Code under s.50 (billing, disconnection, tampering-prevention measures) extend to s.126/135-140 assessment or offences.

DISPOSITION Civil appeals allowed; National Consumer Disputes Redressal Commission's orders set aside

SCJ-163 Jai Laxmi Cement Company Ltd. v. State of U.P. & 3 Others All HC

2013 SCC OnLine All 9880

Allahabad High Court & Ashok Bhushan, J. & Vipin Sinha, J. & 29 October 2013

Also relevant to: [K — Fora, Jurisdiction & Appeals](#)

A provisional assessment notice under Section 126(2) of the Electricity Act, 2003 that relies on a checking report said to confirm theft does not thereby express a 'concluded opinion' or prejudice the matter, because the consumer has a right to file objections which the assessing officer must consider before final assessment; it is not vitiated on the prejudgment principle of *Oryx Fisheries* (decided on different facts, where the notice said the charge was 'proved beyond doubt'). A writ against a provisional assessment will normally not be entertained: following *SOUTHCO v. Sri Seetaram Rice Mill*, only a final order under Section 126(3) is appealable under Section 127, a Section 126(2) provisional assessment is not, and the High Court should decline to interfere save within the Whirlpool exceptions (a true jurisdictional challenge, vires, or breach of natural justice), which this case did not attract. The writ was disposed of with directions: 21 days to file a detailed objection, consideration of the meter-testing request, and — on the petitioner depositing one-third of the provisional amount — reconnection abiding the final assessment, to be completed within four weeks.

DISPOSITION Writ petition disposed of with directions; interference at the provisional-assessment stage declined**SCJ-164 Parmarth Steels & Alloys (Pvt.) Ltd. & Anr. v. U.P. Power Corporation Ltd. (Transco) & Others** All HC

2013 SCC OnLine All 11490

Allahabad High Court & Ashok Bhushan, J. & Vipin Sinha, J. & 3 December 2013

Also relevant to: [K — Fora, Jurisdiction & Appeals](#)

In a theft/unauthorised-use assessment on an independent-feeder consumer, the assessing officer is bound to consider the consumer's detailed objections and pass a speaking order before final assessment under Section 126 of the Electricity Act, 2003. Here the objections specifically pointed out that the outdoor double-pole (check) meter was found O.K. and that the sub-station energy-accounting meter's line-loss readings — which tally at both ends — were relevant to disprove theft; these were never considered, the only reply to a key objection being the non-speaking line 'Assessment is as per rules and has been finalised after considering all the facts'. The check meter's reading and the sub-station readings had to be given due consideration. The order rejecting the objections is set aside and the matter remitted for a fresh final assessment after due consideration of the objections. Separately, the writ was not dismissed for the s.127 alternative remedy: that bar is a self-imposed discipline, not a jurisdictional one, and a writ entertained with completed pleadings, an interim order, and five years' pendency should be decided on merits.

DISPOSITION Writ petition allowed to the extent indicated; rejection order set aside; matter remitted for fresh final assessment**SCJ-057 M/S Kissan Chilling Udyog & Anr. v. State of U.P. & Ors.** All HC

Allahabad High Court & Sudhir Agarwal, J. & 5 September 2014

Applying *Ashok Kumar v. State of U.P.*, a theft-based Section 126 assessment must strictly follow Clause 6.8 of the U.P. Electricity Supply Code, 2005 (inspection report, show-cause notice with 15 working days to reply, hearing, speaking final order); a demand notice that misreads the checking report — e.g. attributing tampering to 'all seals' when the report in fact recorded the body-seal defect only for the main meter and the foreign/tampering element only inside a separate double (test) meter installed by the licensee itself — cannot sustain an unauthorised-use assessment, since the consumer is thereby condemned on a mischaracterisation of the very evidence relied upon, without any disclosure of how the assessed quantum was calculated.

DISPOSITION Writ petition allowed; assessment and demand notices quashed (liberty to reassess afresh strictly per Clause 6.8/Ashok Kumar)

SCJ-111 Sandeep Kesarwani v. State of U.P. & 3 Others All HC

Allahabad High Court & Ashok Bhushan & Mahesh Chandra Tripathi, JJ. & 11 February 2014

Also relevant to: H — Billing, Recovery, Limitation & Disconnection

Assessment under Section 126 of the Electricity Act, 2003 must be made even where the same conduct also constitutes theft of electricity under Section 135, and criminal proceedings are pending before the Special Court — 'unauthorised use of electricity' (Explanation (b) to s.126) is the wider genus of which theft under s.135 is a dishonest species; the Special Court's role under s.154(5)/(6) to determine civil liability for theft does not oust or duplicate, but operates alongside, the Executive Engineer's s.126 assessment (the sixth proviso to s.135(1), referencing the 'assessed amount', itself presupposes a s.126 assessment). Recovery of dues becomes barred under s.56(2) only two years from when the sum first became due, which (for assessed dues) is the date of final assessment, not the date of provisional assessment or inspection. Where a provisional assessment notice under s.126(2)/(3) is not followed by a final assessment order for an inordinately long period (here, over two years), natural justice requires a fresh opportunity to object before the final assessment is made; a final order passed after such delay without a fresh opportunity is liable to be set aside, notwithstanding the existence of an appellate remedy under s.127, where the assessing officer's very jurisdiction to assess under s.126 in a theft case is under challenge.

DISPOSITION Writ petition disposed of; recovery citation set aside, fresh objection/final-assessment process directed

SCJ-192 Ram Prakash Yadav v. State of U.P. & 3 Others All HC

2014 SCC OnLine All 12682

Allahabad High Court & Krishna Murari, J. & Ashwani Kumar Mishra, J. & 4 August 2014

A theft/unauthorised-use assessment under the U.P. Electricity Supply Code, 2005 is bad where (i) the licensee cannot show, by any positive reply on the method of service, that the provisional assessment was actually received by the consumer, and (ii) the provisional assessment gives no basis for the amount and the assessing authority has not recorded its satisfaction that the consumer committed theft. In such a case the consumer was not afforded the adequate opportunity to reply and object required by Clause 6.8(b), and the demand and consequential recovery are quashed. Following *Ashok Kumar v. State of U.P.*, the licensee must prepare a fresh provisional assessment, serve it, and pass a final assessment after considering the consumer's objections with reasons.

DISPOSITION Writ petition allowed; demand quashed; fresh Code-compliant assessment directed

SCJ-193 Yogendra Singh v. Dakshinanchal Vidyut Vitaran Nigam Ltd. & 3 Others All HC

2014 SCC OnLine All 12750

Allahabad High Court & Krishna Murari, J. & Ashwani Kumar Mishra, J. & 5 August 2014

A theft/unauthorised-use assessment under the U.P. Electricity Supply Code, 2005 is bad where (i) the licensee cannot show, by any positive reply on the method of service, that the provisional assessment was actually received by the consumer, and (ii) the provisional assessment gives no basis for the amount and the assessing authority has not recorded its satisfaction that the consumer committed theft. In such a case the consumer was not afforded the adequate opportunity to reply and object required by Clause 6.8(b), and the demand and consequential recovery are quashed. Following *Ashok Kumar v. State of U.P.*, the licensee must prepare a fresh provisional assessment, serve it, and pass a final assessment after considering the consumer's objections with reasons.

DISPOSITION Writ petition allowed; demand quashed; fresh Code-compliant assessment directed

SCJ-065 M/S Sartaj Rice Mill Thru' Its Partner Maqsood Ali v. Paschimanchal Vidhyut Vitran Nigam Ltd. All HC

Allahabad High Court & Rakesh Tiwari & Mukhtar Ahmad, JJ. (delivered by Rakesh Tiwari, J.) & 7 October 2015

Where a consumer, on being served an overload-consumption assessment notice, himself offers in writing to pay the assessed sum in instalments and the licensee accepts that offer (restoring the disconnected connection on that basis), the assessment thereby becomes final/binding on the consumer by his own acceptance, even absent a separately captioned 'final order'; he cannot years later contend the assessment was never finalised. Under Para 3.1, Chapter 7 of the Commercial and Revenue Manual read with Clause 6.8(c)(i) of the U.P. Electricity Supply Code, 2005, the consumer must be given an opportunity of hearing before assessment/recovery; where the consumer was present at the hearing (held pursuant to a court-mandated four-week deadline for deciding his long-pending objection) but failed to produce the documents he claimed to rely on, and his advocate's last-minute adjournment request could not be accommodated without breaching the court's deadline, no breach of natural justice arises.

DISPOSITION Writ petition dismissed

SCJ-165 Kamil v. State of U.P. & Others All HC

2016 SCC OnLine All 2684

Allahabad High Court & Krishna Murari, J. & Amar Singh Chauhan, J. & 25 April 2016

Also relevant to: [K — Fora, Jurisdiction & Appeals](#)

A provisional assessment for unauthorised use of electricity is valid only if made following Section 126 of the Electricity Act, 2003 and the detailed procedure in Clause 6.8 of the U.P. Electricity Supply Code, 2005 — inspection and a site report indicating conclusive evidence of UUE handed to the consumer, a provisional assessment bill with a show-cause notice giving 15 working days to reply and a fixed date of hearing, a personal hearing, and a speaking order recording whether UUE is established and the quantum. Here the notice dated 29.7.2005 gave the consumer no opportunity to file objections and fixed no date of hearing — it merely demanded a deposit within seven days — and no final order of assessment preceded the demand notice under Section 3 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958. The procedure was wholly de hors the statutory provisions and violated natural justice; the s.127 alternative remedy is no bar in such a case (natural-justice breach, plus six years' pendency). The impugned order and the s.3 demand notice are quashed, with liberty to issue a fresh provisional assessment notice complying with s.126 and Clause 6.8.

DISPOSITION Writ petition allowed; assessment/representation-rejection order and s.3 (1958 Act) demand notice quashed

SCJ-176 Rakesh v. State of U.P. & 3 Others All HC

2016 SCC OnLine All 1586

Allahabad High Court & Sudhir Agarwal, J. & Kaushal Jayendra Thaker, J. & 18 July 2016

No recovery of an assessed amount can arise where no final order of assessment has been passed. Where a theft (s.135) provisional assessment was made and a recovery citation issued, but the department could not show that any final order of assessment was ever passed, the recovery cannot stand; further, the provisional assessment notice was not in conformity with Ashok Kumar v. State of U.P. and Clause 6.8 of the U.P. Electricity Supply Code, 2005. The Court directed the licensee to issue a fresh provisional assessment notice conforming to Ashok Kumar and Clause 6.8, afford an adequate opportunity of reply and oral hearing, and pass a speaking order; recovery remains suspended until the final assessment and thereafter abides it.

DISPOSITION Writ petition disposed of; recovery suspended pending a fresh, Code-compliant assessment

SCJ-211 Ram Bahadur v. State of U.P. & Others All HC

2016 SCC OnLine All 3479

Allahabad High Court & Tarun Agarwala, J. & Vipin Sinha, J. & 7 September 2016

In assessing unauthorised use of electricity under Section 126(5) of the Electricity Act, 2003 read with Clause 6.8(c) (iii) and the Annexure 6.3 formula of the U.P. Electricity Supply Code, 2005, the twelve-month (365-day) period in criterion 'D' is a FALLBACK to be used only when the assessing officer, having recorded his satisfaction, finds that the actual period of unauthorised use cannot be ascertained. Where the period can be ascertained it must be used. Here the connection was granted on 14.04.2015 and the unauthorised use detected on 03.06.2015, so the period was ascertainable (at most from the date of connection); mechanically taking 365 days — extending the assessment to a period before the connection even existed — without recording any satisfaction was patently erroneous. The assessment and recovery were quashed and a fresh assessment directed.

DISPOSITION Writ petition allowed; assessment and recovery quashed; fresh assessment directed

SCJ-143 Vimal Gupta v. Executive Engineer, Dakshinanchal Electricity Dist. Nigam All HC

Allahabad High Court & Dilip B. Bhosale, C.J. & Yashwant Varma, J. & 21 September 2017

Where a consumer is provisionally assessed for unauthorised extraction of electricity and challenges the assessment, the U.P. Electricity Supply Code, 2005's detailed adjudicatory mechanism (Clause 6.8 and related provisions) must be followed on the merits rather than being bypassed by direct writ challenge; pending such challenge, a consent-based interim arrangement conditioning reconnection on deposit of 50% of the disputed demand is an appropriate equitable via media.

DISPOSITION Writ petition disposed of by consent; petitioner directed to deposit 50% of the disputed amount within two weeks, licensee to consider reconnection thereafter

SCJ-195 Bharat Bhati v. State of U.P. & 2 Others All HC

2018 SCC OnLine All 3262

Allahabad High Court & Shashi Kant Gupta, J. & Rajiv Gupta, J. & 3 July 2018

A writ against a show-cause notice / provisional assessment issued under Clause 6.8(B) of the U.P. Electricity Supply Code, 2005 is premature where the consumer has not yet filed his objection. The petitioner (an owner contending the premises were let out and that any theft was the tenant's) had ample opportunity to raise all his pleas — including that the property was tenanted and the assessment period wrong — before the appropriate authority. The Court directed that if the petitioner files his objection within 15 days, the authority must dispose of it by a speaking order in accordance with law after considering his pleas.

DISPOSITION Writ petition disposed of; petitioner relegated to file objections before the authority

SCJ-042 West Bengal State Electricity Distribution Co. Ltd. (WBSEDCL) v. M/s Orion Metal Pvt. Ltd. SC

(2020) 18 SCC 588; Civil Appeal No. 6547 of 2019

Supreme Court of India & R. Banumathi & R. Subhash Reddy, JJ. & 21 August 2019

Also relevant to: [J — Theft \(s.135\) & Chapter VIII of the Code](#)

All instances of unauthorised use of electricity may not amount to theft, but theft under Section 135 falls within the definition of 'unauthorised use of electricity' under Section 126; hence use through a tampered meter is unauthorised use assessable under Section 126, and the authorities are empowered to make a provisional and final assessment under Section 126(1) even in cases of theft. The Section 126(1) assessment power and the Special Court's Section 154(5) power to determine civil liability are not parallel to or mutually exclusive of each other: where unauthorised use amounts to theft, a Section 126(1) assessment AND a Section 135 criminal complaint may both proceed, with the Special Court determining civil liability under Section 154(5) (any excess deposit being refunded). Proof for the Section 126(1) assessment need only meet the civil standard; proof beyond reasonable doubt and mens rea are required only for the Section 135 criminal charge.

DISPOSITION Appeal allowed; High Court (Division Bench) order set aside — the Section 126 assessment restored

SCJ-048 Latif v. State of U.P. & Ors. All HC

AIRONLINE 2019 ALL 2332

Allahabad High Court & Sudhir Agarwal & Rajeev Misra, JJ. & 14 October 2019

Clause 6.8 of the U.P. Electricity Supply Code, 2005 (read with Section 126 of the Electricity Act, 2003) prescribes a detailed, mandatory procedure for inspection, provisional assessment, hearing and final assessment in cases of unauthorised use of electricity: a site inspection report disclosing the irregularity must be handed/served on the consumer (6.8(a)); a show-cause notice with the provisional assessment must give 15 working days for reply and fix a hearing date (6.8(b)); and after hearing, a speaking final order must record whether unauthorised use is established and, if so, the assessed quantum (6.8(c)). Following *Ashok Kumar v. State of U.P.*, before-the-fact recording of a conclusion of unauthorised use without opportunity to the consumer would violate natural justice and Article 14; a bill-cum-notice and demand issued directly under the U.P. Government Electricity Undertaking (Recovery of Dues) Act, 1958, bypassing this Clause 6.8/Section 126 process (no show-cause notice, no final speaking order), is illegal and must be set aside.

DISPOSITION Writ petition allowed; bill-cum-notice and demand notice set aside (liberty to proceed afresh in accordance with law)

SCJ-070 M/S Urmila Oil Industries v. U.P. Dakshinanchal Vidyut Vitran Nigam & Ors. All HC

Allahabad High Court & Sudhir Agarwal & Rajeev Misra, JJ. & 7 November 2019

An assessment cannot be sustained where it is founded merely on the 'possibility' of theft inferred from an MRI pattern (nil load recorded at night over several months) without any specific finding of how the authorities concluded that theft had in fact occurred, without disclosing the manner of assessment, and without issuing the show-cause notice contemplated by Clause 6.8 of the U.P. Electricity Supply Code, 2005, as required by *Ashok Kumar v. State of U.P.* A consumer's explanation that nil night-time load reflected a genuine safety-driven disconnection (not consumption) must be engaged with on its merits, not summarily rejected as 'unsatisfactory' without reasoned analysis.

DISPOSITION Writ petition allowed; assessment notice and demand set aside (liberty to pass a fresh order)

SCJ-144 Vinay Kumar Singh v. State of U.P. And 2 Others All HC

Allahabad High Court & Shashi Kant Gupta & Piyush Agrawal, JJ. & 14 January 2020

A recovery citation for electricity theft dues issued in a name distinct from the petitioner's own is not rendered inapplicable to him where he has himself judicially admitted, in an earlier s.482 Cr.P.C. proceeding seeking to quash the underlying theft prosecution, that the name on the citation is his own alias; having made that admission, he cannot resist the citation on grounds of mistaken identity in a subsequent writ petition. Where a citation is issued and disputed without the consumer having been afforded the objection/hearing opportunity contemplated by the U.P. Electricity Supply Code, 2005, the appropriate equitable course is to direct the licensee's Executive Engineer to hear the consumer's objections and pass a reasoned final order, with interim protection from coercive recovery pending that determination and a right of appeal under Section 127 of the Electricity Act, 2003 against any adverse final order.

DISPOSITION Writ petition disposed of; petitioner directed to appear and file objections before the Executive Engineer, with interim protection from coercive recovery

SCJ-092 Navi Hasan v. U.P. Power Corporation & Another All HC

Allahabad High Court & Surya Prakash Kesarwani & Chandra Kumar Rai, JJ. & 19 July 2022

A demand/assessment order that consciously disregards prior directions of the writ court (to confront the consumer with adverse material, permit objections, fix a hearing, and pass a reasoned speaking order) and is instead a pre-printed proforma order with only the name, checking-report number, notice number and demanded amount filled in by hand, violates the audi alteram partem principle of natural justice and is liable to be quashed with costs; where the assessing officer withdraws such an order during the pendency of the writ petition without disclosing the statutory power (under the Electricity Act or the U.P. Electricity Supply Code, 2005) to recall/review it, that too constitutes prima facie misconduct.

DISPOSITION Writ petition allowed with costs of Rs. 1,00,000/-; impugned demand order quashed, fresh assessment directed

SCJ-147 Kerala State Electricity Board & Ors. v. Thomas Joseph Alias Thomas M.J. & Ors. (with connected appeals) SC

(2022) 8 SCC 723

Supreme Court of India & Dinesh Maheshwari & J.B. Pardiwala, JJ. & 16 December 2022

Also relevant to: A — Statutory Architecture, Vires & Interpretation

A landmark ruling resolving a recurring, high-stakes question under Section 126 of the Electricity Act, 2003 that had generated a flood of litigation in Kerala: whether a consumer's overdrawal of electricity in excess of the sanctioned/connected load — within the same premises, for the same purpose, involving no change of tariff category, already metered and paid for, and involving no artificial means or meter-tampering — nonetheless constitutes 'unauthorised use of electricity' under Explanation (b)(iv) to Section 126, exposing the consumer to assessment at twice the full tariff (both fixed and energy charges), or whether such 'mere overdrawal' cases may be assessed only at twice the fixed charges (as the Kerala High Court had held, carving out an exception not found in the statutory text). The Supreme Court, applying and extending the three-Judge Bench ruling in *Executive Engineer, Southern Electricity Supply Co. of Orissa Ltd. (Southco) v. Seetaram Rice Mill*, held that Section 126 (read with Section 127) constitutes a complete code in itself with the purpose of restricting unauthorised consumption of electricity to protect the integrity of the supply system; the statutory expression 'unauthorised use of electricity' is not exhaustively defined by the five sub-clauses of Explanation (b) but must be purposively construed, and overdrawal in excess of sanctioned/connected load falls squarely within Explanation (b)(iv) regardless of whether it changes the tariff category, causes any actual revenue loss to the licensee, or involves artificial means or tampering — because such overdrawal is inherently 'prejudicial to the public at large,' threatening to 'throw out of gear the entire supply system' and increase voltage fluctuations, independent of any effect on individual billing. Since Section 45(3)(a) makes clear that 'tariff' includes both fixed charges and energy charges, Section 126(6)'s mandate of assessment 'at a rate equal to twice the tariff applicable' necessarily includes both components in every case of unauthorised use — there is no textual or principled basis for a judicially-carved exception limiting liability to twice the fixed charges alone in 'mere overdrawal, same-tariff, already-metered' cases. Most significantly, the Court held that Regulation 153(15) of the Kerala Electricity Supply Code, 2014 — which purported to exempt 'unauthorised additional load in the same premises and under same tariff' from being 'reckoned as unauthorised use of electricity' — is ultra vires Section 126 of the Act and invalid, since delegated/subordinate legislation made under Section 50 (read with Section 181(2)(x)) can only supplement, not supplant, the parent Act, and cannot create a substantive exemption from Section 126 liability that the Parliament itself did not provide; a State Commission's Supply Code, per the Court's own earlier ruling in *U.P. Power Corporation Ltd. v. Anis Ahmad*, is confined to matters of billing, recovery, disconnection, restoration, and tampering-prevention — it 'need not provide, and does not relate to,' assessment of unauthorised-use charges under Section 126, which lies exclusively within Section 126 and 127's self-contained statutory scheme.

DISPOSITION Civil appeals allowed; Kerala High Court's declaration in para 31(vi) set aside; Regulation 153(15) of the Kerala Electricity Supply Code, 2014 declared invalid as ultra vires Section 126 of the Electricity Act, 2003

SCJ-087 Mrs Rajendra Kumar Sharma v. State of U.P. & 3 Others All HC

2024:AHC:93673-DB

Allahabad High Court & Manoj Kumar Gupta & Kshitij Shailendra, JJ. & 23 May 2024

A final assessment order under Section 126 of the Electricity Act, 2003 that does not deal with the consumer's objections, does not disclose that any hearing date was fixed, and does not record findings supporting a theft conclusion, is passed in breach of Clauses 6.8 and 8.1 of the U.P. Electricity Supply Code, 2005; the licensee's own two-member inquiry committee's finding of such procedural breach warrants quashing the coercive recovery, initiation of disciplinary action against the erring assessing officer, and a fresh assessment after due notice and hearing — with electricity supply restored in the interim upon the consumer furnishing adequate security.

DISPOSITION Writ petition disposed of; electricity supply to be restored on deposit of Rs. 25,00,000/- pending fresh final assessment

SCJ-084 Mohd Usman Ansari v. Chairman, Uttar Pradesh Power Corporation Ltd. & 4 Others All HC

2025:AHC:131084-DB

Allahabad High Court & Shekhar B. Saraf & Praveen Kumar Giri, JJ. & 5 August 2025

Where a recovery certificate under s.9 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958 is issued in pursuance of an ex-parte provisional assessment under s.126(1)/(2) of the Electricity Act, 2003 read with Clauses 3.1, 3.7, 6.1, 6.8 and 6.9 of the U.P. Electricity Supply Code, 2005, without a formal adjudication/hearing, the consumer is entitled to an opportunity of hearing before a final assessment is made; pending such final assessment (to be completed within 12 weeks), no coercive recovery measures may be taken.

DISPOSITION Writ petition disposed of; opportunity of hearing directed, final assessment within 12 weeks, no coercive recovery meanwhile

J. Theft (s.135) & Chapter VIII of the Code

30 JUDGMENTS

SCJ-095 Om Prakash s/o Gauri Shankar v. Dakshinanchal Vidyut Vitran Nigam Ltd. & Ors. All HC

2006 (4) AWC 3445

Allahabad High Court & B.S. Chauhan & Dilip Gupta, JJ. & 10 May 2006

Also relevant to: L — Writ & Public-Law Doctrines

Compounding of a theft offence under Section 152(3) of the Electricity Act, 2003 (by payment of a compounding fee) is a penalty for the criminal offence and does not exonerate the consumer from separate civil liability to pay outstanding dues for electricity actually consumed; a recovery notice for such civil dues survives the compounding. A consumer disputing only the quantum of such a recovery notice must approach the authority under the U.P. Electricity Supply Code, 2005, not the writ court. Further, a writ court that declines to decide a matter on merits and relegates the petitioner to another forum (or before whom the petitioner withdraws the petition to approach another forum) has no jurisdiction to grant interim protection for the interregnum period, since Article 226 interim relief is only ancillary to a final relief obtainable on merits in a pending proceeding before that same court (following the Constitution Bench in *State of Orissa v. Madan Gopal Rungta*).

DISPOSITION Writ petition dismissed as withdrawn; prayer for interim protection during the interregnum rejected

SCJ-208 Om Prakash v. Dakshinanchal Vidyut Vitran Nigam Ltd. & Others All HC

2006 SCC OnLine All 2304

Allahabad High Court & A.K. Yog, J. & V.C. Misra, J. & 10 July 2006

The Electricity Act, 2003 read with Chapter 8 of the U.P. Electricity Supply Code, 2005 contains an exhaustive scheme for theft-of-electricity cases. Special Courts constituted under Section 153 are empowered under Section 154 to deal with both the criminal and the civil liability. Depositing the compounding fee results in the consumer being deemed acquitted of the offence of theft under Section 154, but it does not allow him to escape the civil liability, which has to be determined and adjudicated by the Special Court if the consumer is aggrieved. Having an adequate alternative remedy, the writ against a theft/compounding matter was dismissed in limine.

DISPOSITION Writ petition dismissed in limine on the ground of alternative remedy

SCJ-239 Tehsildar v. State of U.P. and others All HC

2009 SCC OnLine All 1931 : (2009) 83 AIC 493 : (2010) 1 All LJ (NOC 84) 22

Allahabad High Court & Sunil Ambwani, J. & Ran Vijai Singh, J. & 16 July 2009

In a theft-of-electricity case, Clause 8.1(b) of the U.P. Electricity Supply Code, 2005 requires a final assessment to be made before recovery can be initiated, even where the consumer has filed no objection to the provisional assessment; recovering on the provisional assessment alone, without a final assessment, is violative of the procedure prescribed by the Code. An FIR under Section 135 of the Electricity Act, 2003 was lodged on a checking report, and a provisional assessment was served, but the department admittedly made no final assessment before issuing a recovery notice. The Court held that Clause 8.1(b) obliges the authorised officer, after hearing (or even absent objections), to make a final assessment at 1.5 times the applicable normal tariff and record findings that the provisional assessment was served; insistence on recovery without a final assessment was impermissible. The recovery was directed to remain in abeyance until a final assessment is made.

DISPOSITION Writ petition allowed; theft recovery held in abeyance until a final assessment is made

SCJ-247 M/s. Citi Hotel v. Commissioner, Lucknow Division, Lucknow & Ors. All HC

2009 SCC OnLine All 346 : AIR 2009 All 137 : (2009) 4 All LJ 741

Allahabad High Court (Lucknow Bench) & Rajiv Sharma, J. & 6 April 2009

Where a consumer charged with theft of electricity is acquitted after a full criminal trial, Clause 8.2 (sub-clauses (x) (g) and (h)) of the U.P. Electricity Supply Code, 2005 obliges the licensee to withdraw the theft-based assessment in writing and restore the connection through the original meter; an appellate authority that dismisses the consumer's appeal without considering the acquittal and Clause 8.2 acts perversely. The petitioner-hotel was booked for theft (alleged 88.75 KW against a sanctioned 40 KW) and assessed; the criminal court, after trial, acquitted the accused, finding the prosecution had failed to prove theft and that the load used was within the permissible +/-10% limit. The Court held the appellate authority erred in ignoring the acquittal and Clause 8.2; distinguished J.M.D. Alloys (where a police final report, not a trial, ended the criminal matter); and held that the acquittal, coupled with the SDO's load report and absence of any pre-raid dues, meant no civil liability for excess-load use could be sustained either. The impugned orders were quashed and the deposits ordered refunded.

DISPOSITION Writ petition allowed; the appellate order (18.3.2008) and the theft-assessment order (17.9.2002) quashed; the amounts deposited (Rs. 11,58,109) to be refunded (subject to adjustment of any legal dues), with interest on default

SCJ-227 Vijay Pal Singh & Another v. Dakshinanchal Vidyut Vitran Nigam Ltd. and Others All HC

2010 SCC OnLine All 4452

Allahabad High Court & Vijay Manohar Sahai, J. & Raj Mani Chauhan, J. & 29 March 2010

The three-times-tariff theft assessment prescribed by the (unamended) U.P. Electricity Supply Code, 2005 was ultra vires Section 126(6) of the Electricity Act, 2003, which caps assessment at 1.5 times the applicable tariff. Section 174 of the Act gives it overriding effect, and the Code, being subordinate legislation framed under the Act, cannot travel beyond it. On a theft detected on checking (4.5.2005), the licensee assessed Rs. 6,94,203 at three times the tariff under Clause 8.2(iv) r/w Annexure 6.3(c) of the Code, whereas Clause 6.8(c)(iv)(a) itself echoed the Act's 1.5 times rate. The Court held the three-times rate contrary to Section 126(6), quashed the assessment (5.7.2005), and directed the petitioner to pay 1.5 times the tariff instead. (The Commission's 3rd amendment dated 14.9.2006 later brought the Code into line at 1.5 times; the point was decided on the pre-amendment position governing the petitioner.)

DISPOSITION Writ petition allowed; theft assessment order dated 5.7.2005 quashed on condition that the petitioner pays 1.5 times (not three times) the applicable tariff

SCJ-228 Vijay Pal Singh v. Dakshinanchal Vidyut Vitran Nigam Ltd. and Others All HC

2010 SCC OnLine All 3985

Allahabad High Court &mdot; Vijay Manohar Sahai, J. & Raj Mani Chauhan, J. &mdot; 29 March 2010

Twin of SCJ-227 (Writ-C 60987 of 2005), decided the same day by the same Bench with identical reasoning, differing only in the impugned assessment date (here 4.7.2005). The three-times-tariff theft assessment under the (unamended) U.P. Electricity Supply Code, 2005 was held ultra vires Section 126(6) of the Electricity Act, 2003, which caps assessment at 1.5 times, the Act having overriding effect under Section 174 and the Code being subordinate legislation that cannot travel beyond it. On a theft detected on checking (4.5.2005), the assessment at three times under Clause 8.2(iv) r/w Annexure 6.3(c) was quashed and the petitioner directed to pay 1.5 times the applicable tariff instead.

DISPOSITION Writ petition allowed; theft assessment order dated 4.7.2005 quashed on condition that the petitioner pays 1.5 times (not three times) the applicable tariff

SCJ-022 Dr. Munni Lal v. State of U.P. & Others All HC

Allahabad High Court &mdot; Satya Poot Mehrotra & Jayashree Tiwari, JJ. (delivered by Jayashree Tiwari, J.) &mdot; 19 May 2011

Also relevant to: H — Billing, Recovery, Limitation & Disconnection

Clause 8.1(b)(iii) of the U.P. Electricity Supply Code, 2005 requires that, on suspicion of theft, the assessing officer serve the provisional assessment bill with a show-cause notice giving 15 working days to file objections and fixing a date for hearing, before making a final assessment under Section 126. A notice giving only seven days, and without fixing a hearing, does not comply. Further, a recovery demand under Section 3 of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958 can arise only after a final order of assessment; a demand issued before final assessment is quashed.

DISPOSITION Writ petition allowed (demand notice quashed; objections to be filed and decided)

SCJ-060 M/S Mohit Paper Mills Ltd. & Anr. v. PVVNL & Ors. All HC

Allahabad High Court &mdot; Sudhir Agarwal, J. &mdot; 14 October 2011

Also relevant to: H — Billing, Recovery, Limitation & Disconnection

A theft-of-electricity assessment cannot be founded on mere presumption drawn from a difference between the consumer's billing meter and independent check-meters installed outside the premises, where the check-meters themselves (maintained under the licensee's own seal/custody) were never tested, showed no explained defect, and in fact recorded consumption comparable to the billing meter for almost the entire assessment period until the billing meter was destroyed by fire; theft must be established under para 8.1(b)(iv) of the Electricity Supply Code with cogent, disclosed evidence, not inferred from an unexplained late-period spike. As an exceptional principle (applying the maxims *lex non cogit ad impossibilia* / *impotentia excusat legem*), where the consumer's own meter is physically incapable of yielding a reading (e.g. destroyed by fire or theft), a licensee-installed independent/check meter outside the premises may exceptionally be relied upon for billing, provided it is shown to have been reliably and authentically maintained with the consumer's knowledge — following *Inter College Kusmaul, Gorakhpur v. State of U.P.* Where an assessment is quashed and the deposited amount is to be refunded, the Court may award interest (here 8% p.a.) and costs against the licensee.

DISPOSITION Writ petition allowed; assessment and appellate orders quashed; refund with 8% interest and Rs. 25,000 costs

SCJ-102 Pawan Kumar Laur v. State of U.P. & Others All HC

Allahabad High Court & Amar Saran & Ramesh Sinha, JJ. & 30 November 2011

An officer of a distribution licensee, authorised by the State Government under Section 135(2) of the Electricity Act, 2003, is competent to lodge an FIR for theft of electricity under Section 135(1); such an officer's power to enter, inspect, search and seize under s.135(2) independently supports the FIR's validity, and an FIR is not liable to be quashed merely because it followed shortly after the petitioner's spouse (co-owner) obtained a notice-stage order in a separate writ petition, absent clear evidence of malafide. Following the well-settled principle (State of Haryana v. Bhajan Lal; Satya Pal; Ajit Singh @ Muraha), courts will not interfere with investigation or FIR unless no cognizable offence is ex-facie discernible from the FIR or a statutory restriction bars investigation.

DISPOSITION Writ petition dismissed; FIR not quashed

SCJ-121 Shri Kunwar Sarvesh Kumar Singh v. Paschimanchal Vidyut Vitran Nigam Ltd. &

Ors. All HC

Allahabad High Court & Sudhir Agarwal, J. & 18 November 2011

The definition of 'consumer' under Section 2(15) of the Electricity Act, 2003 is broad enough to cover an owner of premises where theft of electricity is detected, even if the premises was purportedly let out to a tenant, since the second limb of the definition ('any person whose premises are ... connected ... with the works of a licensee') does not require a contractual/supply relationship — mere connection of the premises' works (transformer, line, apparatus) for receiving electricity suffices; an owner's lack of mens rea may be a defence to a criminal charge under s.135 but does not exempt him from civil assessment liability where his act of leasing to an unscrupulous occupant caused revenue loss. For assessment of theft of electricity under Section 135, Clauses 8.1 and 8.2 of the U.P. Electricity Supply Code, 2005 apply (not Clause 6.8, which governs 'unauthorised use' assessment generally) — the specific provision prevails over the general (following Mohit Paper Mills). Clause 8.1(b)(iii)-(iv) requires 15 working days' show-cause notice (not less) and, if theft is established after hearing, assessment at 1.5 times (not thrice) the applicable tariff. Where an assessing officer's procedural failings (undated/backdated orders, wrong multiplication factor, casual/negligent conduct) are demonstrated but the consumer's only defence was a bare denial of occupancy (never substantiated) with no challenge to the theft allegation or quantum, a writ court exercising equitable jurisdiction under Article 226 will decline to interfere with the ultimate (corrected) assessment, notwithstanding serious departmental irregularities, where the underlying conduct (theft) is clearly established on the record. Clause 8.2(X)(g)/(h) makes a licensee's theft-based assessment subject to adjudication by the criminal court, with a mandatory withdrawal of charges/assessment and restoration of the original meter if the court finds theft not established; where a subsequent criminal acquittal (post-dating the appellate order) was not considered by the appellate authority, the matter is remanded for that authority to independently examine Clause 8.2(X)(g)/(h) in light of the acquittal.

DISPOSITION Writ petition partly allowed; assessment upheld, appeal remanded to Commissioner solely to consider effect of subsequent criminal acquittal under Clause 8.2(X)(g)/(h)

SCJ-177 Mohammad Idrish v. State of U.P. & Others All HC

2011 SCC OnLine All 722

Allahabad High Court &mdot; Satya Poot Mehrotra, J. & Rajesh Chandra, J. &mdot; 27 April 2011

Where the licensee cannot show the mode by which a provisional assessment (for alleged theft) was sent to the consumer, the Court will presume that the consumer never received it, so that he was deprived of the opportunity of hearing contemplated by Section 126(3) of the Electricity Act, 2003 read with Clause 8.1(b)(iii) of the U.P. Electricity Supply Code, 2005. The Court disposed of the petition by giving the consumer an opportunity to file objections to the provisional assessment before the Executive Engineer, who must decide them by a speaking order after a reasonable opportunity of hearing, with recovery under the citation staying meanwhile and abiding that decision.

DISPOSITION Writ petition disposed of with directions; recovery stayed pending decision on objections

SCJ-243 Subhashis Chatterjee v. U.P. Power Corporation Limited, Lucknow through Chairman and others All HC

2011 SCC OnLine All 611 : (2011) 89 ALR 888 : (2011) 6 All LJ 527

Allahabad High Court (Lucknow Bench) &mdot; Pradeep Kant, J. & Vedpal, J. &mdot; 6 April 2011

The power to disconnect supply during proceedings under Code Clause 8.1 is confined to cases of theft (Section 135 of the Electricity Act, 2003); it does not extend to a case treated by the licensee itself as 'unauthorised use of electricity' (Section 126). Where the licensee, having issued a provisional assessment under Section 126 (UUE), disconnected a domestic connection to check further misuse, the Court held that Code 8.1(iv),(vii),(viii) permitting disconnection applies only to theft, not UUE, and there is no power under the Act or the Code to disconnect a domestic connection in a UUE case; the proper course for the detected gadget was search and seizure under Code Clauses 4.33-4.34 (in the person's presence, with a signed seizure list), not disconnection. The domestic connection was directed to be restored forthwith (the offending gadget to be seized if necessary), with liberty to the consumer to file objections to the provisional assessment for expeditious decision.

DISPOSITION Writ petition disposed of directing restoration of the domestic connection (with liberty to seize the offending gadget) and permitting the consumer to file objections to the provisional assessment

SCJ-014 Chunni Lal Gupta v. State of U.P. & 2 Others All HC

Allahabad High Court &mdot; Amreshwar Pratap Sahi & Vivek Kumar Birla, JJ. &mdot; 1 April 2014

Under Clause 8.1(b)(iii) of the U.P. Electricity Supply Code, 2005, after a theft raid the consumer must be served a provisional assessment bill and given 15 days to respond, followed by a final order on hearing. A 'revised bill' issued on the very day of the raid, without the 15-day notice, reply and hearing, cannot stand as a final assessment; it can at best be treated as a provisional bill, against which the consumer may object, and thereafter appeal under Section 127 of the Electricity Act, 2003.

DISPOSITION Writ petition disposed of (impugned bill treated as provisional; objection to be decided; s.127 appeal thereafter)

SCJ-154 Arup Kumar Mitra v. State of U.P. & Others All HC

2014 SCC OnLine All 18761

Allahabad High Court & Sudeep Agarwal, J. & Suneet Kumar, J. (delivered by Sudeep Agarwal, J.) & 30 June 2014

A theft assessment made under the U.P. Electricity Supply Code, 2005 that has been set aside by the writ court becomes non est — it ceases to exist in law — and cannot be treated as subsisting: on remand the assessing authority must pass a fresh, reasoned, speaking order after actually considering the consumer's objection, not merely 'reaffirm' the quashed order. An order of 5.5.2014 that reaffirmed the already-quashed final assessment of 18.9.2013, without dealing with the consumer's 19-page objection, is non-speaking, founded on a non est order and illegal. Once the assessment was set aside, the recovery had to be withdrawn, not merely 'kept in abeyance'/deferred. The Court set aside the order, declined contempt only on the officer's unconditional apology and undertaking, and imposed exemplary costs of Rs. 20,000 payable personally by the erring Executive Engineer.

DISPOSITION Writ petition allowed; reaffirming order set aside; exemplary personal cost imposed on the assessing officer

SCJ-180 Jalaluddin v. State of U.P. & 3 Others All HC

2014 SCC OnLine All 11162

Allahabad High Court & V.K. Shukla, J. & Shashi Kant, J. & 16 July 2014

An FIR under Section 135(1)(e) of the Electricity Act, 2003 that discloses a cognizable offence will not be quashed. However, as the s.135 offence does not entail a sentence exceeding seven years, arrest must not be made mechanically: if the accused is to be arrested, the police must comply with Section 41(1)(b) read with Section 41-A Cr.P.C., and any violation may be complained of before the Magistrate. If the offence is compoundable, the accused may seek his remedy under the compounding provisions of the U.P. Electricity Supply Code, 2005.

DISPOSITION Writ petition disposed of; FIR not quashed; arrest to comply with s.41(1)(b)/41-A Cr.P.C.

SCJ-183 Santosh Pathak v. State of U.P. & 3 Others All HC

2014 SCC OnLine All 10951

Allahabad High Court & V.K. Shukla, J. & Shashi Kant, J. & 14 July 2014

An FIR under Section 135 of the Electricity Act, 2003 that discloses a cognizable offence will not be quashed. As the s.135 offence does not entail a sentence exceeding seven years, arrest must not be effected mechanically: if the accused is to be arrested, the police must comply with Section 41(1)(b) read with Section 41-A Cr.P.C., a violation being open to complaint before the Magistrate; and if the offence is compoundable, the accused may seek his remedy under the compounding provisions of the U.P. Electricity Supply Code, 2005.

DISPOSITION Writ petition disposed of; FIR not quashed; arrest to comply with s.41(1)(b)/41-A Cr.P.C.

SCJ-184 A.K. Dixit @ Avdhesh Kumar Dixit v. State of U.P. & 4 Others All HC

2014 SCC OnLine All 10372

Allahabad High Court & V.K. Shukla, J. & Shashi Kant, J. & 7 August 2014

An FIR under Section 135 of the Electricity Act, 2003 that discloses a cognizable offence will not be quashed. As the s.135 offence does not entail a sentence exceeding seven years, arrest must not be effected mechanically: if the accused is to be arrested, the police must comply with Section 41(1)(b) read with Section 41-A Cr.P.C., a violation being open to complaint before the Magistrate; and if the offence is compoundable, the accused may seek his remedy under the compounding provisions of the U.P. Electricity Supply Code, 2005.

DISPOSITION Writ petition disposed of; FIR not quashed; arrest to comply with s.41(1)(b)/41-A Cr.P.C.

SCJ-185 Kanchan Singh v. State of U.P. & 3 Others All HC

2014 SCC OnLine All 11170

Allahabad High Court & V.K. Shukla, J. & Shashi Kant, J. & 16 July 2014

An FIR under Section 135 of the Electricity Act, 2003 that discloses a cognizable offence will not be quashed. As the s.135 offence does not entail a sentence exceeding seven years, arrest must not be effected mechanically: if the accused is to be arrested, the police must comply with Section 41(1)(b) read with Section 41-A Cr.P.C., a violation being open to complaint before the Magistrate; and if the offence is compoundable, the accused may seek his remedy under the compounding provisions of the U.P. Electricity Supply Code, 2005.

DISPOSITION Writ petition disposed of; FIR not quashed; arrest to comply with s.41(1)(b)/41-A Cr.P.C.

SCJ-186 Santosh Pathak v. State of U.P. & 3 Others All HC

2014 SCC OnLine All 11161

Allahabad High Court & V.K. Shukla, J. & Shashi Kant, J. & 16 July 2014

An FIR under Section 135 of the Electricity Act, 2003 that discloses a cognizable offence will not be quashed. As the s.135 offence does not entail a sentence exceeding seven years, arrest must not be effected mechanically: if the accused is to be arrested, the police must comply with Section 41(1)(b) read with Section 41-A Cr.P.C., a violation being open to complaint before the Magistrate; and if the offence is compoundable, the accused may seek his remedy under the compounding provisions of the U.P. Electricity Supply Code, 2005.

DISPOSITION Writ petition disposed of; FIR not quashed; arrest to comply with s.41(1)(b)/41-A Cr.P.C.

SCJ-206 Smt. Urmila Devi v. Dakshinanchal Vidyut Vitran Nigam Ltd. & 3 Others All HC

2014 SCC OnLine All 4417

Allahabad High Court & Vineet Saran, J. & Attau Rahman Masoodi, J. & 28 March 2014

Interim order. Where a consumer alleged to be involved in theft of electricity is exonerated in the criminal case — the police having filed a final report that she was not involved, which the competent court accepted — she claims the benefit of Clause 8.2(x)(h) of the U.P. Electricity Supply Code, 2005 to have the theft assessment (and consequent recovery based on the inspection report) set aside. Finding that the matter required consideration, the Court, as interim relief, stayed recovery under the impugned citation pending exchange of affidavits. No final view was expressed on the effect of the final report under Clause 8.2(x)(h).

DISPOSITION Interim order — recovery stayed pending consideration of the Clause 8.2(x)(h) claim

SCJ-004 Ajmal v. State of U.P. & 2 Ors. All HC

Allahabad High Court & V.K. Shukla, J. & Mohd. Tahir, J. & 3 February 2015

An FIR under Section 135 of the Electricity Act, 2003 that discloses a cognizable offence will not be quashed; but as the offence does not entail imprisonment beyond seven years, any arrest must comply with the safeguards of Section 41(1)(b) read with Section 41-A of the Cr.P.C. The offence being compoundable, the accused may pursue compounding as provided under the U.P. Electricity Supply Code, 2005. The judgment's substantive holding is procedural/criminal; its contribution to Supply Code jurisprudence is limited to noting the Code as the route for compounding.

DISPOSITION Writ petition disposed of (FIR not quashed; arrest to follow s.41 CrPC safeguards)

SCJ-081 Mobin Ahamad v. State of U.P. & 2 Ors. All HC

Allahabad High Court & V.K. Shukla & Mohd. Tahir, JJ. & 4 February 2015

A petition to quash an FIR registered under Section 135 of the Electricity Act, 2003 (theft of electricity) will not be entertained where the FIR discloses a cognizable offence. However, where the offence would not entail a sentence exceeding seven years, arrest must comply with the safeguards under Section 41(1)(b) read with Section 41-A Cr.P.C.; if the offence is compoundable, the accused's remedy lies under the provisions of the Electricity Supply Code, 2005 and Section 152 of the Electricity Act, 2003, not by way of quashing.

DISPOSITION Writ petition disposed of; prayer to quash FIR refused, but arrest (if any) directed to comply with s.41(1)(b)/41-A Cr.P.C. safeguards, with compounding remedy left open under the Supply Code/s.152

SCJ-082 Mohamad Aslam v. State of U.P. & 2 Ors. All HC

Allahabad High Court & V.K. Shukla & Mohd. Tahir, JJ. & 4 February 2015

Companion order to Mobin Ahamad v. State of U.P. (SCJ-081), decided the same day by the same Bench, on materially identical facts: a petition to quash an FIR under Section 135 of the Electricity Act, 2003 (theft of electricity, Case Crime No. 34 of 2014, same police station) is refused since the FIR discloses a cognizable offence, but arrest (if effectuated, given the offence would not entail more than 7 years' imprisonment) must comply with Cr.P.C. s.41(1)(b)/41-A, and any compounding remedy lies under the Electricity Supply Code, 2005 and Section 152 of the Act.

DISPOSITION Writ petition disposed of; prayer to quash FIR refused, but arrest (if any) directed to comply with s.41(1)(b)/41-A Cr.P.C. safeguards, with compounding remedy left open under the Supply Code/s.152

SCJ-179 Paschimanchal Vidyut Vitaran Nigam Ltd. & Anr. v. Commissioner, Moradabad Region & Anr. All HC

2015 SCC OnLine All 3916

Allahabad High Court & Surya Prakash Kesarwani, J. & 6 February 2015

Interim order. On a limited remand, an appellate authority cannot reopen and reverse the findings of the remanding court that had attained finality. An earlier judgment of the High Court (18.11.2011) had held, on the theft assessment of an ice factory run on the owner's premises, that the owner falls within the definition of 'consumer' and can be proceeded against for theft under Section 135 (mens rea being a matter for the criminal trial), and that the assessment was valid; it remanded the appeal to the Commissioner for the limited purpose of examining the effect of the consumer's criminal acquittal (SST No. 69/2008) in light of Clause 8.2(X)(G) and (H) of the Supply Code, 2005. Prima facie finding that the Commissioner had travelled beyond the remand and recorded findings contrary to those final findings, the Court stayed the operation of the Commissioner's order (11.12.2014) pending the writ petition.

DISPOSITION Interim order — operation of the Commissioner's appellate order stayed

SCJ-117 Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd. & Another All HC

AIR 2017 (NOC) 833 (All.); 2017 (4) ALJ 19; (2017) 6 ADJ 344

Allahabad High Court & Krishna Murari & Ravindra Nath Kakkar, JJ. & 12 April 2017

The condition precedent to a provisional assessment under Section 126(1) of the Electricity Act, 2003 is the assessing officer's recorded conclusion, based on inspection, that the person is indulging in unauthorised use of electricity — such satisfaction cannot rest on mere vagaries without a fair opportunity of hearing. Clause 8.1(b) of the U.P. Electricity Supply Code, 2005 mandates, after a consumer files objections to a provisional assessment/show-cause notice, a personal hearing before any final assessment is made. A licensee cannot, after a consumer has filed timely objections to a provisional assessment (following a prior court order permitting such objections), simply issue a 'final notice' demanding payment of the same provisionally-assessed amount — without any notice of hearing, without considering the objections, and without passing or serving any actual final assessment order — and treat that notice as enforceable; such notices, issued to pressure the consumer into payment while dehors the statutory Section 126/Clause 8.1 procedure, are liable to be quashed, without prejudice to the licensee thereafter conducting a proper final assessment in accordance with law.

DISPOSITION Writ petition allowed; impugned 'final notice' letters quashed, licensee left free to make a proper final assessment

SCJ-128 Sri Chandra Mohan Goyal v. U.P. Power Corporation Ltd. & Others All HC

Allahabad High Court & Sangeeta Chandra, J. & 20 December 2018

A Supreme Court decision interpreting departmental circulars governing peak-hour-restriction-violation penalties applies retrospectively to pending, not-yet-finally-settled matters, since the general rule is that judicial decisions are retrospective unless the deciding court expressly makes them prospective (the doctrine of prospective overruling, traceable to *Golak Nath* and its service-jurisprudence progeny such as *Union of India v. Mohd. Ramzan Khan* and *Managing Director, ECIL v. B. Karunakar*, is an exception invoked only by the Supreme Court and only where expressly stated); absent an express prospective-only direction, a Supreme Court ruling correcting a High Court's erroneous circular-interpretation governs even transactions predating the ruling, so long as those transactions were not finally and conclusively settled. Where the record shows a subordinate officer's purported reduction of penalty liability was never ratified by the competent higher authority (and was in fact challenged internally via a show-cause notice to that officer), no binding 'settlement' arose, and the consumer remains liable for penalty recalculated per the Supreme Court's now-authoritative interpretation of the circulars (each Meter Reading Inspection Report violation attracting separate penalty, not one penalty per report).

DISPOSITION Writ petition dismissed; orders of the Consumer Grievance Redressal Forum and Electricity Ombudsman upheld

SCJ-191 Arvind Kumar v. Paschimanchal Vidyut Vitran Nigam Ltd. & Another All HC

2018 SCC OnLine All 3484

Allahabad High Court & Abhinava Upadhyay, J. & Shashi Kant, J. & 4 July 2018

A final order of assessment under Section 126(5) of the Electricity Act, 2003 read with Clause 8.1(b) of the U.P. Electricity Supply Code, 2005 must be preceded by an opportunity of hearing to the consumer. Where the purported final assessment order merely stated that the consumer's objections had been 'considered' and the order 'communicated', without any hearing, the mandatory provisions were not followed and it could safely be concluded that no valid final assessment order had been passed. The Court directed the Executive Engineer to pass a final assessment order after giving the consumer an opportunity of hearing within 15 days, and kept the recovery notice, demand notice and assessment bill in abeyance until then.

DISPOSITION Writ petition disposed of; a fresh final assessment to be passed after hearing; recovery kept in abeyance

SCJ-173 Shailendra Kumar v. State of U.P. & Another All HC

2019 SCC OnLine All 4790

Allahabad High Court & Sanjay Kumar Singh, J. & 11 April 2019

The offence under Section 138 of the Electricity Act, 2003 (unauthorisedly reconnecting a meter/line after disconnection) is entirely distinct from a dispute about arrears/billing, which is governed by Chapter 6 of the U.P. Electricity Supply Code, 2005. Where a consumer's electricity was disconnected for non-payment of a revised bill and he then reconnected the line himself without following the reconnection procedure, an FIR and prosecution under Section 138 are not an abuse of process merely because a Consumer Forum had earlier set aside a different bill — that civil grievance does not touch the s.138 offence, and in any event the revised bill was neither paid nor challenged. On a s.482 application at the pre-trial stage the Court will not appreciate evidence or determine the genuineness of allegations; a prima facie s.138 case being made out, the proceedings and the non-bailable warrant (issued for non-appearance) were not quashed.

DISPOSITION Application under s.482 Cr.P.C. dismissed; non-bailable warrant and proceedings not quashed

SCJ-028 Gauri Shankar Gupta v. State of U.P. & 4 Others All HC

Allahabad High Court & Manoj Misra & Dinesh Pathak, JJ. & 5 July 2021

A recovery under the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958 for electricity theft can be sustained only if a proper assessment under Section 126 of the Electricity Act, 2003 read with Clause 8.1(a) & (b) of the U.P. Electricity Supply Code, 2005 — with notice, service of the provisional assessment, and opportunity of hearing — has first been made. Where the department fails to show that the demand notice was served or that any final assessment order was passed, the demand and consequential recovery cannot stand; an appeal under Section 127 lies only against a proper assessment order.

DISPOSITION Writ petition allowed (recovery order and citation quashed; liberty to reassess)

SCJ-035 Jharkhand State Electricity Board & Others v. M/s Ramkrishna Forging Limited SC

AIR 2021 SC 2184

Supreme Court of India & L. Nageswara Rao & Vineet Saran, JJ. (delivered by Vineet Saran, J.) & 30 April 2021

Where a consumer's sanctioned load for a single electricity connection is enhanced from time to time and a fresh agreement is executed for each enhancement, those 'fresh agreements' are, for the purpose of the Supply Code (Jharkhand Electricity Supply Code Regulations, 2005), merely supplementary agreements amending the initial agreement by which the connection was granted; the Code allows contract demand to be varied even by written communication and does not require a fresh agreement. Accordingly, the proviso to Regulation 9.2.1 (no reduction of load before expiry of the initial period of agreement) runs from the initial agreement, not the last enhancement agreement; and the Regulations are to be liberally interpreted in favour of the consumer against a monopoly supplier.

DISPOSITION Appeal dismissed (reduction-of-load application deemed allowed under the Regulations)

K. Fora, Jurisdiction & Appeals

29 JUDGMENTS

SCJ-076 Maharashtra Electricity Regulatory Commission v. Reliance Energy Ltd. & Ors. SC

(2007) 8 SCC 381; AIR 2008 SC 976

Supreme Court of India & A.K. Mathur & Markandey Katju, JJ. & 14 August 2007

Energy consumption charges for metered consumers must be billed on the basis of actual meter readings; the licensee, not the consumer, is responsible for maintaining, rectifying or replacing meters. 'Amendment'/'supplementary' bills raised — often years later, without reasons, on a basis other than actual recorded consumption (e.g. presumed/average consumption because of a suspected faulty meter) — are not mandated by law, and any additional billing must follow due process and statutory provision. While a State Electricity Regulatory Commission has power under Section 128(6) of the Electricity Act, 2003 to issue general directions to its licensees to ensure conditions of licence and statutory billing practices are observed, that power must be exercised on the basis of a proper investigation and report under Section 128(1)/(5); a blanket direction compelling refund of all amounts collected under such bills, issued without such investigation, exceeds the Commission's jurisdiction. The Commission's own adjudicatory function under Section 86(1)(f) is confined to disputes between licensees and generating companies; it cannot adjudicate individual consumers' billing grievances, which must instead be routed through the Section 42(5) Consumer Grievance Redressal Forum and, if unsatisfied, the Section 42(6) Ombudsman.

DISPOSITION Appeal disposed of; blanket refund direction set aside, replaced with a public-notice/individual-hearing mechanism, with grievances thereafter routed via ss.42(5)/(6)

SCJ-260 Purvanchal Vidyut Vitran Nigam Ltd., Bhikaripur & Anr. v. Vidyut Lokpal (Electricity Ombudsman) & Anr. All HC

2008 SCC OnLine All 376 : AIR 2008 All 127 : (2008) 5 All LJ 683

Allahabad High Court & Sunil Ambwani, J. & 2 April 2008

Also relevant to: E — Premises, Site, Estimates & Feeders

The foundational decision on the scope of interference with an Electricity Ombudsman's award and on the independent-feeder tapping exception. (i) An Electricity Ombudsman (appointed under Section 42(6)-(7) of the Electricity Act, 2003) resolves grievances by conciliation/mediation or, failing that, by a reasoned award; where he settles by conciliation, the proceedings are challengeable only for want of jurisdiction or fraud, and in the case of an award the scope of interference is limited to grounds akin to Section 34 of the Arbitration and Conciliation Act, 1996. (ii) On the merits, Clause 3.4(d) of the U.P. Electricity Supply Code, 2005 is an exception to Clause 3.4(a): where an independent feeder cannot be constructed (here a railway track and several km of agricultural land intervened), tapping of an existing feeder may be permitted for a similar-process consumer. The Ombudsman rightly directed temporary release of the 3000 KVA connection by tapping the 33 KV Fatehpur feeder (with an independent meter for energy audit) for a model consumer suffering Rs. 50 lakh/month loss, pending the railway/farmer no-objection for an independent feeder. The licensee's objection, confined to Clause 3.4(a) without regard to the 3.4(d) exception, was rejected and the writ dismissed. (Reiterated in SCJ-258.)

DISPOSITION Writ petition dismissed; the Electricity Ombudsman's award directing temporary connection by tapping upheld

SCJ-138 U.P. Power Corporation Limited Thru' Executive Engineer v. Electricity Ombudsman & Ors. (M/S Suresh Automobiles) All HC

Allahabad High Court (Lucknow Bench) & Ferdino I. Rebello, C.J. & Narayan Shukla, J. & 23 September 2010

The Electricity Ombudsman, constituted under Section 42(6) of the Electricity Act, 2003 and the U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulations, 2007, is neither an 'Appellate Authority' exercising appellate/revisional jurisdiction nor a 'Tribunal,' and consequently an order of a Single Judge disposing of a writ petition against the Ombudsman's award is not barred from Special Appeal under Rule 5, Chapter VIII of the Allahabad High Court Rules, 1952 (which excludes appeals from orders passed in the exercise of appellate/revisional jurisdiction over a tribunal, or in the exercise of Article 226/227 superintendence over a tribunal). Although Regulation 8.1 of the 2007 Regulations styles a consumer's or licensee's approach to the Ombudsman as a 'representation' against a Forum decision, and although the Ombudsman must pass a reasoned order/award after hearing the parties, the Ombudsman's function is that of an alternative dispute-resolution mechanism (facilitating settlement through conciliation/mediation, or passing an award) rather than a hierarchical appellate review, since (a) the Regulations expressly permit either party, aggrieved by the Ombudsman's award, to approach 'any Court or Tribunal having jurisdiction' (Regulation 12.8) — meaning there is no finality or defined superior-inferior court relationship of the kind that defines an 'appeal' (Shiv Shakti Cooperative Housing Society v. Swaraj Developers; Tirupati Balaji Developers v. State of Bihar) — and (b) the Ombudsman lacks the coercive/judicial 'trappings of a Court' (power to compel witness attendance and examine on oath, public sittings, binding finality, power to impose fines/damages) that would qualify it as a 'Tribunal' invested with the State's inherent judicial power (Union of India v. R. Gandhi, President, Madras Bar Association; Committee of Management v. Regional Deputy Director of Education, Agra).

DISPOSITION Preliminary objection to maintainability of the Special Appeal overruled; appeal held maintainable and to be listed for hearing on merits

SCJ-023 Dr. Santosh Kumar Awasthi v. State of U.P. & Others All HC

Allahabad High Court & Satya Poot Mehrotra & Rajesh Chandra, JJ. & 13 May 2011

Against a final order of theft assessment under Section 126 of the Electricity Act, 2003 (here, the order disposing of the consumer's objections), the remedy is the statutory appeal under Section 127 read with Clause 6.8(d) of the U.P. Electricity Supply Code, 2005, on deposit of half of the assessed amount. The writ court relegated the consumer to that appeal — to be entertained without a limitation objection — and stayed recovery for 30 days, without adjudicating the merits.

DISPOSITION Writ petition disposed of (relegated to the Section 127 appeal; recovery stayed 30 days)

SCJ-055 M/S Hind Industries Limited v. State of U.P. & Ors. All HC

Allahabad High Court & Arun Tandon, J. & 19 October 2011

Also relevant to: J — Theft (s.135) & Chapter VIII of the Code N — Off-topic / Mis-indexed (recorded for completeness)

Under the U.P. Electricity Supply Code, 2002, a representation against an assessment order for a sum above Rs. 10 lakh lies before the Area Level Committee/Chief General Manager, not the Superintending Engineer, whose jurisdiction was confined to representations up to Rs. 2 lakh. A time-bound interim protection order granted by a court lapses automatically on expiry of its term; a consumer cannot excuse nine years of non-payment merely because a modification application (clarifying which authority had jurisdiction) remained undecided, especially where he never approached the authority he claims did have jurisdiction. Payment of interest (here, at the Clause 8.1 rate) is a necessary corollary of retention of money and is neither penal nor confiscatory; where the delay and collusion between the consumer and licensee's officers has enabled evasion of a lawful assessment for years — including release of a fresh connection to the defaulting consumer without full payment — the writ court will order a departmental inquiry into the conduct of the licensee's officers alongside dismissing the petition.

DISPOSITION Writ petition dismissed with directions (interest at not less than bank rate; departmental inquiry directed)

SCJ-096 Om Prakash v. State of U.P. & Others All HC

Allahabad High Court & Ferdino Inacio Rebello, C.J. & Amreshwar Pratap Sahi, J. & 21 February 2011

A consumer's grievance regarding an electricity bill, pending before a District Consumer Forum, is properly routed instead through the Consumer Grievance Redressal Forum and Ombudsman mechanism under Clause 7.10 of the U.P. Electricity Supply Code, 2005 (read with the UPERC (Consumer Grievance Redressal Forum and Ombudsman) Regulations, 2003) — a licensee-specific, two-tier grievance-redressal structure (Forum, then Ombudsman) distinct from the general consumer-protection forum. The petitioner may withdraw a pending District Consumer Forum complaint and instead invoke Clause 7.10, with the licensee/authority directed to decide the grievance expeditiously (within a fixed timeline) once approached.

DISPOSITION Writ petition disposed of; petitioner permitted to withdraw and approach the Consumer Grievance Redressal Forum under Clause 7.10

SCJ-235 Foran Singh v. Executive Engineer, Dakshiranchal Vidyut Vitaran Distribution Division, Firozabad and Another All HC

2011 SCC OnLine All 639 : (2011) 87 ALR 800

Allahabad High Court & S.P. Mehrotra, J. & S.C. Agarwal, J. & 11 April 2011

Where the consumer's representation against a recovery has been decided during the pendency of the writ (here by order dated 4.4.2011), the writ prayers for its decision and for staying recovery become infructuous, and the consumer must pursue the statutory grievance remedy under Clause 7.10 read with Clauses 7.7.1 to 7.7.5 of the U.P. Electricity Supply Code, 2005 (a complaint to the licensee and, failing satisfaction, to the Consumer Grievance Redressal Forum). The petitioner's late father had a tube-well connection which the petitioner believed to have been disconnected; a recovery notice in the father's name and a subsequent demand notice were challenged. As the representation had since been decided, the Court disposed of the writ leaving the petitioner to pursue the Code's grievance mechanism.

DISPOSITION Writ petition disposed of; prayers rendered infructuous by the disposal of the representation, with liberty to pursue the Code's grievance remedy

SCJ-008 Aruna Bhargava v. PuVVNL & Another All HC

Allahabad High Court & Sudhir Agarwal, J. & 14 March 2012

An appeal under Section 127 of the Electricity Act, 2003 — and its pre-deposit condition under Section 127(2) — lies only against a final order of assessment made under Section 126 of the 2003 Act. An assessment made under the pre-2003 regime (the U.P. Electricity Supply (Consumers) Regulations, 1984 or the U.P. Electricity Supply Code, 2002) is not a Section 126 order; Section 127 has no application to it, and no pre-deposit can be demanded. The right of appeal is a substantive vested right, governed by the law in force when the assessment proceedings were initiated, and is not divested by the 2003 Act, whose Section 185(2) & (5) (read with Section 6 of the General Clauses Act) preserve the earlier forum. The Commissioner therefore had no jurisdiction to reject the appeal under Section 127(2); it must be decided by the appellate forum under the earlier provisions.

DISPOSITION Writ petition partly allowed (Commissioner's order set aside; appeal remitted to the pre-2003 forum)

SCJ-069 M/S Trikoot Iron & Steels Castings Ltd. v. State of U.P. & Ors. All HC

Allahabad High Court & middot; Sudhir Agarwal, J. & middot; 28 March 2012

A financial assessment made on an allegation of theft of electrical energy is always referable to Section 126 of the Electricity Act, 2003 — never to Section 135, which is a purely penal/criminal provision creating no separate assessment mechanism of its own (its third proviso to sub-section (1A), requiring restoration of supply on deposit of the 'assessed amount', itself presupposes an assessment made under Section 126). The Supply Code, 2005 merely prescribes different PROCEDURES for the Section 126 assessment depending on the nature of unauthorised use — para 8.1 to 8.3 for theft-based assessments, para 6.8 for other unauthorised use — but both remain Section 126 assessments, appealable under Section 127. An Appellate Authority commits a jurisdictional error in rejecting an appeal on the ground that the assessment (being theft-based) was made under Section 135 and is therefore not appealable under Section 127; since Section 127 provides no separate parameters, the Appellate Authority's power is co-extensive with the Assessing Officer's and it may examine whether the assessment (theft or other unauthorised use) was correctly made.

DISPOSITION Writ petition partly allowed; appellate order set aside and remanded for decision on merits

SCJ-242 Gopali v. State of U.P. through Secretary and others All HC

2012 SCC OnLine All 3759 : (2013) 99 ALR 291

Allahabad High Court & middot; S.P. Mehrotra, J. & Het Singh Yadav, J. & middot; 7 November 2012

A writ against a final assessment order under Section 126 of the Electricity Act, 2003 will not be entertained where the controversy is basically factual and an appeal under Section 127 read with Clause 6.8 of the U.P. Electricity Supply Code, 2005 is available. On a checking (24.3.2011) a provisional assessment (4.7.2011) and demand notice were issued; after an earlier writ directed disposal of the consumer's objection, the Executive Engineer dismissed it (26.9.2012). The Court accepted the licensee's preliminary objection and, noting that s.126 provides for provisional assessment, objections and a final order after hearing, and s.127 r/w Clause 6.8 provides the appeal, dismissed the writ on the ground of alternative remedy, the factual controversy being fit for the appellate forum. (Closely parallels SCJ-224, Moolchand Saini, another Mehrotra-Bench dismissal on the same footing.)

DISPOSITION Writ petition dismissed on the ground of availability of the alternative remedy of a statutory appeal

SCJ-197 Gaya Prasad v. U.P. Power Corporation Ltd. & 3 Others All HC

2013 SCC OnLine All 12913

Allahabad High Court & middot; V.K. Shukla, J. & Suneet Kumar, J. & middot; 20 December 2013

Whether a consumer, having taken a permanent disconnection on paying the disconnection fee, nevertheless continued to use electricity — where a spot inspection found the meter missing but the consumer residing and using supply — is a disputed question of fact that the writ court will not decide. Clause 7.10 of the U.P. Electricity Supply Code, 2005 provides the Consumer Grievance Redressal Forum and Ombudsman route as the first-instance remedy for such billing grievances. The Court declined to interfere but gave the consumer liberty to approach the Executive Engineer with a representation and a Rs. 25,000 draft, on which the recovery (of about Rs. 1,40,848 raised as arrears of land revenue) would be stayed until a reasoned decision.

DISPOSITION Writ petition disposed of; consumer relegated to the authority; recovery stayed on deposit

SCJ-224 Moolchand Saini v. State of U.P. through Secretary, Power Corporation & Others All HC

2013 SCC OnLine All 13477 : (2013) 99 ALR 754

Allahabad High Court & S.P. Mehrotra, J. & Zakiullah Khan, J. & 21 January 2013

A writ petition under Article 226 against a final assessment order made under Section 126 of the Electricity Act, 2003 will ordinarily not be entertained where the aggrieved consumer has the alternative remedy of a statutory appeal under Section 127 of the Act read with Clause 6.8 of the U.P. Electricity Supply Code, 2005. A theft was allegedly detected on checking (25.3.2011), a provisional assessment (3.5.2011) followed, the consumer's objections were rejected, and after a remand the Executive Engineer decided the representation against the consumer (26.9.2012). On the licensee's preliminary objection, the Court accepted that the statutory appeal under Section 127 r/w Clause 6.8 was the appropriate remedy and dismissed the writ petition on that ground, without entering into the merits.

DISPOSITION Writ petition dismissed on the ground of availability of the alternative remedy of a statutory appeal

SCJ-026 Executive Engineer, Electricity Urban Distribution Division v. The Electricity Ombudsman & 2 Others All HC

Allahabad High Court & Sudhir Agarwal, J. & 11 September 2014

Also relevant to: [E — Premises, Site, Estimates & Feeders](#)

A statutory Consumer Grievance Redressal Forum (ECGRF) and the Electricity Ombudsman, constituted under Section 42(5)-(8) of the Electricity Act, 2003 and the UPERC (CGRF and Electricity Ombudsman) Regulations, 2007, are under a statutory duty to decide a consumer's grievance on merits and cannot decline jurisdiction by relegating the parties to an arbitration clause in the supply agreement; the agreement provides at most an additional forum (right of election, Section 42(8)), and the special statute overrides the general Arbitration Act (Gujarat Urja Vikas Nigam v. Essar Power). Separately, a 'Protective Load' charge under the Tariff Orders (and Clause 2.2(tt) of the Supply Code) can be levied only where the consumer has opted for, and been sanctioned, that facility; a suo motu demand raised years later on an audit objection, without any such option, is illegal.

DISPOSITION Writ petition dismissed with Rs. 25,000 costs (Ombudsman's order upheld)

SCJ-040 Kapil Gupta v. U.P. Power Corpn. Ltd. & Anr. All HC

Allahabad High Court & Krishna Murari & Vijay Lakshmi, JJ. & 29 May 2014

Also relevant to: [I — Unauthorised Use of Electricity \(s.126\)](#)

A writ petition against a provisional/final assessment under Section 126 of the Electricity Act, 2003 will not ordinarily be entertained where the statutory appeal under Section 127 is available and the challenge raises only disputed questions of fact; the exceptions to the alternative-remedy rule (want of jurisdiction, breach of natural justice, or violation of fundamental rights) do not apply to a pure factual challenge, and complex factual disputes are better left to the appeal. A provisional assessment under Section 126 (Chapter XII — investigation and enforcement) can be made even in a theft case; Section 135 (Chapter XIV — offences) makes unauthorised use a criminal offence, but a person committing theft still bears the civil liability to pay for the electricity consumed.

DISPOSITION Writ petition dismissed (relegated to the Section 127 appeal)

SCJ-061 M/S Om Ice Factory Thru' Its Partner Satyapal Singh v. Paschimanchal Vidyut Vitran Nigam Ltd. & Anr. All HC

Allahabad High Court & Krishna Murari & Vijay Lakshmi, JJ. (delivered by Krishna Murari, J.) & 29 August 2014

Where a writ petition challenges only a provisional/final assessment on facts — after the consumer's objections were considered by the assessing authority pursuant to an earlier round of writ litigation — and raises no jurisdictional challenge, no challenge to a notification or provision as ultra vires, and no allegation of a breach of natural justice or fundamental rights, the petitioner must be relegated to the statutory appeal under Section 127 of the Electricity Act, 2003. *Ashok Kumar v. State of U.P.* is distinguishable because it involved a pure jurisdictional/vires challenge (validity of the notification appointing the assessing officer) which neither the assessing officer nor the appellate authority could decide; *Southco v. Sri Seetaram Rice Mill* governs instead — the High Court may entertain a writ raising a jurisdictional challenge to a notice/provisional assessment, but must remand rather than decide the factual assessment itself, and should normally decline to interfere with a final assessment order under Article 226.

DISPOSITION Writ petition dismissed on the ground of alternative remedy under Section 127

SCJ-256 Suresh Chand Bansal v. Electricity Ombudsman & Others All HC

2014 SCC OnLine All 13588

Allahabad High Court & Ram Surat Ram (Maurya), J. & 22 August 2014

The Consumer Grievance Redressal Forum has no jurisdiction to award compensation for loss to property caused by an accident in transmission lines, and a person is not a 'consumer' qua transmission lines. Overhead 11,000-volt transmission lines passing over the petitioner's house fell in the rains, sending current through his connection and destroying appliances/causing a fire. His CGRF compensation award (Rs. 89,572) was set aside by the Electricity Ombudsman. Held: transmission lines are, by definition (Section 2(72) of the Electricity Act, 2003), not an essential part of a licensee's distribution system, so the petitioner is not a 'consumer' (Section 2(15)) in respect of them; the CGRF's jurisdiction under Section 42 r/w Section 181 and the UPERC (CGRF & Electricity Ombudsman) Regulation 2007 (cl. 2.1(e) / cl. 5) covers defects/deficiency in supply, billing and tariff, not loss to public property from a transmission-line accident (which engages the Section 161 accident-inquiry mechanism, itself confined to human/animal life). The Ombudsman committed no illegality; the writ was dismissed.

DISPOSITION Writ petition dismissed; the Ombudsman's order holding the CGRF without jurisdiction over accident-related property loss upheld

SCJ-240 Ishwar Chandra v. U.P. Power Corporation Limited Thru' its M.D. & Another All HC

2016 SCC OnLine All 1513

Allahabad High Court & V.K. Shukla, J. & Mahesh Chandra Tripathi, J. & 1 August 2016

Where the very fact in dispute is whether the consumer filed and the licensee considered an objection to the provisional assessment before making the final assessment, that factual controversy cannot be resolved under Article 226, and the consumer must pursue the statutory appeal under Section 127 of the Electricity Act, 2003 read with the U.P. Electricity Supply Code, 2005. On a vigilance raid the load was found enhanced from 2 KW to 8 KW and a provisional assessment (1.1.2015) issued; the consumer said he objected on 27.1.2015 but a final assessment (23.5.2015) and demand (11.6.2015) followed without deciding it, while the licensee asserted no objection was filed. Treating the Act and the Code as a self-contained scheme, the Court declined to adjudicate the factual dispute and disposed of the writ on the ground of the available s.127 appeal.

DISPOSITION Writ petition disposed of on the ground of alternative remedy (s.127 appeal), leaving the consumer free to pursue it

SCJ-205 Mahboob Ahmad v. Commissioner, Moradabad & Another All HC

2017 SCC OnLine All 2112

Allahabad High Court & Mahesh Chandra Tripathi, J. & 14 September 2017

Where the appellate authority under Section 127 of the Electricity Act, 2003 has examined a theft (s.126) assessment on appeal and substantially reduced it — here from Rs. 73,920 to Rs. 17,520 — the writ court will not re-examine the quantum of the assessment. Having declined to interfere, the Court disposed of the petition by allowing the consumer three months to deposit the reduced amount and directing regular payment of bills.

DISPOSITION Writ petition disposed of; interference declined; time granted to deposit the reduced amount

SCJ-207 Executive Engineer, Distribution Division & Anr. v. Pacific Promoter All HC

2017 SCC OnLine All 3167

Allahabad High Court & Sunita Agarwal, J. & 20 July 2017

Also relevant to: [A — Statutory Architecture, Vires & Interpretation](#)

The jurisdiction of the civil court is expressly barred by Section 145 of the Electricity Act, 2003 in respect of matters that are, or could be, the subject of an assessment under Section 126 (unauthorised use, including excess load) with an appeal under Section 127. The Electricity Act is a special, complete Code: civil liability for unauthorised use is imposed only through a s.126 assessment (appealable under s.127), while theft under Section 135 is triable by Special Courts constituted under Section 153; the Supply Code, 2005 (Chapters 6 and 8) supplies the full procedure. A civil suit seeking a declaration that a checking report and the consequent assessment (of an excess-load demand from 24.5 KW to 51.9 KW) are illegal and void is therefore barred, and Section 9 CPC excludes the civil court's jurisdiction. The plea of lack of jurisdiction can be raised at any stage; the suit (pending about ten years) was dismissed as barred by s.145 and the plaint rejected. The contrary view of the Punjab and Haryana High Court in Punjab State Electricity Board v. Guru Nanak Agriculture Engineering Works was respectfully disagreed with.

DISPOSITION Petition allowed; civil suit dismissed as barred by s.145; plaint rejected

SCJ-019 Divisional Engineer, Electricity Distribution Division-I v. Raman Singh & Another All HC

Allahabad High Court & Sunita Agarwal, J. & 29 August 2018

For a consumer's electricity dispute, the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005 are a comprehensive code, and the jurisdiction of the civil court is expressly barred by Section 145 of the Act. But a claim by a member of the public for damages caused by the licensee's fault — here, livestock electrocuted by a snapped 11 KV line — is not a consumer/Code matter: 'supply of power' is a 'public utility service' under Section 22-A of the Legal Services Authorities Act, 1987, so such a claim falls within the jurisdiction of the Permanent Lok Adalat, and the CGRF/Ombudsman Regulations, 2007 (which cover only consumer grievances) do not apply. Electricity distribution being a hazardous activity, the licensee is under a duty to maintain its lines.

DISPOSITION Writ petition dismissed (Permanent Lok Adalat compensation upheld)

SCJ-025 Executive Engineer, Electricity Distribution Division-II v. State of U.P. & 2 Others All HC

Allahabad High Court & Sunita Agarwal, J. & 27 August 2018

Also relevant to: L — Writ & Public-Law Doctrines

'Public utility service' under Section 22-A of the Legal Services Authorities Act, 1987 means the supply of power to the public by any establishment, and does not require a consumer/service-provider relationship; so a non-consumer electrocuted by an unattended live high-tension line may bring his damages claim before the Permanent Lok Adalat, which has adjudicatory (not merely conciliatory) power under Section 22-C(8). For a consumer's dispute, by contrast, the Electricity Act, 2003 read with the Supply Code, 2005 is comprehensive and the civil court's jurisdiction is barred by Section 145. Damages for such an accident may be assessed on tort principles (*restitutio in integrum*), taking guidance from the multiplier method of the Motor Vehicles Act, 1988; the compensation of ~Rs. 21 lakh for 100% disability was upheld, and the departmental circular capping compensation at Rs. 2 lakh does not bind the court.

DISPOSITION Writ petition dismissed (Permanent Lok Adalat award of ~Rs. 21 lakh upheld)

SCJ-050 M.K. Pathak, Executive Engineer v. The Electricity Ombudsman & Ors. All HC

Allahabad High Court & Pankaj Mithal & Rajiv Joshi, JJ. & 10 October 2018

Clause 7.10 of the U.P. Electricity Supply Code, 2005 (read with Section 42(5)-(7) of the Electricity Act, 2003) entitles only the consumer — not the Electricity Distribution Licensee — to file a complaint before the Consumer Grievance Redressal Forum and, if unsatisfied, a representation before the Ombudsman. A licensee (or its officers) has no authority in law to approach the Ombudsman against an order of the Forum; the Ombudsman commits no error in dismissing such a representation/appeal by the licensee, even on merits.

DISPOSITION Writ petition dismissed

SCJ-068 M/S Three Star Paper Mills Pvt. Ltd. v. State of U.P. & 5 Ors. All HC

Allahabad High Court & Sudhir Agarwal & Ajit Kumar, JJ. (delivered by Sudhir Agarwal, J.) & 11 January 2018

Also relevant to: L — Writ & Public-Law Doctrines

A consumer who accepts a licensee's 'One Time Settlement' scheme — expressly to settle 'all pending matters' across multiple long-running billing disputes, in exchange for a substantial waiver of accrued late-payment surcharge — is estopped from thereafter reviving one of the settled disputes (here, a claim to a 10% development rebate under *M/s Pawan Alloys and Casting Pvt. Ltd. v. UPSEB*) via the Consumer Redressal Forum/Ombudsman route under Clause 7.10 of the Electricity Supply Code. Independently, a consumer who did not challenge the withdrawal of a subsidy/rebate at the time (unlike other consumers who litigated promptly and obtained the benefit of the Supreme Court's 1997 ruling in *Pawan Alloys*) cannot invoke that later judgment more than 20 years afterward to claim the same benefit; extraordinary delay and laches bar equitable relief under Article 226, irrespective of other similarly-situated consumers having succeeded through their own timely litigation.

DISPOSITION Writ petition dismissed with Rs. 10,000 costs

SCJ-159 Pashchimanchal Vidyut Vitran Nigam Ltd. v. Permanent Lok Adalat, Moradabad &**Anr.** All HC

2018 SCC OnLine All 6208

Allahabad High Court & Saumitra Dayal Singh, J. & 20 December 2018

Also relevant to: J — Theft (s.135) & Chapter VIII of the Code

A Permanent Lok Adalat has conciliatory jurisdiction under the first proviso to Section 22-C(1) of the Legal Services Authorities Act, 1987 over a dispute involving theft of electricity (theft being a compoundable offence, its conciliatory jurisdiction is not ousted). But once conciliation fails, its adjudicatory jurisdiction under Section 22-C(8) does not arise where the dispute 'relates to an offence' — and unlike the first proviso, s.22-C(8) makes compoundability irrelevant. Theft under Section 135 of the Electricity Act, 2003 is an offence, and the jurisdictional fact ousting adjudicatory power is the mere existence of an offence, regardless of whether an FIR has been lodged or a criminal prosecution launched; the civil consequence (provisional assessment) does not change that. Section 175 of the Electricity Act (Act in addition to other laws) does not save the PLA's adjudicatory jurisdiction, which is ousted by the Legal Services Act itself. The PLA's award setting aside the provisional assessment was therefore without jurisdiction and a nullity; it is quashed, and the licensee is to decide the consumer's objections to the provisional assessment on merits.

DISPOSITION Writ petition allowed; the Permanent Lok Adalat's award quashed as without jurisdiction**SCJ-181 Amrita Arya v. Uttar Pradesh Power Corporation Ltd. & 2 Ors.** All HC

2018 SCC OnLine All 302

Allahabad High Court & Amreshwar Pratap Sahi, J. & Shashi Kant, J. & 10 April 2018

A consumer cannot at once contest her liability for electricity dues before the Consumer Grievance Redressal Forum and seek a mandamus from the writ court to accept the recovery amount and restore the connection — the two courses are inconsistent, and a litigant cannot pursue two remedies simultaneously for the same cause. Where the consumer's complaint (about an inflated bill) was already pending before the Forum, which the Court had earlier directed to decide within three months, and there was nothing to show she had waived her right to contest before the Forum, the Court declined to entertain a fresh writ seeking to pay and restore. It clarified that if the consumer tenders the amount sought to be recovered, the Executive Engineer may accept it and pass an appropriate order under the U.P. Electricity Supply Code, 2005.

DISPOSITION Writ petition not entertained; consigned to record**SCJ-215 Vikas Gupta & Another v. State of U.P. & 2 Others** All HC

2018 SCC OnLine All 3174

Allahabad High Court & Pankaj Mithal, J. & Pankaj Bhatia, J. & 20 December 2018

Where a theft assessment has become final (the provisional assessments having been treated as final for want of objection) and the consumer's only grievance is that he was never served the notice, the disputed question of service of notice is more appropriately dealt with in an appeal under Section 127 of the Electricity Act, 2003 against the final assessment. If the consumer wishes to pay in instalments, he may move the Executive Engineer under Clause 6.14 of the U.P. Electricity Supply Code, 2005. In view of these alternative remedies, the writ was dismissed.

DISPOSITION Writ petition dismissed on the ground of alternative remedy

SCJ-043 Kisan Cold Storage & Ice Factory v. Paschimanchal Vidyut Vitran Nigam Ltd. & Ors. (Full Bench reference) All HC

AIR 2019 Allahabad 79; AIRONLINE 2019 ALL 1646; (2019) 4 ADJ 565

Allahabad High Court (Lucknow Bench) &mdot; Vikram Nath, Rajesh Singh Chauhan & Abdul Moin, JJ. (delivered by Abdul Moin, J.) &mdot; 3 April 2019

Also relevant to: M — Adjacent Electricity-Law Matters

Section 42(5)-(7) of the Electricity Act, 2003 constitutes the Consumer Grievance Redressal Forum solely for redressal of the grievances of consumers, and gives only a 'consumer' aggrieved by non-redressal the right to approach the Electricity Ombudsman; the Act contains no provision entitling a Distribution Licensee to approach the Ombudsman against an order of the Forum. Regulation 8.1(i) of the U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulations, 2007, in so far as it also gives the Distribution Licensee a remedy of representation to the Ombudsman, is inconsistent with and ultra vires Section 42(5)-(7) read with Rule 7 of the Electricity Rules, 2005 and the regulation-making power under Section 181(1); a regulation made under Section 181(1) must be consistent with the Act and cannot expand a remedy the parent statute confines to the consumer. The Division Bench decision in Jindal Poly Films Ltd. v. U.P. Electricity Regulatory Commission (2011), which had upheld Regulation 8.1(i) as intra vires on a general 'read as a whole' reasoning without engaging Section 42(5)-(7) specifically, does not lay down the correct law and is overruled.

DISPOSITION Reference answered; special appeal remitted to the Division Bench for decision in light of the answers

SCJ-217 Veerendra Kumar Jain v. State of U.P. & Others All HC

2019 SCC OnLine All 3289

Allahabad High Court &mdot; Govind Mathur, C.J. & Saurabh Shyam Shamshery, J. &mdot; 2 April 2019

A grievance about two bills raised simultaneously for one electricity connection is a billing grievance to be raised before the Consumer Grievance Redressal Forum and the Ombudsman under Clause 7.10 of the U.P. Electricity Supply Code, 2005 (the forum reference being printed on the bill itself). The Court relegated the consumer to that remedy, to be considered on merits within 45 days, and continued the existing interim order until disposal.

DISPOSITION Writ petition disposed of; consumer relegated to the Clause 7.10 CGRF/Ombudsman remedy

SCJ-209 Abdul Ajij v. State of U.P. & Others All HC

2020 SCC OnLine All 538

Allahabad High Court (Lucknow Bench) &mdot; Saurabh Shyam Shamshery, J. &mdot; 7 May 2020

Listing/interlocutory order (heard in chamber during the COVID-19 lockdown). The petitioner challenged an order rejecting his appeal under Section 127 of the Electricity Act, 2003 on the ground that he had not deposited half of the assessed amount as required by Section 127(2), contending that he had deposited the amount prescribed under the U.P. Electricity Supply Code, 2005. The Court directed the matter to be listed and affidavits filed; no view was expressed on whether a Code-prescribed deposit satisfies the Section 127(2) pre-deposit.

DISPOSITION Listing order — matter listed for hearing; affidavits to be filed

L. Writ & Public-Law Doctrines

7 JUDGMENTS

SCJ-078 Mahendra Pratap Singh v. State of U.P. All HC

Allahabad High Court & B.N. Shukla, J. & 28 March 2011

Not a substantive Supply Code case — a bare interlocutory listing order in a criminal bail application, merely recording that a counter affidavit was taken on record and adjourning the matter. No electricity-related holding, reasoning, or authority appears in the order.

DISPOSITION Listed for a future date (adjournment order; no substantive order passed)

SCJ-029 Gaya Prasad v. State of U.P. & Others All HC

Allahabad High Court & Anjani Kumar Mishra, J. & 30 May 2013

A one-line listing order: at the petitioner's request the case was passed over for the day and directed to be listed in the next cause list. There is no content and nothing was decided.

DISPOSITION Listing order (case passed over for the day)

SCJ-107 Rajesh & Others v. State of U.P. & Another All HC

Allahabad High Court & Akhtar Husain Khan, J. & 28 August 2014

Not a substantive Supply Code case — a bare interlocutory order in a Section 482 Cr.P.C. application, merely recording that the applicant's counsel had died, granting an opportunity to engage new counsel, and listing the matter after one month. No electricity-related holding, reasoning, or authority appears in the order.

DISPOSITION Listed for a future date (adjournment order; no substantive order passed)

SCJ-146 Vinod Kumar Kanaujiya v. State of U.P. All HC

Allahabad High Court & Vipin Sinha, J. & 7 March 2014

A bare procedural listing/adjournment order in a bail application, granted at the applicant's own request, with no reasons recorded and no substantive determination of any kind. Recorded for corpus completeness only; contains no holding, no facts beyond the case caption, and no legal content of any relevance to the Supply Code or otherwise.

DISPOSITION Matter adjourned; listed after one month, no substantive order

SCJ-148 Vinod Kumar Singh v. State of U.P. Thru' Secy. Cooperative & 5 Ors. All HC

Allahabad High Court (Lucknow Bench) & Rajiv Sharma & Mahendra Dayal, JJ. & 20 August 2014

A bare dismissal-for-want-of-prosecution order in a decade-old writ petition, with no reasons recorded beyond the petitioner's non-appearance. Recorded for corpus completeness only; contains no holding or legal content of relevance to the Supply Code, and the underlying subject matter of the writ petition (a Cooperative Department respondent is named, suggesting no direct electricity-law nexus) is not disclosed.

DISPOSITION Writ petition dismissed for want of prosecution; interim order vacated

SCJ-149 Vinod Kumar Singh v. State of U.P. & 2 Ors. All HC

Allahabad High Court (Lucknow Bench) & Ashwani Kumar Singh, J. & 14 July 2014

A bare procedural order relisting a s.482/378/407 Cr.P.C. petition (initially flagged as potentially infructuous by efflux of time, but confirmed live by counsel) before the appropriate court, with interim relief continued. Recorded for corpus completeness only; contains no holding or facts of relevance to the Supply Code, and no electricity-law subject matter is disclosed on the face of the order.

DISPOSITION Matter listed before appropriate court; interim order to continue till next listing

SCJ-150 Vinod Kumar v. State of U.P. & Another All HC

Allahabad High Court & Ramesh Sinha, J. & 9 September 2014

A bare adjournment order in a criminal appeal, listing an application for early hearing of a second bail application after two weeks, pending preparation of the paper book and the applicant's stated illness. Recorded for corpus completeness only; contains no holding and no electricity-law subject matter is disclosed on the face of the order.

DISPOSITION Matter listed after two weeks for early hearing of second bail application; no substantive order

M. Adjacent Electricity-Law Matters

12 JUDGMENTS

SCJ-091 Naresh Kumar Madan v. State of Madhya Pradesh SC

AIR 2008 SC 385

Supreme Court of India & S.B. Sinha & Markandey Katju, JJ. & 10 April 2007

Not a Supply Code case — a criminal appeal against prosecution of a Madhya Pradesh Electricity Board civil engineer under the Prevention of Corruption Act, 1988 for allegedly taking illegal gratification for grant of an electrical connection. The Supreme Court held that an employee of a State Electricity Board constituted under the Electricity (Supply) Act, 1948 is a 'public servant' for the purposes of the Prevention of Corruption Act, 1988 independently of s.81 of the 1948 Act's deeming provision (which operates only for Indian Penal Code purposes), because the Board is a statutory corporation and its employees fall within s.2(1)(c)(iii) of the 1988 Act; a term defined in one statute cannot be interpreted solely by reference to its definition in another. Recorded here as electricity-administration-adjacent but outside the Supply Code's consumer billing/assessment/disconnection framework.

DISPOSITION Appeal dismissed; prosecution under the Prevention of Corruption Act, 1988 upheld

SCJ-093 North Delhi Power Ltd. v. Govt. of N.C.T. of Delhi & Ors. (with BSES Rajdhani Power Ltd. v. Govt. of N.C.T. of Delhi & Anr.) SC

AIR 2010 SC 2302

Supreme Court of India & V.S. Sirpurkar & Surinder Singh Nijjar, JJ. & 3 May 2010

Not a Supply Code case — a dispute between successor DISCOMs (North Delhi Power Ltd. and BSES Rajdhani Power Ltd.) and the Government of NCT of Delhi over which entity bears liability for pension, terminal-benefit, and service-related claims of employees of the erstwhile Delhi Vidyut Board (DVB) who had already retired, been dismissed, or removed before the Board's unbundling into private distribution companies under the Delhi Electric Reforms Act, 2000 and its Transfer Scheme Rules, 2001. The Supreme Court held, construing Rule 6(8)/(9) of the Transfer Scheme Rules, 2001 (a self-contained code for 'personnel and personnel-related matters'), that liability for all statutory/employment-related schemes — including pension, gratuity, and superannuation funds for existing pensioners — passed to the relevant successor DISCOM, not merely for employees who were on the rolls and formally transferred, and that the Rule 8(3) litigation-liability cap (capped at Rs. 1 crore/year per DISCOM) also covers employee-related claims. Recorded here only for corpus completeness — a wholesale employer-successor-liability/personnel dispute among privatised DISCOMs, entirely outside the retail consumer-facing Supply Code framework.

DISPOSITION Appeals dismissed; successor distribution companies held liable for retired/terminated Delhi Vidyut Board employees' pension/terminal benefits

SCJ-106 PTC India Ltd. v. Central Electricity Regulatory Commission, thr. Secy. (and connected appeals) **SC**

AIR 2010 SC 1338; (2010) 4 SCC 603

Supreme Court of India (Constitution Bench) & K.G. Balakrishnan, C.J., S.H. Kapadia, R.V. Raveendran, B. Sudershan Reddy & P. Sathasivam, JJ. (delivered by Kapadia, J.) & 15 March 2010

Not a Supply Code case — a Constitution Bench ruling on the architecture of the Electricity Act, 2003's regulatory/appellate framework: whether the Appellate Tribunal for Electricity (APTEL) has jurisdiction under s.111 to examine the vires of Regulations framed by the Central Electricity Regulatory Commission (CERC) under s.178, and whether CERC could cap electricity-trading margins by Regulation under s.178. The Court held APTEL has no jurisdiction to decide the validity of s.178 Regulations (a delegated-legislation function reviewable only via Article 226 judicial review, not appeal), that s.121 does not confer judicial-review power on APTEL, and that CERC was empowered under the residuary s.178(1)/(2)(ze) to cap trading margins by Regulation. Recorded here for corpus completeness given its general significance to the Electricity Act's regulatory architecture, but it concerns inter-State electricity trading/regulatory-jurisdiction questions entirely outside the retail consumer-facing U.P. Electricity Supply Code framework central to this project.

DISPOSITION Appeals dismissed; reference answered against the appellants**SCJ-073 M/S NTPC Ltd. v. M.P. State Electricity Board & Ors. (with connected appeals)** **SC**

Civil Appeal Nos. 2451, 2452, 2493, 3972 & 4231 of 2007

Supreme Court of India & J.M. Panchal & H.L. Gokhale, JJ. (delivered by Gokhale, J.) & 29 September 2011

Not a Supply Code case in substance — a wholesale generation-tariff dispute between NTPC (a generating company) and purchasing State Electricity Boards over interest on the differential between an interim/continued tariff (charged pending final tariff determination under Section 62 of the Electricity Act, 2003) and the lower tariff finally determined years later. The Supreme Court held Section 62(6) interest (payable only where a licensee/generating company 'recovers a price or charge exceeding the tariff determined under this section') does not extend to the interim/provisional period before final determination, absent a specific regulation so providing (as was later inserted, prospectively, by CERC Regulation 5A in 2006); nor could interest be awarded on equity/restitution principles absent any contractual, regulatory, or statutory basis, industry practice, or evidence of coercive/unjust extraction by the generating company. Recorded here only for completeness of the source corpus; flagged OFFTOPIC since it concerns bulk generation tariff, not the retail consumer-facing Supply Code framework this project tracks — though its narrow construction of Section 62(6) is useful background to Supply Code cases (e.g. SCJ-072) construing the same provision at the retail level.

DISPOSITION NTPC's appeals allowed; Electricity Boards' appeals dismissed (no interest on the tariff-determination differential)**SCJ-141 V.S. Achuthanandan v. R. Balakrishna Pillai & Ors.** **SC**

Supreme Court of India & P. Sathasivam & B.S. Chauhan, JJ. & 10 February 2011

Not a Supply Code case — a criminal appeal against acquittal on charges of criminal conspiracy, criminal breach of trust, and corruption (IPC ss.120-B/409; Prevention of Corruption Act, 1947 ss.5(1)(c)/5(2)) arising from the Kerala State Electricity Board's award, at grossly exorbitant rates and with special conditions favouring a chosen contractor, of remedial/tunnel-construction contracts for the Idamalayar Hydro Electric Power Project, allegedly at the instance of the then Minister for Electricity. Recorded compactly given the absence of any Supply Code/consumer-billing nexus (this concerns Electricity (Supply) Act, 1948 s.78A ministerial-policy-direction limits and criminal-law/evidence questions in a corruption prosecution against Electricity Board officials and a Minister), though it is of interest to this corpus as a rare precedent on the limits of ministerial interference in a State Electricity Board's contract-awarding process.

DISPOSITION Appeal allowed in part; High Court's acquittal reversed, convictions of A1, A3 and A6 restored (sentence moderated to 1 year RI plus fine given two decades' delay)

SCJ-097 Orissa Power Transmission Corporation Ltd. & Ors. v. Asian School of Business Management Trust & Ors. SC

Supreme Court of India &mdot; G.S. Singhvi & V. Gopala Gowda, JJ. &mdot; 5 August 2013

Not a Supply Code case — a dispute over the siting/alignment of high-voltage transmission towers under ss.28/29 of the Electricity (Supply) Act, 1948, brought by a landowner (a business school trust) who purchased land and built on it more than 14 years after the transmission scheme was notified, without ever having made a representation/objection within the statutory window. The Supreme Court held: (a) a subsequent purchaser who acquired land and built on it long after a scheme's publication, and who neither made nor inherited any timely objection, cannot belatedly seek re-alignment of an already-substantially-executed transmission scheme; (b) pursuing a civil suit and a writ petition for substantially the same relief in parallel, abandoning the suit only once the writ appeal was entertained, is an abuse of process barred by res judicata/election-of-remedies principles; and (c) minor discrepancies in a transmission scheme's published nomenclature/details do not invalidate it under ss.28/29 where full technical details were made available for inspection as the notification specified. Recorded here for corpus completeness — a transmission-infrastructure-siting dispute under the wholesale/generation-transmission provisions of the 1948 Act, entirely outside the retail consumer-facing Supply Code framework.

DISPOSITION Appeal allowed; High Court Division Bench judgment set aside, Writ Petition No. 20659/2009 dismissed with costs of Rs. 10 lakh against the respondent

SCJ-062 M/S Pashupati Castings Ltd. & Ors. v. State of U.P. & Ors. (batch of ~85 connected writ petitions) All HC

Allahabad High Court &mdot; Ashok Bhushan & Vipin Sinha, JJ. &mdot; 16 January 2014

Not a Supply Code case in substance — a large batch of writ petitions challenging the U.P. Electricity Duty Act, 1952 (a separate taxation statute) and a 2012 notification imposing electricity duty on the 'rate of charge' (including demand charge, not just energy/consumption charge), and the vires of Section 3(2) of the 1952 Act against Entry 53, List II, Seventh Schedule of the Constitution. All petitions were dismissed. Recorded here only for completeness of the source corpus; flagged OFFTOPIC to the Supply Code provision index, since it concerns electricity-duty taxation, not the consumer-facing billing/assessment/disconnection/security provisions this project tracks.

DISPOSITION Writ petitions dismissed

SCJ-074 M/S Sesa Sterlite Ltd. v. Orissa Electricity Regulatory Commission & Ors. SC

Civil Appeal No. 5479 of 2013

Supreme Court of India &mdot; Surinder Singh Nijjar & A.K. Sikri, JJ. (delivered by Sikri, J.) &mdot; 25 April 2014

Not a Supply Code case in substance — a Supreme Court ruling on Cross Subsidy Surcharge (CSS), open access, and the interplay between the Special Economic Zone Act, 2005 and Section 14(b) of the Electricity Act, 2003 (deemed distribution licensee status for an SEZ developer). The Court held that a single-unit SEZ developer, though deemed a distribution licensee under a Central notification issued under Section 49 of the SEZ Act, remains a 'consumer' liable to pay CSS to the area distribution licensee (WESCO) when it procures its entire power requirement for its own captive consumption from another generator via a power purchase agreement, since the deemed-licensee fiction presupposes actual distribution/supply of power to others and cannot be stretched to a developer supplying only itself. Recorded here only for completeness of the source corpus; flagged OFFTOPIC as it concerns the CSS/open-access wholesale-power regime under Sections 14/42/62, not the consumer-facing Supply Code billing/assessment/disconnection framework this project tracks (though it references Orissa's Conditions of Supply Code Regulation 27 on service-line ownership as one strand of reasoning).

DISPOSITION Appeal dismissed; the appellant SEZ developer held liable to pay Cross Subsidy Surcharge (CSS) to WESCO

SCJ-130 State of Gujarat & Ors. v. Utility Users' Welfare Association & Ors. SC

(2018) 6 SCC 21

Supreme Court of India & Sanjay Kishan Kaul & J. Chelameswar, JJ. & 12 April 2018

Not a Supply Code case — a landmark ruling on the institutional architecture of the Electricity Act, 2003's State Electricity Regulatory Commissions (SERCs): whether s.84(2)'s provision that the State Government 'may' appoint a sitting/former High Court Judge as Chairperson should be read as mandatory ('shall'). Recorded compactly given its scale (~84 printed pages) and its subject (SERC composition/judicial-member architecture), which is distinct from the U.P. Electricity Supply Code's retail billing/assessment/disconnection framework central to this project; not exhaustively digested. Core holding: s.84(2) is merely an enabling provision, not mandatory, so a State Government is not obliged to appoint a Judge as Chairperson. However, because the SERC exercises adjudicatory functions with the 'trappings of a court' under ss.86(1)(f), 94-96 (particularly adjudicating licensee-generator disputes), the Supreme Court held it mandatory that at least one Member possess legal expertise (a person who is, or has been, holding judicial office, or possessing professional legal qualifications and substantial practice experience sufficient to qualify for appointment as a High Court or District Judge), and mandatory that any Bench discharging an adjudicatory function include such a legally-qualified Member. The ruling applies prospectively (not disturbing past Commission orders); the next vacancy in any State Commission lacking such a legal Member must be filled by one.

DISPOSITION Appeals and transferred cases disposed of per the conclusions below; challenge to Tamil Nadu State Commission appointments and suo motu tariff revision rejected; parties to bear own costs

SCJ-077 Maharashtra State Electricity Distribution Co. Ltd. v. Maharashtra Electricity Regulatory Commission & Ors. SC

Civil Appeal No. 1843 of 2021

Supreme Court of India & V. Ramasubramanian & Indira Banerjee, JJ. (delivered by Banerjee, J.) & 8 October 2021

Not a Supply Code case in substance — a wholesale bulk-power-procurement dispute between a distribution licensee and generating companies over Late Payment Surcharge (LPS) under Power Purchase Agreements, and whether the RBI's replacement of the Prime Lending Rate (PLR) methodology with the Base Rate/MCLR systems constituted a 'Change in Law' under the PPAs' Change-in-Law clauses, entitling the distribution company to recompute LPS at the lower Base Rate/MCLR rather than the contractually defined SBAR-based PLR rate. The Supreme Court dismissed the appeal, declining to interfere (in a Section 125 second appeal) with concurrent factual findings of MERC and APTEL, holding the distribution company had accepted the invoiced LPS without dispute and could not introduce fresh material at the Supreme Court stage. Recorded here only for completeness of the source corpus; flagged OFFTOPIC as it concerns PPA contract interpretation and RBI lending-rate methodology in bulk power procurement, entirely outside the retail consumer-facing Supply Code framework this project tracks.

DISPOSITION Appeal dismissed; concurrent MERC/APTEL findings against the distribution company affirmed

SCJ-056 M/S Jindal Steel & Power Ltd. v. Chhattisgarh State Electricity Regulatory Commission & Ors. (with connected appeals) SC

Civil Appeal Nos. 3607-3610 of 2008, with C.A. Nos. 4104-4107 of 2008

Supreme Court of India & Ajay Rastogi & B.V. Nagarathna, JJ. (delivered by Nagarathna, J.) & 29 September 2022

Not a Supply Code case in substance — this is a landmark ruling on the DISTRIBUTION-LICENSING scheme under Sections 9, 10, 14, 15, 19 and 42(2) of the Electricity Act, 2003 (grant/cancellation of a distribution licence to a captive-power-plant owner supplying a private industrial estate, the 'minimum area of supply' Explanation to Rule 3 of the 2005 Distribution Rules, and natural justice before a Section 142 penalty), rather than the consumer-facing billing/assessment/disconnection/security provisions that are the focus of this Supply Code jurisprudence project. Recorded here only for completeness of the source corpus; flagged OFFTOPIC to the provision index (though the general Electricity Act framework it construes forms useful background).

DISPOSITION Appeals allowed; Appellate Tribunal's order cancelling JSPL's distribution licence set aside (licence restored)

SCJ-110 Ramayana Ispat Pvt. Ltd. & Anr. v. State of Rajasthan & Ors. (with connected appeals) **SC**

2025 INSC 424

Supreme Court of India & Vikram Nath & (companion Judge), JJ. (delivered by Nath, J.) & 1 April 2025

Not a Supply Code case — a wholesale/open-access regulatory dispute over the validity of the Rajasthan Electricity Regulatory Commission (Terms and Conditions for Open Access) Regulations, 2016, challenged by captive power plants (CPPs) and inter-state open-access consumers as ultra vires the Electricity Act, 2003. The Supreme Court held: (a) State Commissions (RERC) retain jurisdiction under ss.42/86(1)(c)/181 to regulate the intra-state aspects of open access even where power originates from outside the state, since CERC's s.79(1)(c) jurisdiction over inter-state transmission does not extend to regulating end-consumer/distribution-level access within a state; (b) penalties for deviation from scheduled drawal (Regulation 21) are a legitimate, non-discriminatory grid-discipline measure, not an unreasonable restriction on the s.42 open-access right or a violation of the s.9(1) proviso protecting captive generation; and (c) the 24-hour advance-scheduling requirement for short-term inter-state open access (Regulation 26(7)) is a reasonable procedural safeguard for grid stability, not an ultra vires or arbitrary barrier — courts must accord deference to specialized regulatory bodies' technical/economic determinations absent manifest arbitrariness or excess of statutory authority. Recorded here for corpus completeness given its general significance to Electricity Act regulatory architecture (CERC/State Commission jurisdictional demarcation), but it concerns wholesale open-access/captive-generation regulation entirely outside the retail consumer-facing U.P. Electricity Supply Code framework central to this project.

DISPOSITION Appeals dismissed; validity of the Rajasthan Regulations of 2016 upheld**N. Off-topic / Mis-indexed (recorded for completeness)**

16 JUDGMENTS

SCJ-233 Rishipal v. State of U.P. **All HC**

2005 SCC OnLine All 576 : (2005) 53 ACC 104 (1) : (2005) 34 AIC 450 (All)

Allahabad High Court & Ravindra Singh, J. & 27 July 2005

OFF-TOPIC (mis-indexed in this corpus): a criminal bail application under Section 376 IPC with no electricity-law content. The applicant was accused of rape of a two-year-old child (FIR under s.376 IPC, P.S. Saroorpur, Meerut). On the facts and the medical evidence, and observing that FIRs in such cases are often not promptly lodged, the Court found it not a fit case for bail at that stage and rejected the application. Recorded only for corpus completeness; carries no Supply Code / Electricity Act ratio.

DISPOSITION Bail application rejected**SCJ-018 Dipali Dey (Baxi) v. Mira Das** **SC**

Supreme Court of India & R.M. Lodha & Tarun Chatterjee, JJ. (delivered by Tarun Chatterjee, J.) & 14 July 2009

A civil court may, by injunction, direct a landlord to restore a tenant-in-possession's disconnected electric supply pending disposal of the tenancy suit; the tenancy question is to be decided at trial. The High Court, exercising supervisory jurisdiction under Article 227, ought not to have interfered with the concurrent orders of the courts below directing restoration. (This is a landlord-tenant civil matter and does not construe the Electricity Supply Code.)

DISPOSITION Appeal allowed (courts-below injunction restoring supply restored; HC order set aside)

SCJ-024 Dr. Vinod Kumar Bassi v. The State of U.P. & Anr. All HC

Allahabad High Court (Lucknow Bench) & Ajai Lamba, J. & 10 July 2014

An interlocutory order in a petition under Section 482 Cr.P.C., on the contention that a complaint-case was proceeded with without the enquiry under Section 202(1) Cr.P.C. (the accused and the complainant being in different districts). Notice was issued and further proceedings stayed till the next date; nothing was decided. This order has no connection with the Electricity Supply Code.

DISPOSITION Interlocutory order (notice issued; further proceedings stayed till next date)

SCJ-079 Maniram v. State of U.P. All HC

Allahabad High Court (Lucknow Bench) & Aditya Nath Mittal, J. & 8 August 2014

Not a Supply Code case — a dowry-death criminal appeal under IPC ss.498-A/304-B and Dowry Prohibition Act ss.3/4, turning on whether the 'soon before her death' cruelty standard for s.304-B was satisfied. No electricity-related content appears anywhere in the judgment.

DISPOSITION Appeals partly allowed; conviction under s.304-B IPC set aside, convictions under s.498-A IPC and ss.3/4 Dowry Prohibition Act maintained with modified sentences for two of three appellants

SCJ-080 Manno Singh v. State of U.P. & Others All HC

Allahabad High Court & Suneet Kumar, J. & 11 September 2014

Not a Supply Code case — a family-pension dispute between a first and second wife of a deceased municipal employee under the U.P. Nagar Palika (Non-Centralized Service Retirement) Benefits Regulations, 1984, turning on the definition of 'family' and the invalidity of a second marriage under the Hindu Marriage Act, 1955. Two Allahabad High Court electricity-board pension precedents (Shakuntala Devi v. Executive Engineer, Electricity Transmission-I, U.P. Electricity Board; Poonam Devi v. Chief Engineer, Electricity Board) are cited only as persuasive analogues on the general 'nomination cannot defeat legally wedded wife's pension claim' principle, with no engagement with any Supply Code or Electricity Act provision.

DISPOSITION Writ petition allowed; family pension directed to be paid to the first (legally wedded) wife

SCJ-118 Shiv Murti Yadav v. State of U.P. & 6 Others All HC

Allahabad High Court & Ranjana Pandya, J. & 19 August 2014

Not a Supply Code case — a criminal revision against dismissal of a Section 156(3) Cr.P.C. application seeking registration and investigation of an FIR over an alleged forged consent letter used to fell a jointly-owned mahua tree on agricultural land, with allegations of threats by co-sharers. No electricity-related content appears anywhere in the order.

DISPOSITION Revision dismissed

SCJ-140 Usha Devi (Smt.) v. State of U.P. & 2 Others All HC

Allahabad High Court & Sudhir Agarwal, J. & 2 August 2014

Not an electricity/Supply Code case — a U.P. Panchayat Raj Act ruling on the preliminary/fact-finding enquiry procedure required under the proviso to Section 95(1)(g) before a District Magistrate may cease a Gram Pradhan's financial and administrative powers pending a removal proceeding, applying the Full Bench decision in Vivekanand Yadav v. State of U.P. Recorded compactly given its complete absence of electricity/Supply Code nexus (it concerns village-panchayat governance and Rules, 1997 enquiry-officer qualifications); noted in this corpus's master citation ledger only because the case was collected among search results for Supply Code-adjacent material.

DISPOSITION Writ petition allowed; District Magistrate's order ceasing the petitioner's financial/administrative powers as Gram Pradhan quashed

SCJ-109 Rakesh Kaushik v. State of U.P. & Another All HC

Allahabad High Court & Abhai Kumar, J. & 1 August 2016

Not a Supply Code case — a Section 482 Cr.P.C. application seeking quashing of a charge-sheet under s.434 IPC (mischief by injury to a public road/bridge, in the nature of dishonest damage), arising from a dispute over demolition of the applicant's house pursuant to encroachment-removal proceedings, with allegations of extortion, loot, and criminal intimidation against a local official. No electricity-related content appears anywhere in the order.

DISPOSITION Notice issued; interim protection from coercive action granted pending disposal

SCJ-088 Mukesh Kumar v. State of U.P. All HC

Allahabad High Court (Lucknow Bench) & Ravindra Nath Mishra-II, J. & 22 September 2017

Not a Supply Code case — a bail application in a dowry-death case under IPC ss.304-B/498-A read with Dowry Prohibition Act ss.3/4, granted on the ground that the co-accused (applicant's sister-in-law) had already been enlarged on bail and only general dowry-demand allegations were made against the applicant. No electricity-related content appears anywhere in the order.

DISPOSITION Bail granted with standard conditions

SCJ-116 Shabih Haider v. State of U.P. thru. Prin. Secy., Housing & Urban Planning & Ors. All HC

Allahabad High Court (Lucknow Bench) & Devendra Kumar Arora & Rajnish Kumar, JJ. & 6 December 2017

Not primarily a Supply Code case — a service-law dispute over the suspension of a Development Authority Superintending Engineer pending disciplinary inquiry into alleged financial irregularities in a project to shift a 33 KV electric line (payment of supervision/centage charges and a construction contract). The Court quashed the suspension for want of application of mind under Rule 4, U.P. Government Servant (Discipline & Appeal) Rules, 1999, finding the petitioner had no substantive role in project approval, tendering, or contract award, and — incidentally — that the supervision-charge payment he processed was consistent with, not contrary to, Clause 4.6(e) of the U.P. Electricity Supply Code, 2005 (which the respondents conceded requires supervision charges to be paid to the licensee before commencement of work). Recorded here for corpus completeness given its incidental engagement with a Supply Code provision, but its substance is government-servant suspension jurisprudence, not the retail consumer billing/assessment/disconnection framework.

DISPOSITION Writ petition allowed; suspension order quashed, reinstatement with full back wages directed

SCJ-135 The State of Karnataka v. State of Tamil Nadu & Ors. (with connected appeals of State of Kerala and State of Tamil Nadu) SC

AIRONLINE 2018 SC 626

Supreme Court of India & Dipak Misra, C.J., A.M. Khanwilkar & Amitava Roy, JJ. & 16 February 2018

Not an electricity case — the landmark Cauvery river inter-State water dispute judgment, adjudicating the appeals from the Cauvery Water Disputes Tribunal's final award under the Inter-State River Water Disputes Act, 1956 and Article 262 of the Constitution, addressing groundwater apportionment, the doctrine of equitable apportionment, and Bangalore's drinking-water needs. Recorded compactly and without exhaustive digest given its complete absence of Supply Code nexus (the Cauvery basin's hydro-electric power generation is not a subject of adjudication in this judgment) and its enormous scale (a multi-hundred-page judgment); noted in this corpus's master citation ledger only because the case was collected among search results for Supply Code-adjacent material.

DISPOSITION Appeals disposed of, modifying the Cauvery Water Disputes Tribunal's water allocation among the riparian States

SCJ-142 Vijay Kumar Sachan v. State of U.P. And Another All HC

AIRONLINE 2018 ALL 3033

Allahabad High Court & Ramesh Sinha & Dinesh Kumar Singh-I, JJ. & 4 April 2018

Not a Supply Code case — a s.482 Cr.P.C. quashing application by a retired electricity department Junior Engineer against a Prevention of Corruption Act disproportionate-assets charge sheet, applying the settled R.P. Kapur/Bhajan Lal/P.P. Sharma/Zandu Pharmaceutical framework confining s.482 quashing to cases where no offence is disclosed on the face of the record, and declining to adjudicate disputed factual defences (agricultural income, family gifts) at the quashing stage. Recorded compactly given the absence of any Supply Code nexus (the applicant's former employment as a Junior Engineer in the electricity distribution department is incidental background, not a subject of adjudication).

DISPOSITION s.482 Cr.P.C. application dismissed; charge sheet not quashed

SCJ-017 Dharendra Kumar Chaudhary v. State of U.P. & 5 Others All HC

2024:AHC:100639

Allahabad High Court & J.J. Munir, J. & 31 May 2024

A disciplinary dismissal of a UPPCL employee, on a charge of irregular revision of consumers' electricity bills 'ignoring the provisions of the Electricity Supply Code, 2005', is vitiated where the Establishment led no evidence — documentary or oral — to prove the charges through a Presenting Officer, the complainants/witnesses were never examined, and further inquiry reports and an I.T.-cell report were considered behind the employee's back. In a major-penalty inquiry the burden is on the Establishment to prove the charges before an impartial inquiry tribunal; failure to do so violates natural justice and vitiates the punishment.

DISPOSITION Writ petition allowed (dismissal quashed; reinstatement; fresh inquiry permitted)

SCJ-044 Kishore Biyani v. State of U.P. & Anr. All HC

2024:AHC:43655

Allahabad High Court & Mayank Kumar Jain, J. & 12 March 2024

Not a Supply Code / electricity case. A Section 482 Cr.P.C. petition to quash a criminal complaint of breach of trust (IPC ss.406/405) against the former Executive Chairman of a retail chain over an unpaid food-supply bill; the Court held the transaction was a purely commercial sale (no 'entrustment' of property), the mandatory Section 202(1) Cr.P.C. enquiry (accused residing outside jurisdiction) was not held, and quashed the proceedings. No electricity supply or Supply Code issue is involved; flagged here only because the judgment surfaced in the source corpus.

DISPOSITION Application allowed; summoning order, non-bailable warrant and complaint proceedings quashed

SCJ-131 Sunil Kumar v. State of U.P. And Another All HC

2024:AHC:80248

Allahabad High Court & Krishan Pahal, J. & 3 May 2024

Not a Supply Code merits case — an anticipatory bail order under s.438 Cr.P.C. granted to a public-servant electricity official (an Executive Engineer/Assistant Engineer-level officer who had ordered permanent disconnection of a tubewell electricity connection) facing prosecution under IPC ss.420/467/468/471/120B, applying this Court's special-circumstances framework for entertaining a s.438 application directly (Vinod Kumar v. State of U.P., affirmed by the Constitution Bench in Ankit Bharti v. State of U.P.) and the Supreme Court's Sushila Aggarwal ruling on anticipatory bail. Recorded compactly given its criminal-procedure subject matter, which is distinct from the Supply Code framework central to this project; the underlying dispute (whether Clause 4.44 of the U.P. Electricity Supply Code, 2005 was properly followed in transferring a tubewell connection from a deceased original consumer's name to a subsequent land-purchaser, and the propriety of the later disconnection) is noted only as background context.

DISPOSITION Anticipatory bail application allowed, subject to standard conditions

SCJ-134 The State of Haryana & Ors. v. M/s Faridabad Gurgaon Minerals & Anr. (with M/s Ganpati Enterprises Slate Mines) SC

2026 INSC 690

Supreme Court of India & Dipankar Datta & Satish Chandra Sharma, JJ. & 13 July 2026

Not an electricity case — a mining-law ruling on the State's power under the Mines and Minerals (Development and Regulation) Act, 1957 (s.15) and the Punjab Minor Mineral Concession Rules, 1964 to enhance royalty and dead rent during the subsistence of a mining lease, even where the executed lease deed (unlike the preceding Auction Notice and Letter of Acceptance) is silent on applicability of the Rules. Recorded compactly given its complete absence of electricity/Supply Code nexus (it concerns quarry/mining leases, royalty, and Rules of Business under Article 166(3) of the Constitution); noted in this corpus's master citation ledger only because the case was collected among Supply Code-adjacent search results. Core holding: statutory silence in a lease deed does not extinguish the State's statutory power to revise royalty/dead rent under validly framed rules — such power forms an implied condition of every mining lease traceable to the enabling statute — and Wednesbury unreasonableness (not correctness) is the standard for judicial review of the quantum of a royalty enhancement; a decision approved by the Chief Minister satisfies Rules-of-Business requirements even without express Finance Department consultation, absent evidence of the Finance Minister's disagreement.

DISPOSITION Appeals allowed; High Court judgment set aside; State entitled to enhanced royalty/dead rent, with interest on arrears capped at 12% per annum